

July 2020

The European Bathroom & Kitchen Product Markets

- 2020 Edition -



BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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NORWAY

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Norway, officially the Kingdom of Norway, is the second-largest Scandinavian country, with an area of 385,203 km². The country is divided into 11 counties, with Viken, Oslo, Vestland, and Rogaland being the largest in terms of population. Norway's population stood at 5.37 million at the beginning of 2020. The capital, Oslo, is the most populous city in the country, home to approximately 693,500 residents in 2020. The populations of the five largest cities (Oslo, Bergen, Stavanger/Sandnes, Trondheim, and Drammen) account for about 33% of the total population. About 80% of the population is situated in urban areas.

Norway is a constitutional monarchy. The head of state, King Harald V, formally appoints the government, holds weekly councils of state, and opens parliament every year. In practice, executive power lies with the prime minister, whose power derives from parliament. Norway is by all standards a very successful democracy, regularly considered to be among the freest, safest, and most prosperous in the world. The current Prime Minister is Erna Solberg from the Conservative Party (Høyre), who currently leads a minority coalition government with the Progress Party (Fremskrittspartiet) and the Liberal Party (Venstre). This is the result of the 2017 parliamentary elections and a continuation of the previous government from the 2013 elections. The next parliamentary elections will take place in 2021.

Norway is divided into 11 first-level administrative counties (fylker) and 356 second-level municipalities (kommuner). Norway uses a civil law system whereby laws are created and amended in parliament. The judiciary is independent of executive and legislative branches. Norway's legal and institutional framework is characterised by high levels of transparency, accountability, and integrity. Corruption is low. Norway's currency is the Krone, abbreviated NOK, which is free floating. The central bank (Norges Bank) has the traditional central bank responsibilities of financial and price stability. Norges Bank also contains Norges Bank Investment Management (NBIM), which manages the foreign exchange reserves and the Government Pension Fund, including the sovereign wealth fund (Government Pension Fund – Global).

Foreign relations are dominated by Norway's membership of NATO, the Council of Europe, and the European Free Trade Association. Norway is associated with the EU through its membership of the European Economic Area (EEA). This means that Norway has access to the four freedoms of the EU: the free movement of goods, services, capital, and people. Norway is not part of the customs union but has customs-free access for most goods, with some exceptions. Norway must accept most laws made by the European Union.

Norway is a latitudinally long, longitudinally thin, and mountainous country located at the northern edge of Europe with a very long coastline. It consists of the western half of Scandinavia facing the North Atlantic. It is dominated by mountains or high terrain as well as fjords, rivers, and islands, making transport difficult. The climate

in Norway varies greatly due to the length of the country but is very mild for its latitude due to the North Atlantic Current, which raises temperatures. Parts of southeastern Norway have a humid continental climate, while the southern and western coasts have an oceanic climate. There is a subarctic climate in the north of Norway and some parts of the southeast. Large parts also have altitudes that exhibit a tundra/alpine/polar climate. As the country is so long and located so far north, exposure to sunlight varies hugely by latitude and season but also has strong variations in southern parts of the country. Above the arctic circle you can have near-total darkness in the middle of the winter dark period.

Macroeconomic Overview

In 2019, GDP experienced respectable growth, with the strongest contribution coming from crude oil and natural gas exports according to the latest data released by FOCUSECONOMICS. The decline in petroleum investments continues to negatively affect the Norwegian economy but low interest rates, increasing export demand, and a weak Norwegian Krone have ensured solid growth numbers for the Norwegian economy.

It is expected that the Norwegian economy will experience a decrease in 2020, due to the effect of the COVID-19 crisis. The projections show that the economy is likely to pick up in 2021 and continue to grow over the forecast period. Household consumption increased for the first two months of 2020, but the month of March experienced a significant decline of 4.2% due to the COVID-19 effects. April then experienced the steepest growth in personal spending since January 2017. Wages increased in real terms in 2019. This growth is expected to continue in 2020 and benefit domestic consumption. The unemployment rate was greatly affected by the COVID-19 crisis in the first few months of 2020. It increased to 10.4% in late March, which is the highest levels since the Second World War. It has since stabilized at lower levels.

The largest source of uncertainty is price development of oil and gas due to the COVID-19 pandemic, which are among the main drivers of the Norwegian economy. The mainland economy, which excludes oil and gas production, shrank by 4.7% in April compared to March according to STATISTICS NORWAY (SSB). The outbreak of COVID-19 triggered a crash in oil prices, which is Norway's most important export. Despite decreasing oil exports, SSB believes that the Norwegian economic will recover before their trading partners. Norway's \$1 trillion sovereign wealth fund, which is around three times the value of annual GDP, puts the country in a unique position to spend their way out of the crisis, according to SSB. SSB predicts the economy is to grow by three and 2.7% in 2022 and 2023.

The Norwegian krone continued to depreciate against the Euro in 2019, largely due to concerns regarding the falling residential real estate market and continuous petroleum price uncertainty. The NOK depreciated further in the first months of 2020 and reached an all-time low weeks after due to the negative impacts of COVID-19 and the oil price collapse.

Residential Construction

Overview

Residential construction has been going strong in Norway, driven by economic growth. Housing starts developed positively in 2019 due to an increase in apartments, which are predicted to affect the housing completions positively in 2020. The market for renovation also experienced an increase in 2019 at 1.6% according to EUROCONSTRUCT.

Housing prices continued to grow in 2019 compared to the previous year. Prices for 2020 are predicted to drop by less than 5% versus 2019, according to EUROCONSTRUCT.

The housing market is expected to experience a shift in demand from new build to existing housing. This was also the trend in previous crises. EUROCONSTRUCT predicts that housing starts will decline in 2020.

New Housing

The Norwegian new construction market grew steadily from the beginning of the 2000s until 2008, before it plummeted in 2009 and 2010 as a result of the financial crisis. The housing market started to recover in 2011. New dwelling completions have been rising in recent years and exceeded pre-crisis levels in 2018. According to EUROCONSTRUCT, the total number of new dwelling completions decreased in 2019 compared to 2018. EUROCONSTRUCT estimate new residential construction output was 9.3 billion euros in 2019.

The main impact the COVID-19 crisis has on the Norwegian construction market in 2020 will be seen through a decreasing number of started building projects. As mentioned earlier, the Norwegian housing market is predicted to experience a shift in demand from new build to existing housing. EUROCONSTRUCT believes that this shift is mainly due to market uncertainty, which leads to less taking less risk. For many homeowners it probably feels safer to buy a home they can move into right away instead of waiting a year or two for a house to be built. In a survey done by EUROCONSTRUCT in mid-April 2020, 66% of the respondents preferred to buy a second-hand home while 27% would prefer newly built, the rest was indifferent or unsure.

Housing starts and building permits should hit a low point in 2020, negatively affecting the new housing market over the next years. The housing market should then enter times of uncertainty, with predicted ups and downs in the number of building permits delivered until 2022. In December 2019, interest rates increased one percentage point compared to September 2018, which has affected the market negatively.

Forecasts are sensitive to changes in interest rates and the overall development of the Norwegian economy. Any changes in economic indicators (such as economic growth) can negatively affect the residential construction market. On the supply side, the development of new apartment construction is project-driven and, thus, also more dependent on pre-sale agreements than detached houses whereby demand tends to remain more stable. Stricter requirements, therefore, apply for this type of dwelling start in uncertain economic conditions. In a scenario where interest rates remain low, this will generally drive up dwelling demand in combination with banks' willingness to lend but can also lead to increased government intervention to reduce the access to debt. In a worst-case scenario, stricter requirements might lead to drops in dwelling demand and construction output. Another uncertainty factor that might influence forecasts is the effect of stricter requirements for construction companies implemented in recent years. The effect of these requirements has been gradual so far but could potentially lead to more construction companies being forced to postpone or reject projects because they are unable to provide the guarantee. A great uncertainty over the next years is to what extent the COVID-19 pandemic will affect the market for new housing completions, RMI sales, and non-housing.

Housing RMI

Historically, residential renovation activity in Norway has been more stable than that of new construction and independent from changes in economic conditions. According to EUROCONSTRUCT, total RMI investments increased in 2019, with increased private consumption, more transformation housing, and the continued trend of letting professionals do the renovation at the expense of DIY. RMI investment is expected to slow down throughout the forecast period. A 3.5% decline in 2020 is predicted, a first year of decline since 2009. 2021 is forecasted to have a 1.3% growth and a 2.6% growth in 2022.

Modernisation and maintenance are the most common forms of RMI activity, and account for about 60% of total RMI investments. There are currently no tax incentives in place for home improvement ('ROT-Fradrag') in Norway like there are in the rest of the Scandinavian countries, but this has been a much-debated topic over the last few years. The latest update on the issue is that the government has decided not to implement the tax deduction scheme due to the high costs it would incur. Instead, the government has continued to focus on expanding the ENOVA incentive scheme for energy improvements. ENOVA, which was established in 2001 to support the transition towards more environmentally friendly consumption and energy generation, is financed by funds from the Energy Fund (*Energifondet*). The incentive scheme supports the installation of balanced ventilation and heat pump ventilation units. In 2019, ENOVA granted support to more residential projects than in previous years. Almost 21,000 grants were disbursed in 2019, which was a 40% increase. Of this, 2,552 grants were awarded to removal of oil stoves and oil tanks. More than 2,800 grants were given to homeowners that removed an oil tank combined with purchasing a renewable heating source, such as a heat pump. This means that about 5,400 homeowners received grants for removing oil tanks. In addition, the Norwegian State Housing Bank can issue loans

for home improvements that are energy efficient.

Non-Residential Construction

According to the latest data from EUROCONSTRUCT, non-residential construction and renovation activities increased in 2019. Public investment in buildings for education and health increased. EUROCONSTRUCT estimated the market to be EUR 7 billion in 2019, an increase of 5.4% from 2018.

Buildings for hotels and restaurants are predicted to be significantly affected by the COVID-19 crisis due to the shutdown and closed border, which has dampened the tourism industry. However, health buildings are expected to increase dramatically in 2019 and 2020, with the construction of two new hospitals in Møre og Romsdal and Buskerud.

According to EUROCONSTRUCT, only 323,000 square meters of office building were started in 2019. This was a decrease of 25% compared to 2018. The number is expected to decrease further in 2020 and then increase to 400,000 square meters in 2021. Further growth is hindered by the increased unemployment rate and high uncertainty in the private business sector.

II.2 Key Figures

NO - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population ('000)
	Population (% Urban)
	Population (% Rural)
Households	Total ('000)
	Average Size (Persons h/h)
Persons per Household (% of Total)	5+
	4
	3
	2
	1

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

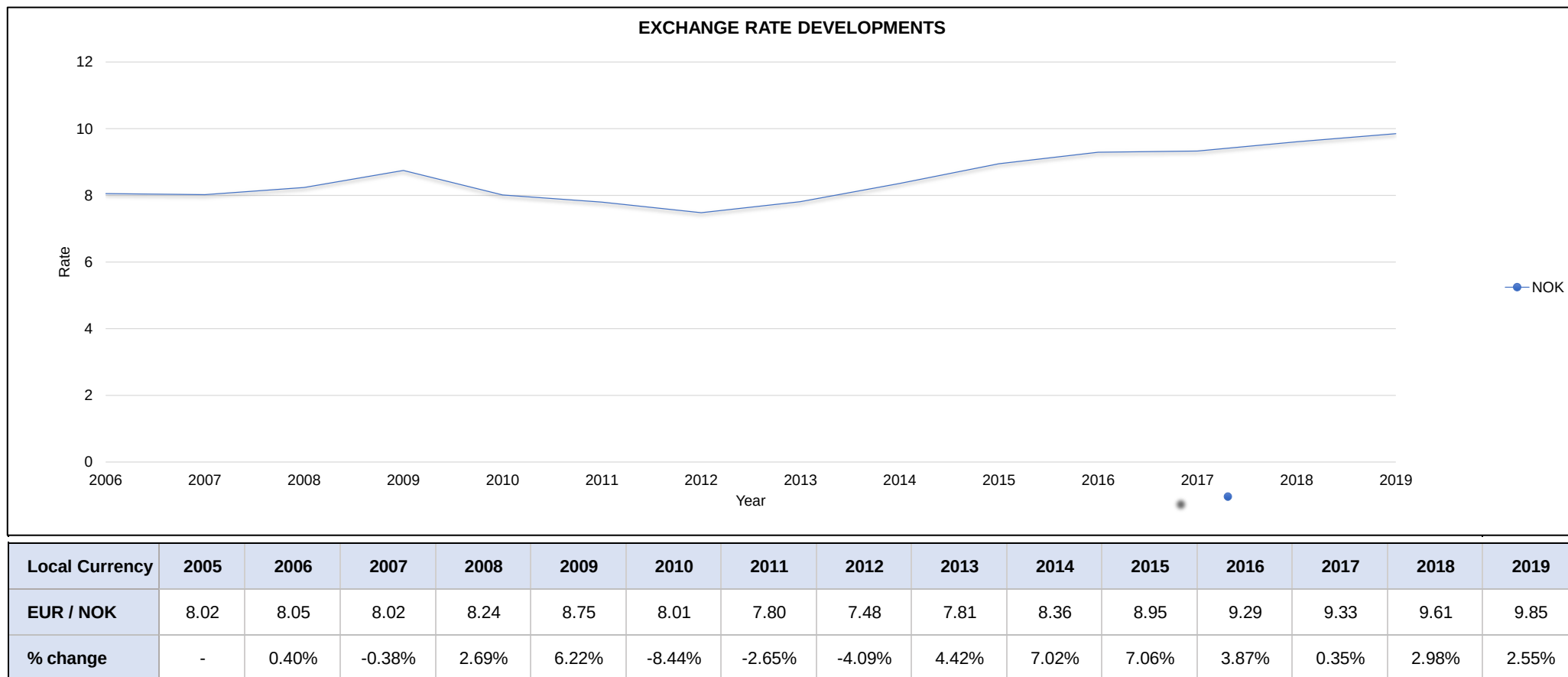
NO - KEY MACROECONOMIC INDICATORS

Value	Year																
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	1.53	2.33	0.71	3.75	2.20	2.42	1.29	0.70	2.12	2.04	2.17	3.55	1.88	2.77	2.17	2.40	2.20
GDP (% change)	2.63	2.40	2.99	0.48	- 1.73	0.70	0.98	2.70	1.03	1.97	1.97	1.07	2.32	1.29	1.15	- 6.27	2.95
Government Balance (% of GDP)	14.76	17.94	17.10	18.63	10.24	10.92	13.35	13.76	10.67	8.62	6.02	4.06	5.00	7.34	7.92	0.78	3.68
Household Saving Rate (% of Disposable Income)	9.69	- 0.42	0.94	3.76	5.22	4.02	5.87	7.12	7.42	8.21	10.34	7.25	6.72	6.52	6.69	6.84	7.01
Private Consumption (% change)	4.40	4.96	5.31	1.68	0.03	3.81	2.37	3.49	2.81	2.07	1.97	1.07	2.32	1.29	1.15	- 5.99	4.68
Unemployment Rate (%)	4.62	3.44	2.54	2.75	3.27	3.79	3.36	3.29	3.77	3.62	4.53	4.74	4.22	3.85	3.73	13.00	7.00

Source : IMF and OECD

N.B. No data available beyond 2021 at the time of publication.

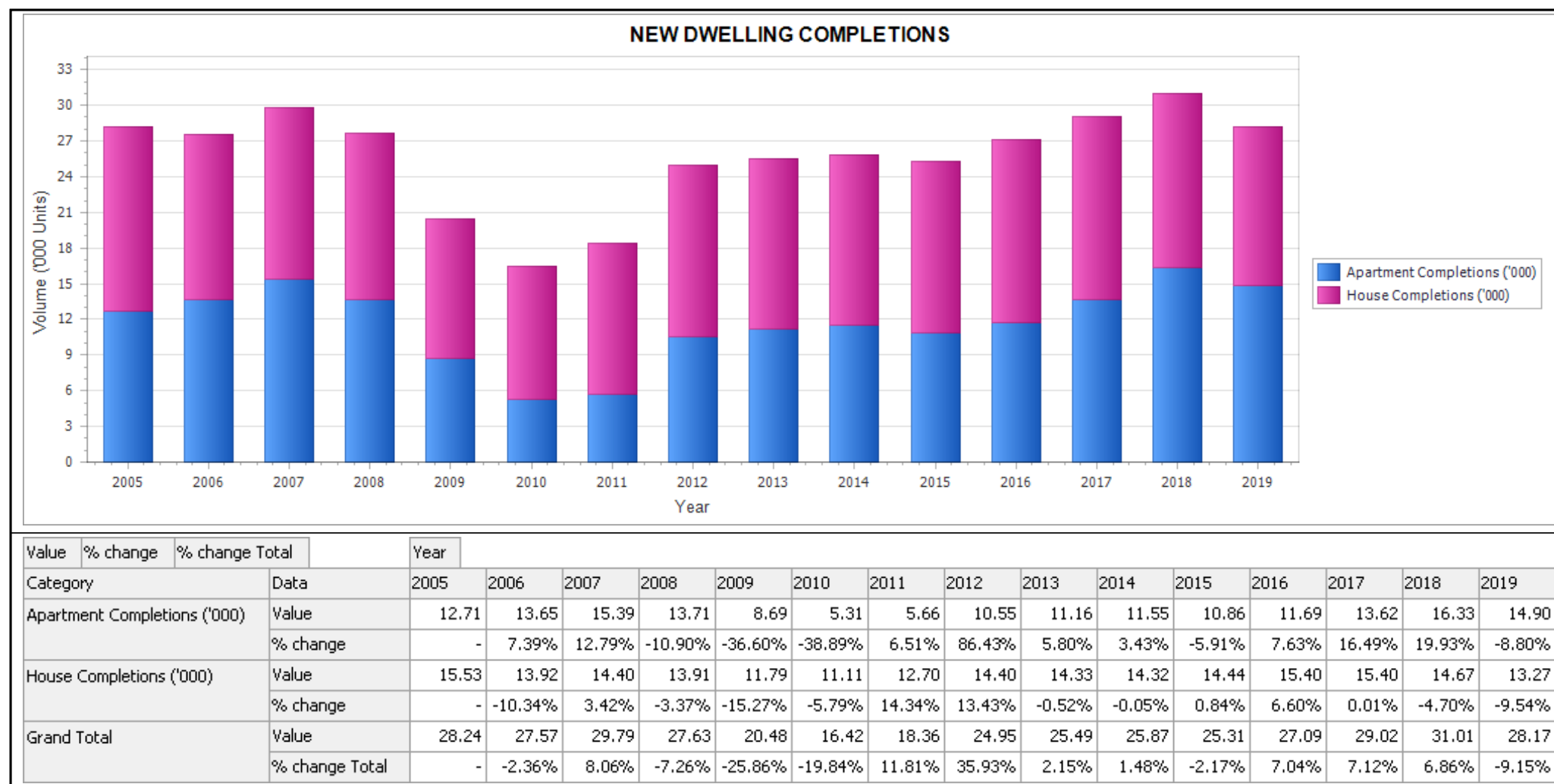
II.4 Historical and Current Exchange Rates
NO - EXCHANGE RATES : HISTORICAL AND CURRENT



Source: OANDA

The Norwegian Krone (NOK) is the Currency of Norway. The Exchange Rates Shown are the NOK to the EUR.

II.5 New Dwelling Construction
 NO - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.6 Dwelling Stock by Type and Tenure
NO - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	26.11
	Apartments ('000)	794.00
	Houses : Rural (%)	20.82
	Houses : Rural ('000)	633.00
	Houses : Urban (%)	53.07
	Houses : Urban ('000)	1 614.00
Dwelling Stock by Tenure	Primary Owned (%)	59.85
	Primary Owned ('000)	1 820.00
	Primary Rented : Private (%)	16.51
	Primary Rented : Private ('000)	502.00
	Primary Rented : Public (%)	1.32
	Primary Rented : Public ('000)	40.00
	Secondary (%)	15.52
	Secondary ('000)	472.00
	Vacant (%)	6.81
	Vacant ('000)	207.00

Source: BRG based on Country Statistics.

II.7 Overview of Impact of COVID-19 on Forecasts
NO – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected start of easing]	The official lockdown in Norway started on 12 March 2020, and it has been eased since 20 April 2020, when kindergartens and some health specialists were allowed to reopen. From 27 April 2020, a partial reopening of high schools and universities, hair, massage, and beauty salons was allowed.
Number of officially confirmed cases	9,034 cases [255 confirmed deaths] as of 20 July 2020 / Population 5,4 m (2020).
General measures in place to support the economy	Different measures implemented to support both individuals and companies, so far adding up to over NOK 139 bn, corresponding to around 4.6 % of GDP.
Statistics on affected individuals	The unemployment rate is continuing to decline since its peak at 10.7% at the end of March. At the end of May, the 6.4% unemployment rate was an improvement from March numbers but still not near the pre COVID-19 rate of 2.3%.
Measures in place to mitigate economic impact on INDIVIDUALS	The Norwegian government put in place a range of different measures to support individuals: 1) Temporarily laid off persons are guaranteed 100% compensation until an annual salary of NOK 599,148 has been reached. 2) Increased access to loans for students who have lost work income. NOK 1 bn is allocated to convert some of those loans into grants. 3) A doubling of the number of days parents can stay at home with sick children and allowing transfer of days between parents.
Specific measures affecting BUILDING CONSTRUCTION and RMI	Most DIY stores are open, and the COVID-19 pandemic is not affecting this sector negatively. Some DIY stores, for example, are experiencing an increase in private customers during the COVID-19 outbreak.
Measures in place to mitigate economic impact on COMPANIES	A broad range of measurements are put into place to support business and industries: 1) A reduction in employer-paid days from 15 to 2 for temporary lay-offs, from 10 to 3 for care-related leave and from 16 to 3 for COVID-19-related sick leave. 2) A compensation scheme of NOK 1 bn to pre and after school care and NOK 900 m for culture, sports, and voluntary sectors.

Sources:

- <https://www.theguardian.com/world/2020/apr/19/israel-and-south-korea-to-ease-coronavirus-lockdowns>
- <https://www.worldometers.info/coronavirus/country/norway/>
- <https://www.worldometers.info/world-population/norway-population/>
- <https://www.regjeringen.no/en/aktuelt/economic-measures-in-norway-in-response-to-covid-19/id2696858/>
- <https://www.cushmanwakefield.com/en/insights/covid-19/covid-19-impacts-norway-real-estate>

NORWAY

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The distribution of bathroom products in Norway is often associated with the trade of VVS ('Varme, Ventilasjon, Sanitet') products, which comprises heating, ventilation and sanitaryware, in addition to electrical and refrigeration products. As a result, many of the same distributors are often present in all these product markets, especially in the wholesale market. The distribution strategies employed by manufacturers and the general flow of products in the individual markets are, however, slightly different in the heating, ventilation and sanitaryware markets. Although variations exist between the different product segments, most bathroom products in Norway are distributed to installers, either via VVS wholesalers or directly from manufacturers to installers. Most manufacturers in the market tend to employ focused distribution strategies, using a limited number of distribution channels to sell their products. In contrast to other Scandinavian countries such as Denmark and Sweden, wholesalers seldom distribute products via DIY and internet retailers. Most manufacturers using wholesalers also tend to stay loyal to wholesalers as the only distribution route. The largest players in the bathroom market, GEBERIT and VILLEROY & BOCH, only sell to wholesalers. The largest suppliers to use routes other than wholesale include companies such as SVEDBERGS and the HAFA BATHROOM GROUP, in addition to TAPWELL (which sells directly to installers).

The wholesale channel has traditionally been a strong sector for bathroom products in Norway, because of the predominance of the professional segment. The DIY sector has grown in recent years, but it remains small by Northern European standards. The three-step approach, manufacturer-wholesaler-installer, therefore, is the dominating distribution strategy executed by manufacturers. The largest volumes are sold to trade customers, building contractors/construction companies and large installer chains due to the predominance of the professional segment. Because of the strong presence of larger wholesalers, the structure of the Norwegian distribution market has remained relatively stable historically. The reason for the dominance of the traditional manufacturer-wholesaler-contractor/installer channel is closely linked to the logistics of Norway. Another reason for the strong presence of wholesalers is that installers are traditionally very conservative, with strong brand loyalty.

Some structural changes, however, have been observed within the bathroom products' distribution in the last 10 years, with a growing trend towards direct selling operations among manufacturers. VVS installation chains such as COMFORT and VARME & BAD, and DIY retailers, have also been expanding successfully. Because of this development, wholesalers have made significant efforts to protect their own role in the supply chain. This includes the acquisition of DIY retailers, the expansion of private label product lines and a stricter line towards bathroom manufacturers using multi-channel strategies (DIY retailers and internet retailers in particular).

Private label brands, in particular, are a development that has caused challenges for bathroom manufacturers, as the products compete directly with their own. Private label assortments within the VVS market have expanded yearly and BRØDRENE DAHL offers a complete bathroom product line under its ALTERNA brand, including bathroom furniture, taps and mixers, shower wall, baths, ceramic sanitaryware and bathroom accessories. AHLSELL has also increased its presence within the private label market with its A-COLLECTION brand but remains largely focused on sales of taps and mixers and ceramic sanitaryware products, and has a smaller assortment than DAHL. HEIDENREICH AS imports VIGOUR and sells this as their private label brand. This development has created some disruption to both trade patterns and pricing within the bathroom distribution market in Norway. An example is bathroom furniture manufacturer FOSS BAD, which decided to change its distribution strategy in 2015 and sell directly to installers instead of using wholesalers.

The Norwegian bathroom product market is concentrated, with the majority of bathroom products sold by suppliers from Nordic countries, followed by suppliers from Germany and, increasingly, China. Little production takes place in Norway and most markets are supplied either by imports or assembled production (e.g. SVEDBERGS) from OEM sourced components, as well as an increasing number of unbranded products. Most bathroom product market sectors are supplied by subsidiaries of large European manufacturers. The three most represented international groups are GEBERIT (PORSGRUND BAD and IFÖ SANITÄR brands), followed by VILLEROY & BOCH (GUSTAVSBERG and VILLEROY & BOCH brands) and SVEDBERGS. These groups have considerable shares in most of the bathroom product categories, and a large part of their activities involves tendering for the contract market (less so for SVEDBERGS).

In terms of volumes distributed, GEBERIT (IFÖ, IDO and GEBERIT), VILLEROY & BOCH (GUSTAVSBERG, VILLEROY & BOCH), ORAS and the FM MATTSSON MORA GROUP (FM MATTSSON, MORA ARMATUR and DAMIXA) are the leading players. These manufacturers have a particularly strong presence in the professional market, selling to installers and contractors/construction companies, mostly through wholesalers. With well-established relationships with wholesalers and installers alike, they can take higher margins and their products have wider availability in the wholesale and installer networks.

Other leading manufacturers include GROHE (LIXIL), TAPWELL, IKEA (INGKA HOLDING), LINN BAD, SVEDBERGS and the HAFA BATHROOM GROUP (HAFA, WESTERBERGS). SVEDBERGS sell either directly to installers or through retailers, with a higher design and B2C focus. Because of relatively low volumes being distributed, they also offer lower margins to installers than the leading brands. LINN BAD and TAPWELL sell directly to manufacturers.

Imported brands are usually sold directly, either to small installers or to consumers via specialist, internet and/or DIY retailers. Due to the strong dominance of domestic or pan-Nordic brands, it is challenging for foreign players to enter the

market and get access to the main distribution channels without having a strong local sales organisation. Because of the maturity of the market, the dominance of local and Nordic manufacturers and the strong presence of large wholesaler and VVS chains, the structure of the Norwegian distribution market has also remained relatively stable historically, with most sales going via wholesalers.

The largest installer companies with a national coverage are BRAVIDA, CAVERION and ASSEMBLIN. These three companies mainly target the project market in the residential and non-residential sectors, and distribute multiple brands depending on what the project owner or building consultant demands. Purchasing is often carried out on a project-to-project basis, and differences in products and brands distributed occur between the regional divisions. Most products are purchased via wholesalers. Installer/plumbing chains such as VVS EKSPERTEN, VARME & BAD, COMFORT, RØRKJØP, BADERINGEN and BADEMILJØ, which all have their own outlet stores and/or showrooms, are classified as specialist retailers. BADEMILJØ has shown particularly high levels of ambitions lately and are moving towards consolidation in the segment. They are taking lessons from the grocery store industry and are showing great intent through the establishment of joint procurement systems and expansion targets.

The largest construction companies operating in Norway are VEIDEKKE ASA, SKANSKA NORGE AS, AF GRUPPEN ASA and NCC CONSTRUCTION. These construction companies carry out the great majority of large-scale modernisation and new construction projects such as apartments, in cooperation with local installers, energy advisors and building consultancies. These companies have well-established procurement processes and often use dedicated framework agreements with VVS installers and/or bathroom manufacturers. The supply, therefore, tends to be dominated by a few bathroom manufacturers, and the choice of the suppliers is often standardised across different projects. An increasing share of new dwellings are equipped with pre-fabricated bathrooms, rather than bathrooms assembled on the building site.

One- and two-family dwellings are usually built by smaller construction companies. These include, amongst others, the following house manufacturers: MESTERHUS, NORDBOHUS, BLINK-HUS, NORGESHUS, SELVAAG BOLIG, BLOCK-WATNE (owned by OBOS), JM NORGE AS, SYSTEMHUS NORGE and BYGGMANN GRUPPEN. All these companies are members of the NORWEGIAN HOME BUILDERS' ASSOCIATION, BOLIGPRODUSENTENES FORENING, which is part of the CONFEDERATION OF NORWEGIAN ENTERPRISE (NHO). BOLIGPRODUSENTENES FORENING is the leading trade association for builders of one- and two-family dwellings and holiday homes in Norway.

The most relevant VVS trade associations for the bathroom product industry in Norway are: NORSKE RØRGROSSISTERS FORENING (NRF), which is the main HVAC wholesalers' association, consisting of AHLSELL, BRØDRENE DAHL, HEIDENREICH and ONNINEN; RØRENTREPENØRENE (NORWEGIAN ASSOCIATION OF PLUMBING, HEATING AND VENTILATION CONTRACTORS), with 670 member companies engaged with heating and sanitary installations; VA

OG VVS PRODUSENTENE AS (NORWEGIAN ASSOCIATION OF HVAC MANUFACTURERS), with 32 members. Bathroom manufacturers include ORAS, GEBERIT, VILLEROY & BOCH and the FM MATSSON MORA GROUP.

Wholesale Level

The wholesale and merchant trade market in Norway consists of VVS wholesalers, electrical wholesalers, specialist wholesalers and builders' merchants. As far as bathroom products are concerned, a large majority share of products is distributed via VVS wholesalers. The VVS wholesaler sector is highly concentrated, with four wholesaler chains accounting for about 90 percent of the overall VVS wholesale market. These are BRØDERNE DAHL (SAINT GOBAIN), AHLSELL, HEIDENREICH and ONNINEN (KESKO). ONNINEN was acquired by KESKO in January 2016. All four wholesalers are members of the HVAC WHOLESALERS ASSOCIATION, NORSKE RØRGROSSISTERS FORENING VVS (NRF).

PORSGRUND BAD and IFØ (GEBERIT), GUSTAVSBERG and VILLEROY & BOCH (VILLEROY & BOCH), MACRO (SVEDBERGS), DURAVIT, GROHE (LIXIL), ORAS and HANSA (ORAS GROUP), HANSGROHE (MASCO), FM MATSSON and MORA (FM MATSSON MORA GROUP), and IDEAL STANDARD all distribute their products via wholesalers. CONTEA, KWC (FRANKE), ARROW and DANLINE are other suppliers using this channel. After acquiring VVS MARKETING, LAUFEN (ROCA) has now announced that it will increase its focus on the wholesale channel. The company sell via BRØDRENE DAHL. There are also several private label brands in the wholesale market, including A-COLLECTION (AHLSELL), VIGOUR (HEIDENREICH), DAY (BRØDRENE DAHL) and ALTERNA (BRØDRENE DAHL).

Retail Level

The retail trade channel has grown slightly over the years, but remains relatively small due to the dominance of wholesalers. The largest retail channel by far is specialist retailers, which includes the large VVS installer chains consisting of smaller, independent plumbers and installers with their own retail stores, in addition to IKEA. DIY retail trade is more limited, and is a mix of DIY and tile retailers, as well as builders' merchants. Taps and mixers are the products with the largest range in this channel. Internet retailers still account for a small share of the total market for bathroom products in Norway but have increased in recent years within product segments such as taps and mixers. In general, the loyalty of manufacturers and wholesalers towards the installers is high in Norway, which explains the relatively high share of sales to the installer/plumbing chains. Wholesalers and manufacturers have been reluctant to sell products to DIY and internet retailers and stay loyal to these installers. The installers, therefore, also enjoy high rebates or bonuses from wholesalers, and have significantly higher margins than DIY and internet retailers.

Private label sales have been less influential in the retail trade than in the wholesale channel when looking at bathroom products. However, there are many

private label/non-branded products present in the market. Examples include CURAQUA (JULA), CELESTE (MEGAFLIS), LULA (BYGGMAX), SAXE BAD (COOP), HARMONI (MAXBO), and IONA (BYGGMAKKER). BYGGERN, BYGGMAKKER and BILTEMA also have a non-branded product or private labels in their product assortment.

DIY Retailers

The Norwegian DIY retailer market is more fragmented than the wholesale market and is characterised by fierce competition and a significant share of foreign-owned players. The competition has intensified in recent years, and the largest DIY chains have diversified into product categories that were traditionally only sold by builder merchants. Increased competition experienced in recent years has put higher pressure on the margins and profitability of retailers, which in turn has resulted in a more consolidated market. KESKO acquired BYGGMAKKER through its DIY and builders' merchant division RAUTAKESKO in 2013. The largest DIY retailers in the market with a bathroom product assortment include GELIA (AHLSELL), BYGGMAKKER (KESKO), MONTER/OPTIMERA (SAINT-GOBAIN), MAXBO (LØVENSKIOLD GROUP), BAUHAUS, BYGGERN (E.A. SMITH), XL BYGG, COOP, NEUMANN BYGG (DT GROUP), BYGGMAX, MEGAFLIS, JULA, NORFLOOR and BILTEMA. MEGAFLIS is believed to be one of the leading DIY retailers within bathroom products and is the company with the widest assortment. The most popular products sold via this channel are taps and mixers, bathroom furniture and shower enclosures.

According to the industry association, VIRKE, the total DIY and builders' merchants' sales increased by 1% in 2019 compared to 2018 in terms of value. After several years of strong growth in the construction industry, growth slowed down in 2019. Decreasing activity on the Norwegian housing market has put a damper on further market growth. Considering the large variety of building products sold via this channel and the dominance of building materials, BRG assumes that the growth in the sales of bathroom products was lower than the general sales.

Specialist/Other Retailers

'Specialist retailers' mainly refers to VVS installation chains, smaller specialist kitchen and bathroom retailers and IKEA. COMFORT, VARME OG BAD, BADEMILJØ, BADERINGEN, RØRKJØP and VVS EKPERTEN are examples of VVS installation chains, with specialised VVS shops. These companies source products from wholesalers and directly from manufacturers.

Manufacturers that sell directly to retailers include e.g. INTERFORM, VIKINGBAD, SVEDBERGS, LINN BAD, KOHLER, JOMO, KORSBAKKEN TRADING, INR, and ASPEN (VANNA GROUP), TECE and TAPWELL. In March 2020 DANSANI acquired INR from the Nordic venture capital firm CAPMAN who also owns SANKA. Like wholesalers and DIY retailers, VVS installer chains also sell their own private label brands. ELEMENT (COMFORT), BADEMILJØ (BADEMILJØ) and FJORDBADENE (BADERINGEN) are examples of such private labels. VVS

EKSPERTEN, RØRKJØP and VARME & BAD sell private label brands from wholesalers BRØDRENE DAHL, HEIDENREICH and AHLSELL. VARME & BAD is also the importer of bathroom furniture from ARCOM.

Internet Retailers

The importance of the Internet as a distribution channel has grown over the years. This development has largely been driven by downward price pressure and convenience factors, where bathroom furniture and taps and mixers are among the product segments with the higher share of internet sales. Some of the largest internet-only retailers present on the market specialising in bathroom products and/or VVS are VVSKUPP.NO (belonging to DESIGNKUPP AS), BAD.NO AS, VVS KOMPLETT AS, BILLIG VVS AS, BYGGHJEMME, 24 VVS (belonging to 24 VVS VED BERGEN GRUPPEN AS) and VVSLAND AS. Most of these products are sourced from abroad, and imported directly from countries such as Germany, Sweden or Denmark, where products are cheaper.

BILLIG VVS AS belongs to the Danish internet-only retailer BILLIGVVS.DK APS, which was acquired by the wholesaler BRØDRENE A O JOHANSEN in 2015. RØRKJØP was the first of the VVS installer chains to launch its online shop in 2014, selling directly to end-consumers.

III.2 NO - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)												
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other	
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify
AHLSSELL GROUP AB	AHLSSELL NORGE AS	Wholesaler	Heating, Sanitary, Plumbing & Electricals	2019	559,0	47	National	xxx	xxx	xxx	xxx	x							xx	Electrics
SAINT-GOBAIN	BRØDRENE DAHL AS	Wholesaler	Heating, Sanitary, Plumbing & Electricals	2018	697,0	57	National	xxx	xxx	xxx	xxx	x							x	Electrics
KESKO OY	ONNINEN AS	Wholesaler	Heating, Sanitary, Plumbing & Electricals	2018	240,0	25	National	xx	xx	xx	xx	x							xxx	Electrics
GC GROUP	HEIDENREICH AS	Specialist Merchant	Heating, Sanitary & Plumbing	2018	143,0	33	National	x	x	x										
KESKO OY	BYGGMAKKER HANDEL AS	DIY Retailer	Building Materials & DIY	2018	337,0	82	National	xx	xx	xx			x	xxx	xxx				xx	DIY Assortment

Source: BRG based on company information.

x = Marginal Activity

xx = Substantial Activity

xxx = Core Activity

NORWAY

BATHS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Norway is a country that is dominated by showers. The market for baths is among the smallest in Europe, which can be explained by wet room regulations and the fact that Norwegian consumers prefer showers over baths. There is a tendency towards having a wet rather than a dry bathroom approach, where the showering area of the bathroom consists of either a tiled or PVC floor, with open floor drain outlets cut into the floor. This area is then contained either by a shower curtain or enclosure. Households in Norway, as in the other Nordic countries, rarely use showers in combination with a shower tray. This is largely due to the requirement to have a wet room in the bathroom and the unnecessary extra cost it incurs and the particularly difficult construction it requires. Of the small market that exists, most of the volume is thought to be made up of imports (by wholesalers).

The overall Norwegian bath market experienced considerable growth during the 1990s, positively influenced by a growing population and construction industry but, during the last decade, growth has been unstable and started to weaken from 2008 onwards because of the economic downturn and the subsequent decline in construction output and RMI investment. Sales of baths resumed growth in 2017 due to several big projects.

Hydromassage baths have been commercialised in Norway for over two decades. However, sales have been falling sharply since the financial crisis in 2009 along with other European markets, despite Norway not really suffering from the crisis. Hydromassage/whirlpool baths are virtually all made of acrylic (though a few have steel shells), and are usually equipped with air jets rather than air and water or solely water jets.

The standard rectangular-shaped steel baths have traditionally dominated the market for baths in Norway, but their share has been successively declining because of the growing penetration of showers and increased competition from synthetic baths. Previously, steel baths were often chosen because of their durability, but the growing importance of aesthetic design has favoured the sales of synthetic baths and has been a main driver for sales. Synthetic baths in Norway include acrylic and cast marble models, with the latter seen to be growing in popularity in recent years. The market for synthetic baths registered a very high growth rate between 1998 and 2008, whereas sales of steel baths decreased over the same period. Although steel baths are nowadays available in various other shapes than the standard rectangular bath, the price of these designer baths is higher compared to acrylic baths of the same shape – which is why most steel baths continue to be sold in the middle price segment.

Recent Market Trends

After a rather short-lived expansion in 2017, sales of baths in Norway continued to decrease in 2019, in line with the longer-term trend. All baths segments

experienced declines in sales in 2019, due to a decrease in new housing completions.

Steel baths, notably, experienced several years of heavy decreases in sales numbers. The industry believes sales have reached a sort of bottom, although it is still projected to decline at a more moderate pace. This continued decrease is due to the trends of removing the baths and installing showers, but also the growing preference for synthetic baths taking away some of the RMI sales from this segment. Sales of steel baths have now reached a level where housing RMI sales are almost entirely driven by like-for-like replacements. Cast iron baths continue to be a niche market, where most of the products are sold through specialised retailers and are premium priced models.

The overall hydromassage bath market continued to decrease in 2019, due to a decreasing consumer trend towards these types of baths. Hydrotherapy products are more dependent on consumer spending levels and on bathroom renovation and consumer trends. The segment is also facing strong competition from outdoor hot tubs, which are particularly popular in secondary homes.

Prices and Market Values

Thanks to the high household average income, the Norwegian market for baths is heavily concentrated in the middle price segment, whereas other Western European markets tend to be skewed towards the economy segment.

The average bath MSP in Norwegian krone (NOK) increased in 2019 for synthetic and hydromassage baths. The increase was moderate and reflected a year of an increased inflation rate and rising labour costs. An increase in the share of products sold in the middle price segment have led to a rise in average MSPs for synthetic and hydronic baths in recent years.

Prices for steel bath has for the second year in a row experienced a significant decrease in prices, due to lower import prices and a shift from luxury steel baths towards economy/lower price segment.

The overall value of the market decreased in 2019 in both EUR and NOK; the rising prices did not compensate for the fall in volumes of baths sold.

New Housing

In volume terms, the new housing segment is the second largest segment for baths in Norway, after the RMI sector. Over the years, the share of baths fitted in new housing has been declining in favour of showers but has stabilised in the last decade. A growing number of consumers have started to prioritise baths in their bathrooms, but mainly in combination with a shower. Most new dwellings equipped with baths are one- and two-family houses with more than one bathroom, or bathrooms with a size that allows for fitting both a shower and bath. It is less common in Norway to install only baths in new housing, as most bathrooms have

tilled or PVC floors.

Baths have a relatively low penetration rate in new apartments, which accounted for most of the dwelling completions in 2019. Sales of baths experienced a decline in 2019 across all products to this end use segment due to a decrease new housing market. New housing installations are expected to continue declining in 2020, despite increasing new housing completions. Sales to this segment are expected to follow the completions of one- and two-family houses. However, this will be sensitive to the size of houses and bathrooms.

Housing RMI

The overall market is heavily dependent on RMI sales, and any replacement or displacement trends, therefore, have a significant effect on the overall development of the bath market. Given the high share of privately-owned dwellings in Norway, the interest in home improvement and a building stock from the 1970s in need of modernisation, both private and particularly professional RMI have grown in recent years. Unfortunately, the bath market has not always followed this trend. Bathroom renovations often mean that baths are removed and replaced with shower enclosures in a wet room.

The presence of synthetic baths within this end-use segment has increased in recent years, partly because of increased displacement of steel baths with synthetic baths and partly due to the falling demand for hydrotherapy baths. One reason for this is that consumers have become more design-conscious, but synthetic baths are also better suited for retrofits because they are relatively easy to install compared to steel baths. Synthetic baths are sold in multiple colours, shapes and styles and the material is also lighter than steel, which makes it easier for transportation and installation. They have gained popularity, therefore, among both consumers and installers. Displacement of baths for showers has also had a certain effect on the housing RMI market to date, as housing RMI demand for steel baths, in particular, has suffered in recent years. The popularity of hydromassage baths is expected to continue to fall at the expense of more functional baths in housing, while like-for-like replacement sales should lead to more stable sales over the forecast period.

The general development within housing RMI was negative in 2019, due to a decrease in sales of steel baths and hydromassage products. For the overall bath market, it is estimated that distress replacement sales declined while full bathroom renovation projects increased.

Sales of all types of baths are expected to keep declining in 2020, due to an increasing trend towards showers. The market is predicted to increase in 2021 and then decrease for the rest of the forecast period.

Non-Housing

The non-housing sector only accounts for a marginal share of the total bath sales, where most baths are fitted in hotels. Its share, however, is decreasing because of the growing preference for walk-in showers in new hotels. As opposed to the residential market, steel baths are the main driver of growth, because of their durability and long lifespan. Synthetic baths sold to non-housing are mainly for buildings where design is the top priority, such as premium hotels or spas. Sales of hydromassage products to the non-housing segment are marginal and mainly consist of sales to luxury hotels, fitness clubs and spas, in addition to holiday homes. No significant changes have been seen in this market segment in 2019, and most of the sales are like-for-like replacements.

Supply Structure

The Norwegian steel bath market is characterised by the dominance of IFÖ, owned by GEBERIT after the company acquired SANITEC at the beginning of 2015. Other leading players include SVEDBERGS, LAUFEN (ROCA), GUSTAVSBERG (VILLEROY & BOCH) and KALDEWEI (imported by HOLTAN TRADING). The Spanish manufacturer METALIBERICA was formerly distributed by VVS MARKETING in Norway but has lost shares after the company was acquired by LAUFEN.

The supply of synthetic baths in Norway is more fragmented than that of steel baths, and a larger share of the players are present in both the hydrotherapy and synthetic bath markets. Domestic manufacturer INTERFORM is the largest supplier in the market, followed by DANLINE, which is imported from Denmark. Other players include GLASS IDROMASSAGGIO, IDO, VICO, VILLEROY & BOCH, WESTERBERGS, DUSCHOLUX and VICTORY SPA. GLASS IDROMASSAGGIO, a former subsidiary of MASCO, is imported from Italy; VICTORY SPA is imported from Poland; while the Swiss supplier DUSCHOLUX's products were imported and commercialised by VVS MARKETING in Norway until VVS MARKETING was acquired by LAUFEN (ROCA). As a result, DUSCHOLUX has established its own subsidiary in Norway. KOHLER is also present in the market through the brand JACOB DELAFON.

Like most other bathroom product markets, the supply of hydromassage/whirlpool baths in the Norwegian market is dominated by Nordic players and the share of non-Nordic suppliers is limited. However, many of these suppliers source components from abroad for assembly. The main suppliers in the Norwegian hydromassage bath market are: the HAFA BATHROOM GROUP (Sweden), through its HAFA and WESTERBERGS brands; VICTORY SPA, which sources its products from the Polish company TECHNIC INDUSTRY; INTERFORM, a domestic assembler of hydromassage and traditional synthetic baths and SVEDBERGS, which sources its products from Sweden. HURRICANE is the largest domestic manufacturer of hydrotherapy products in Norway. DANLINE products are imported from Denmark. Other players include: GEBERIT, through its

IFÖ and IDO brands; GLASS IDROMASSAGIO, from Italy; and NOVELLINI, also from Italy.

There is no significant market for cast iron baths in Norway, reflected in the low level of import volumes, which is likely to also include miscategorised products. There are no local manufacturers of cast iron baths in Norway.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The overall bathroom and kitchen market are expected to be affected by the outbreak of the COVID-19 crisis. The crisis is expected to affect the developments of new dwellings and commercial construction, as many sites are being postponed, prolonged or cancelled. Housing RMI is also expected to be affected by the crisis due to the uncertainty in the market, causing some homeowners to postpone renovating their homes.

The outlook for the bath market is negative for 2020 and the forecast period. The market is expected to not be greatly affected by the COVID-19 crisis over the forecast period, due to the relatively small market, that already was predicted to experience a decline in sales. The overall Norwegian economy is expected to slow down, due to the affect that the COVID-19 crisis is having on the overall economy and the new constructions and RMI sectors.

Sales of baths to RMI sector should increase in 2021, mainly driven by expected sales of synthetic baths. The RMI market is expected to increase in 2021, due to the uncertainty of the market in 2020, making some homeowners postpone their planned renovations until 2021.

Apart from synthetic baths, RMI sales are expected to decrease in the coming years, due to the local preference to replace baths with showers. Non-housing demand should slightly grow from 2021, yet it represents a fraction of the market.

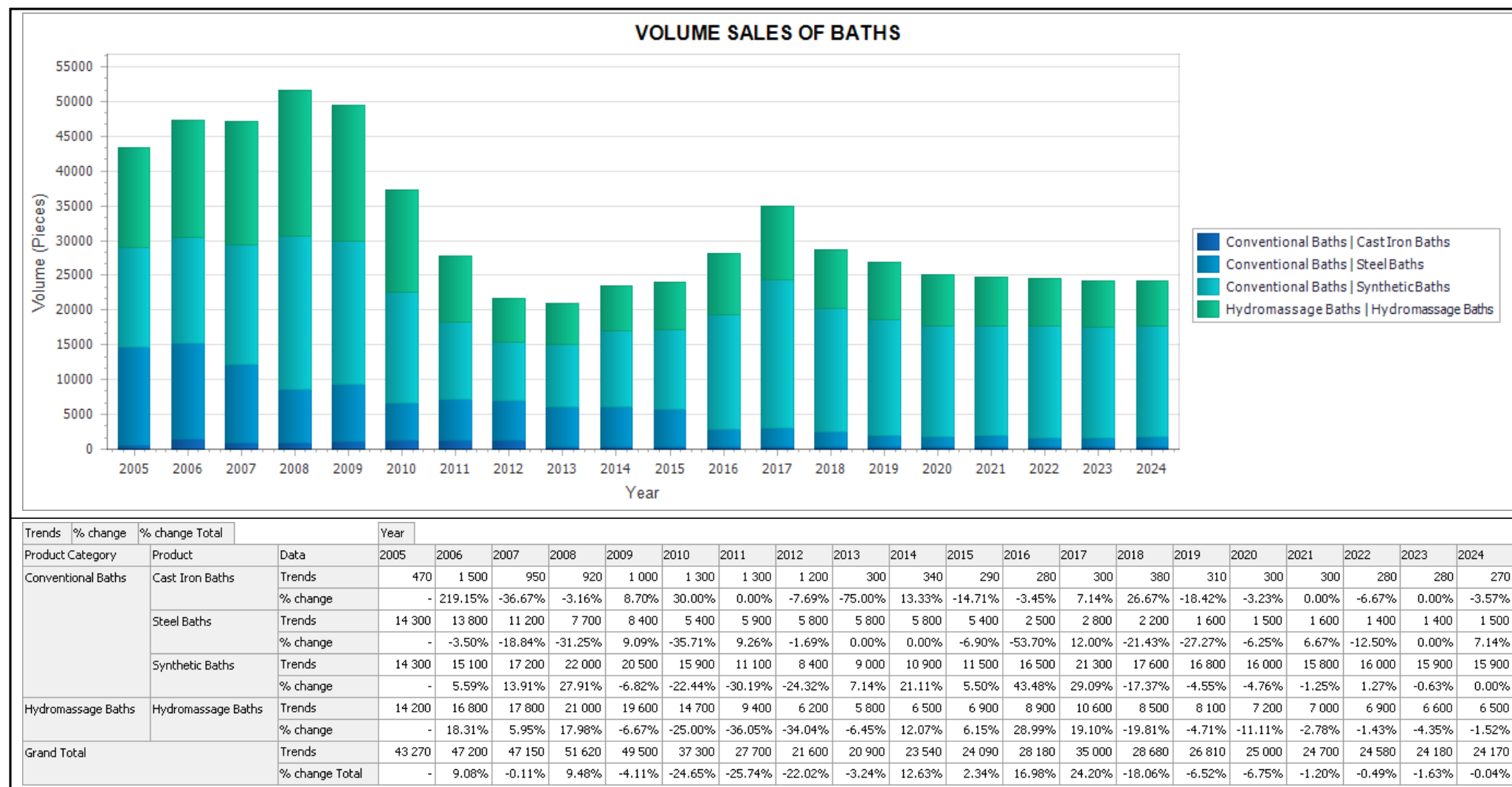
The forecasts should be sensitive to any changes in the construction output, interest rates and private consumption levels over the next few years, as they make up for the key market drivers. The COVID-19 crisis is expected to be the main driver behind any sensitivity and changes in the market over the forecast period.

Interest rates and private consumption affect housing RMI spending and demand, and any modifications in these input factors, therefore, can lead to changes in the forecasts published by BRG. Any increase/decrease in the projected number of new dwelling completions may also have a direct impact on the bath market.

Finally, any changes in consumer behaviour – related to the penetration rate of baths in new housing or the general popularity of baths among homeowners – might cause an under/overestimation of sales over the forecast period.

1.2 Historical Trends and Forecasts

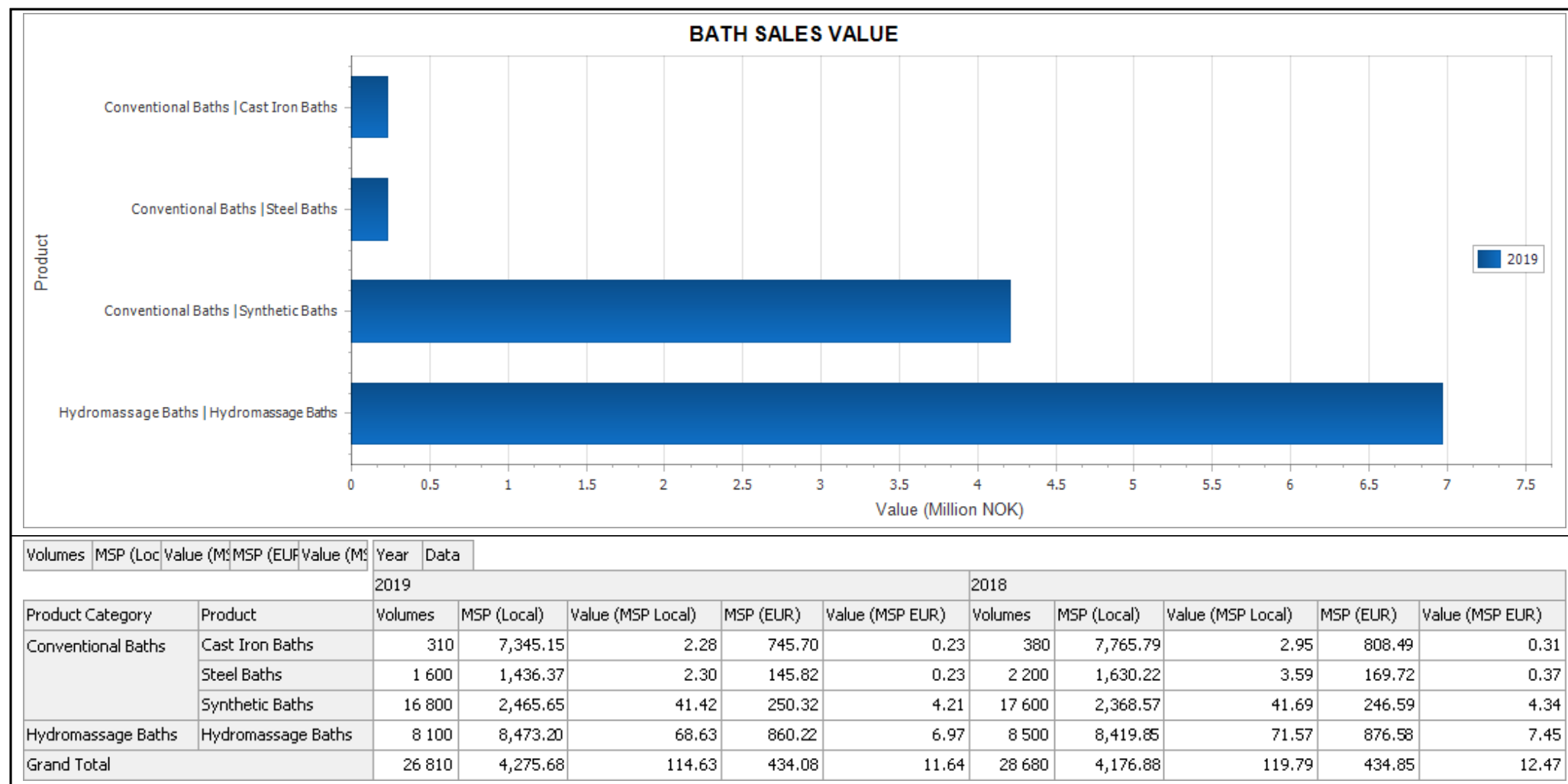
NO - SUMMARY OF TRENDS IN THE BATH MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths

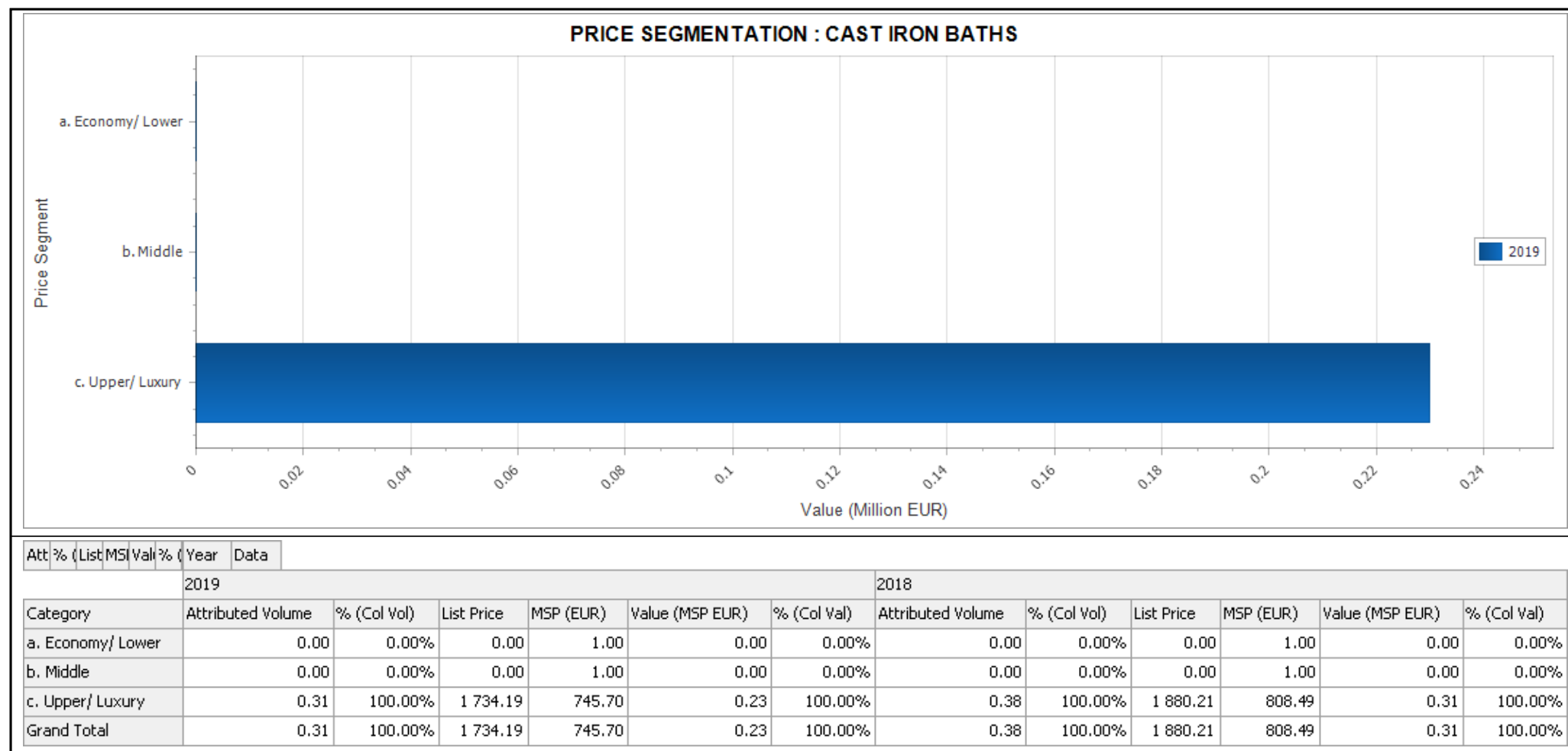
NO - ESTIMATED VALUES OF THE BATH MARKET



Source: BRG based on industry interviews. Local Prices Shown in NOK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.2 Price Segmentation : Cast Iron Baths

NO - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

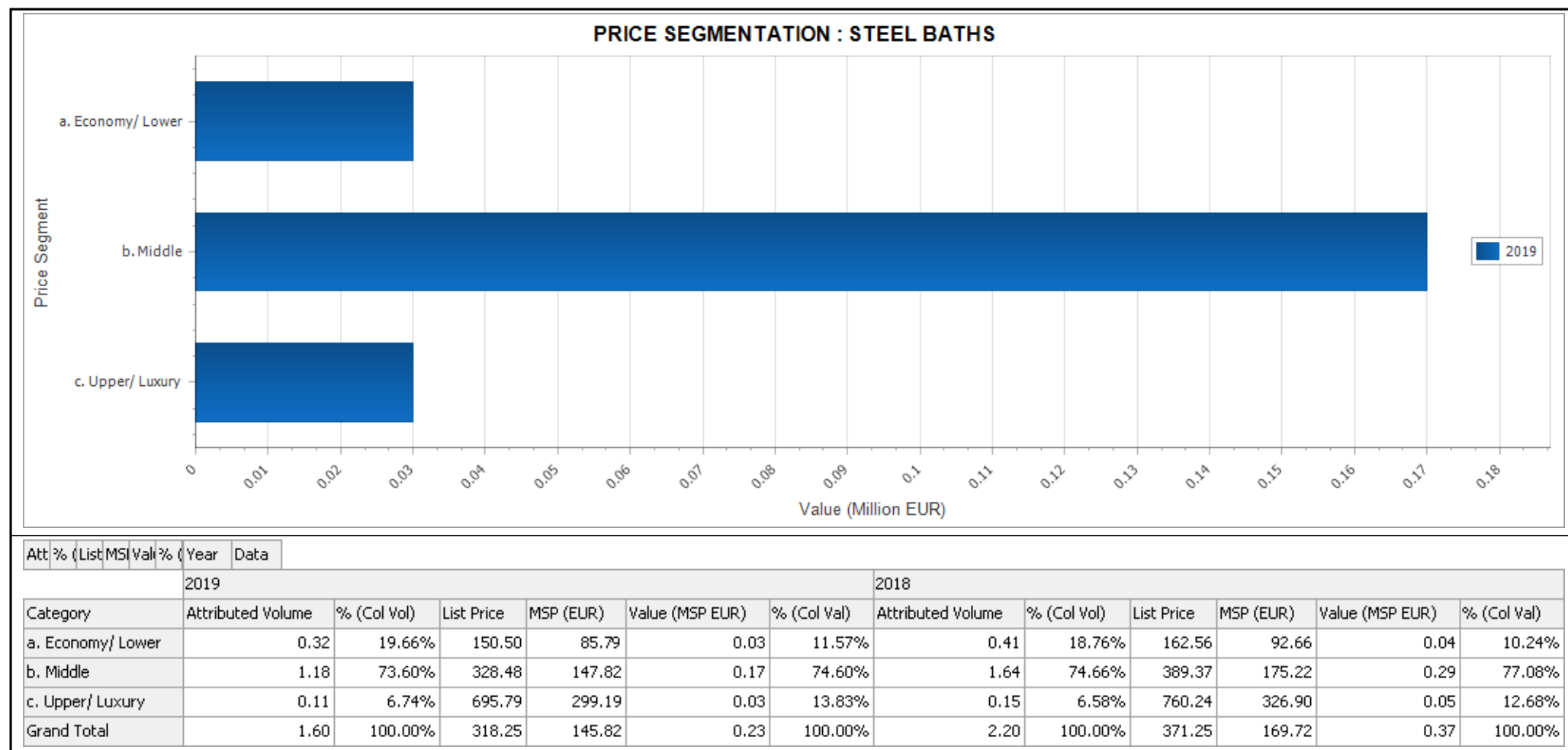


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

1.3.3 Price Segmentation : Steel Baths

NO - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

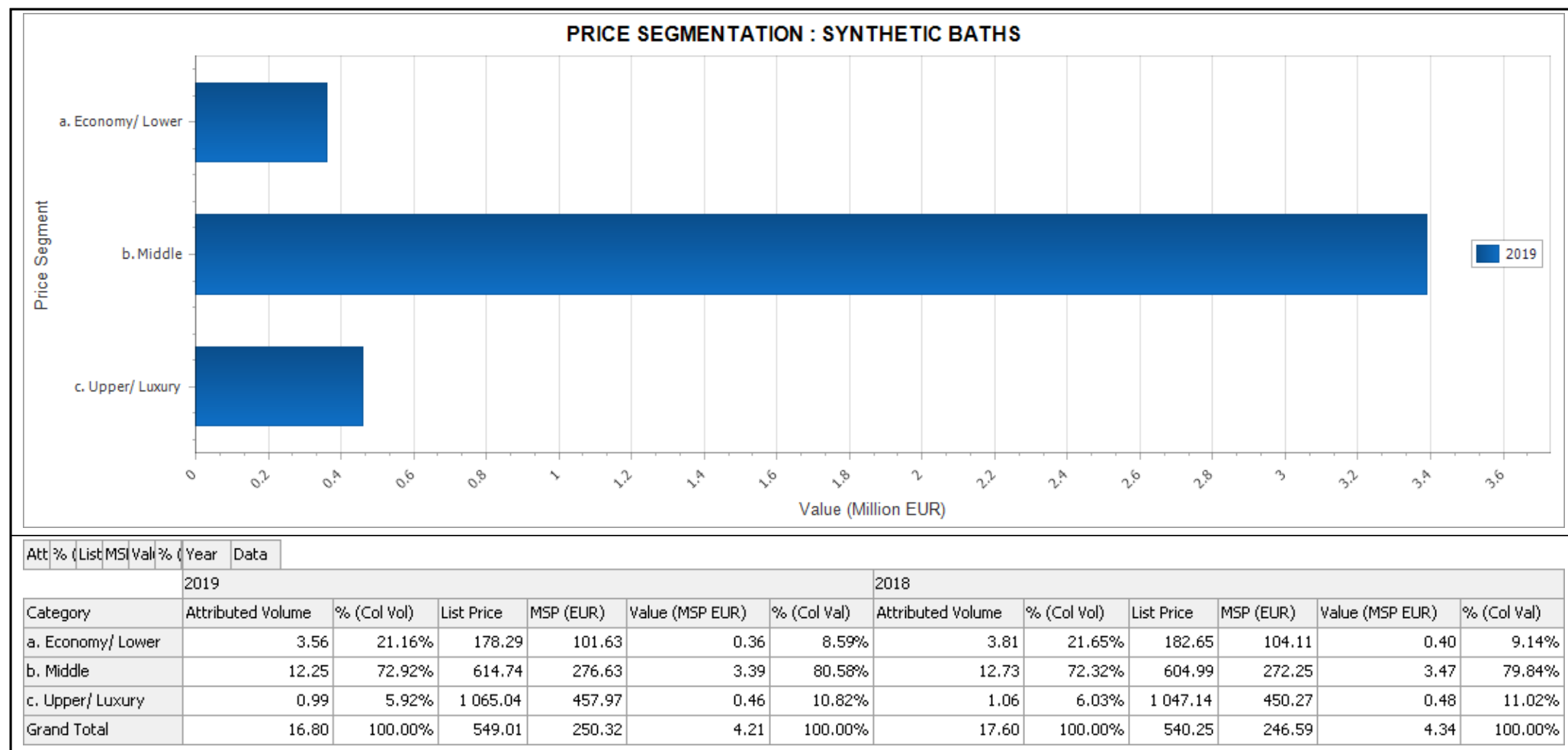


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.4 Price Segmentation : Synthetic Baths

NO - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

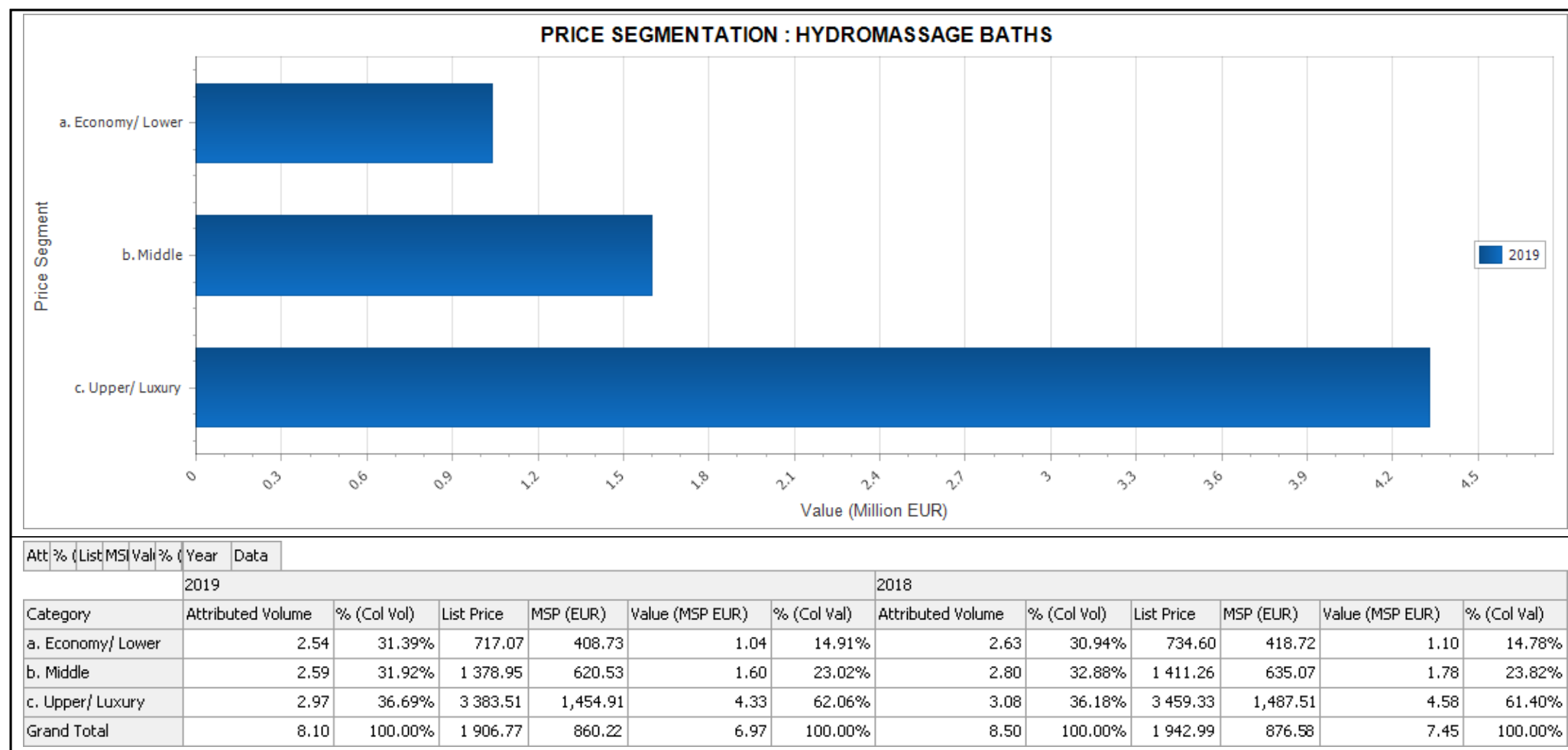


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€175, Middle €175-€350, Upper/ Luxury >€350

1.3.5 Price Segmentation : Hydromassage Baths

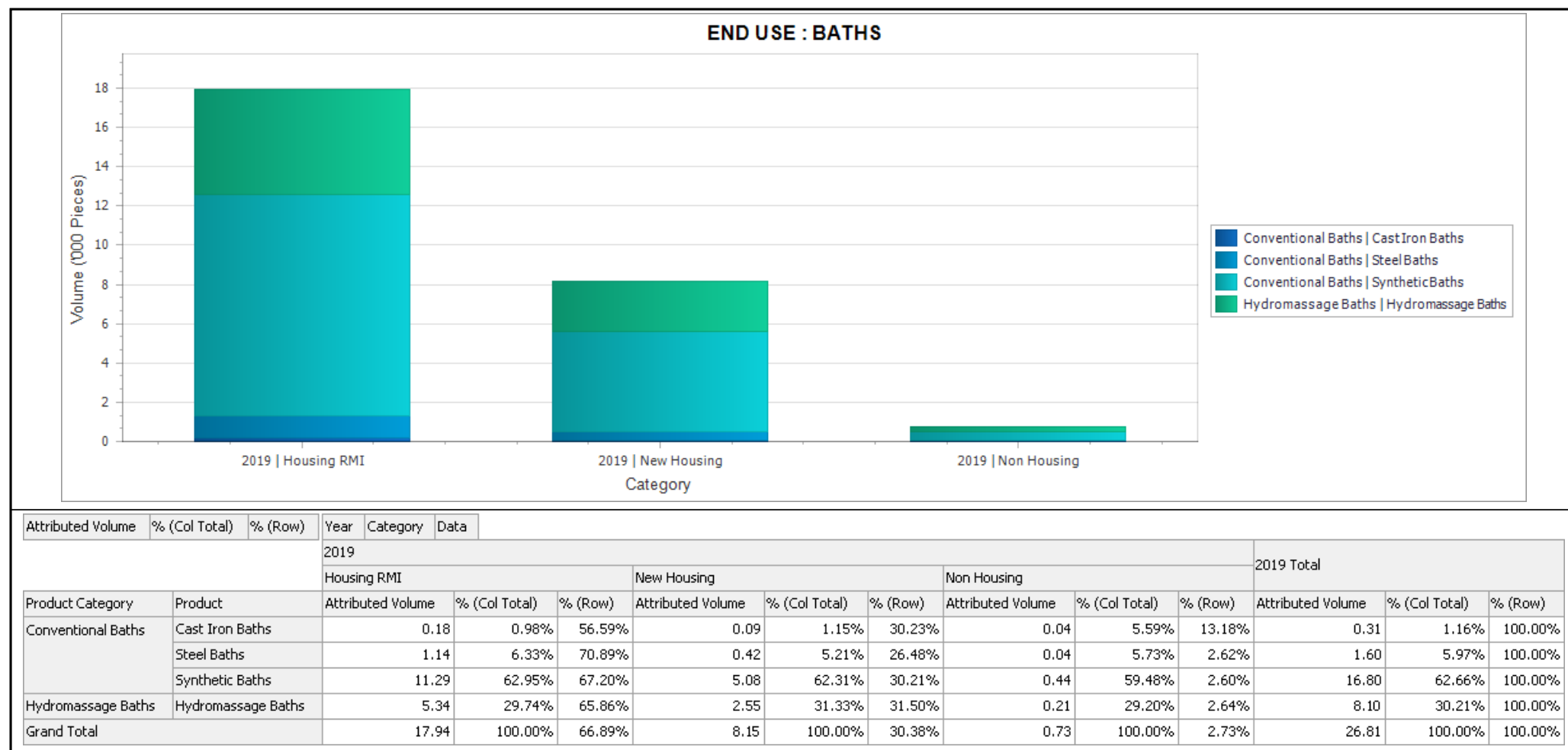
NO - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

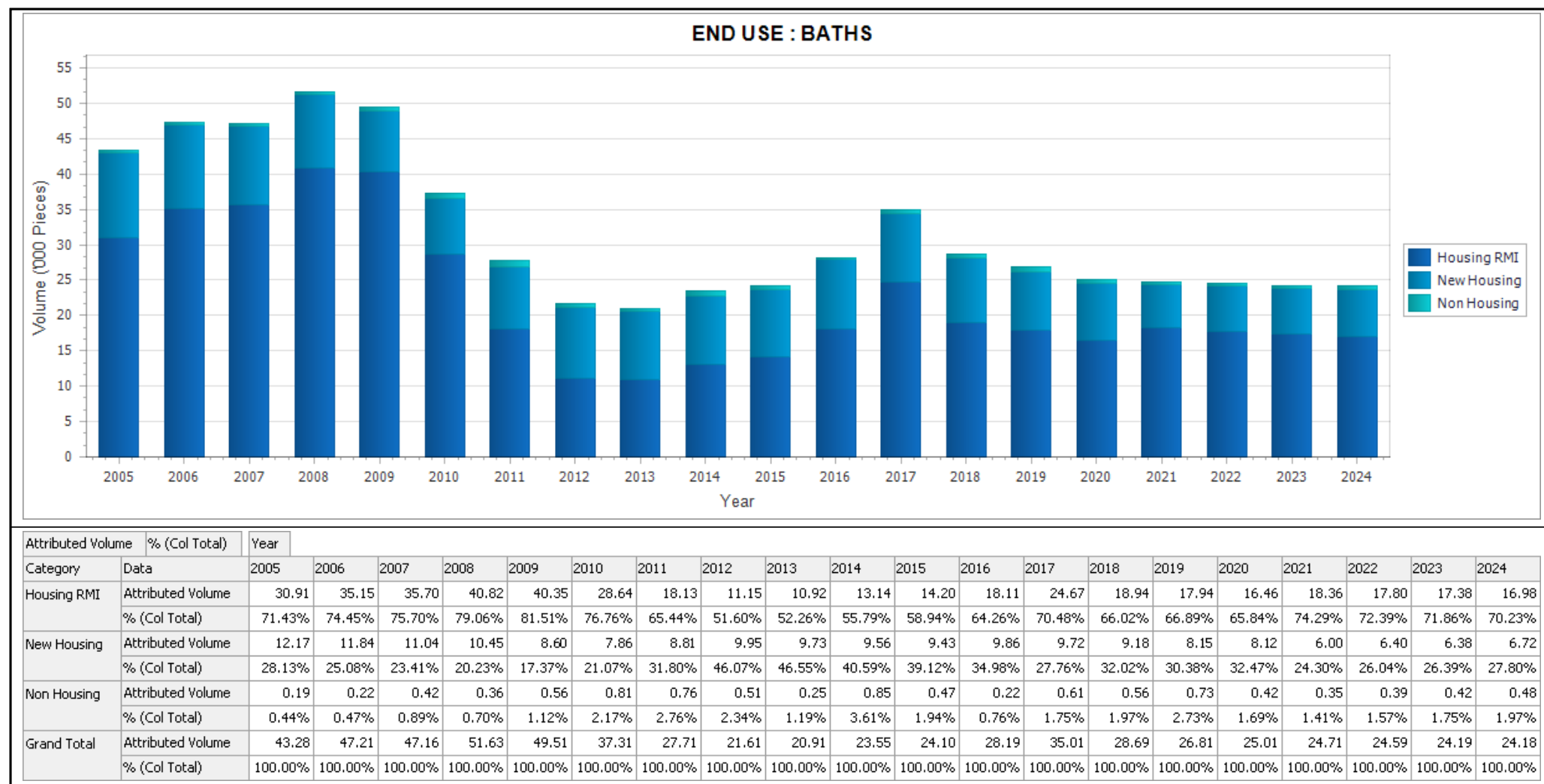
1.4.1 End Use : Base Year
NO - SALES OF BATHS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

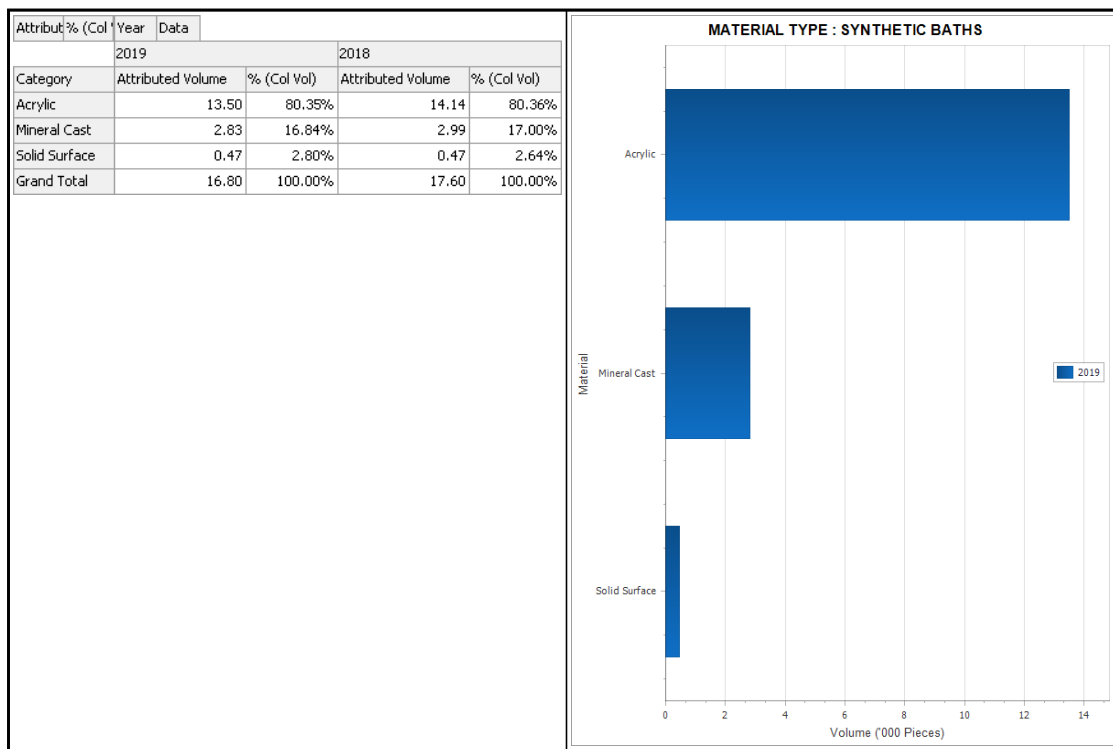
NO - SALES OF BATHS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Material : Synthetic Baths

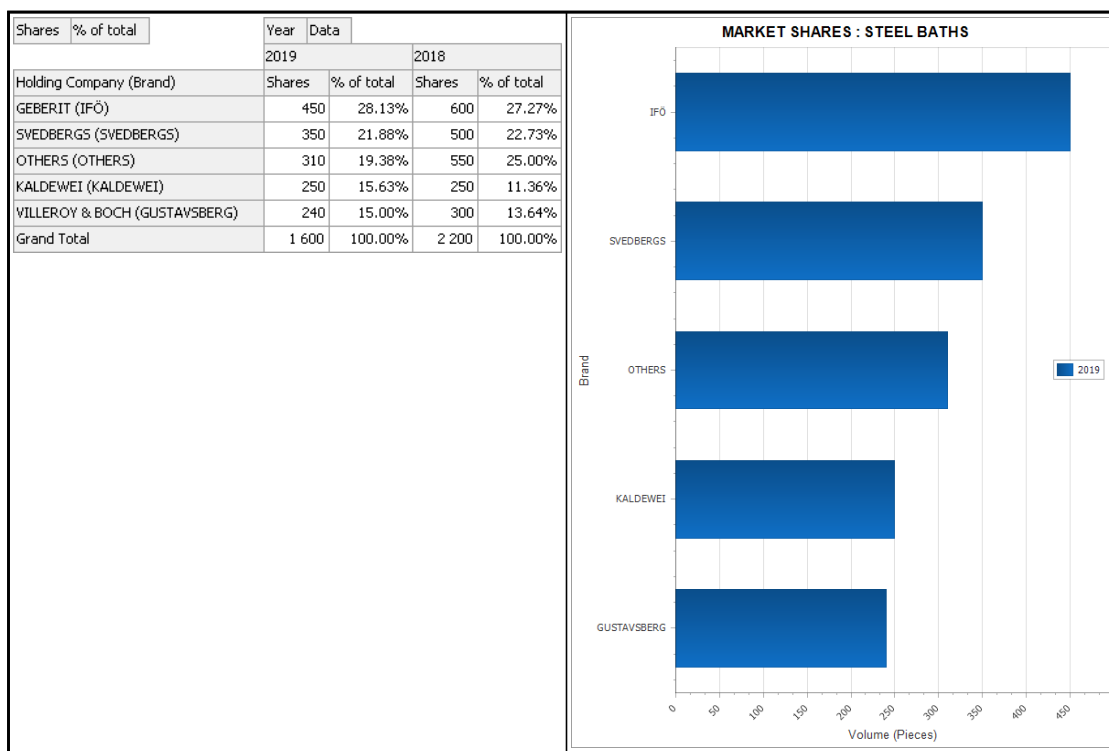
NO - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

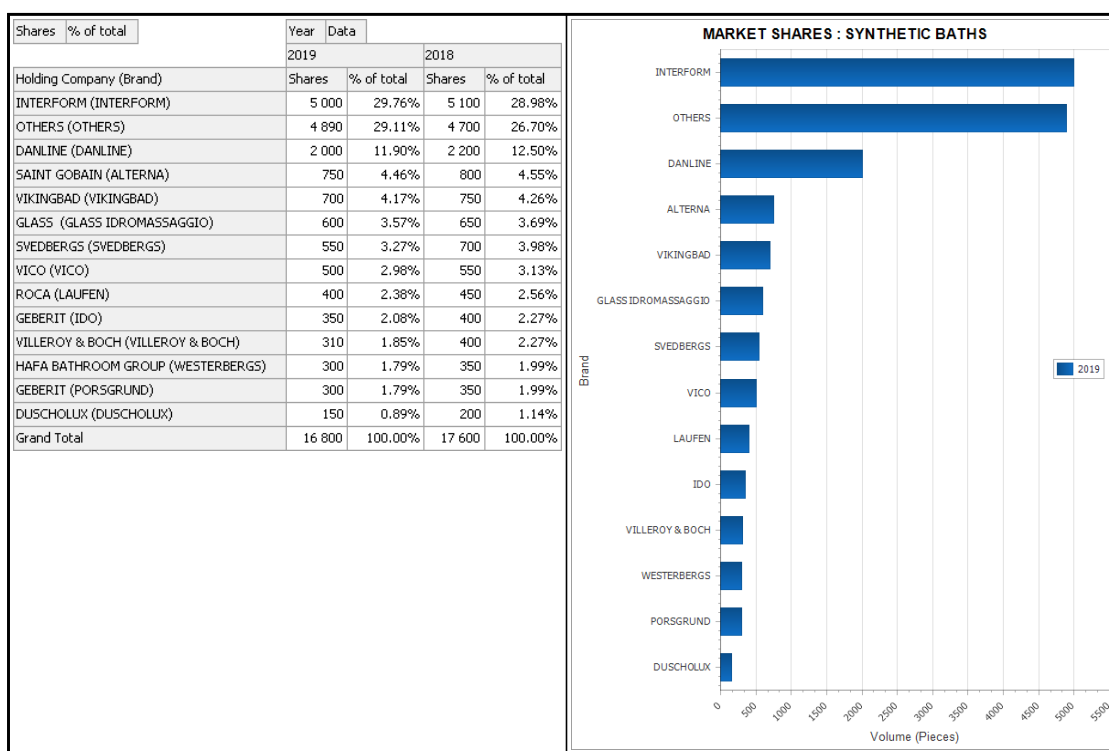
NO - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

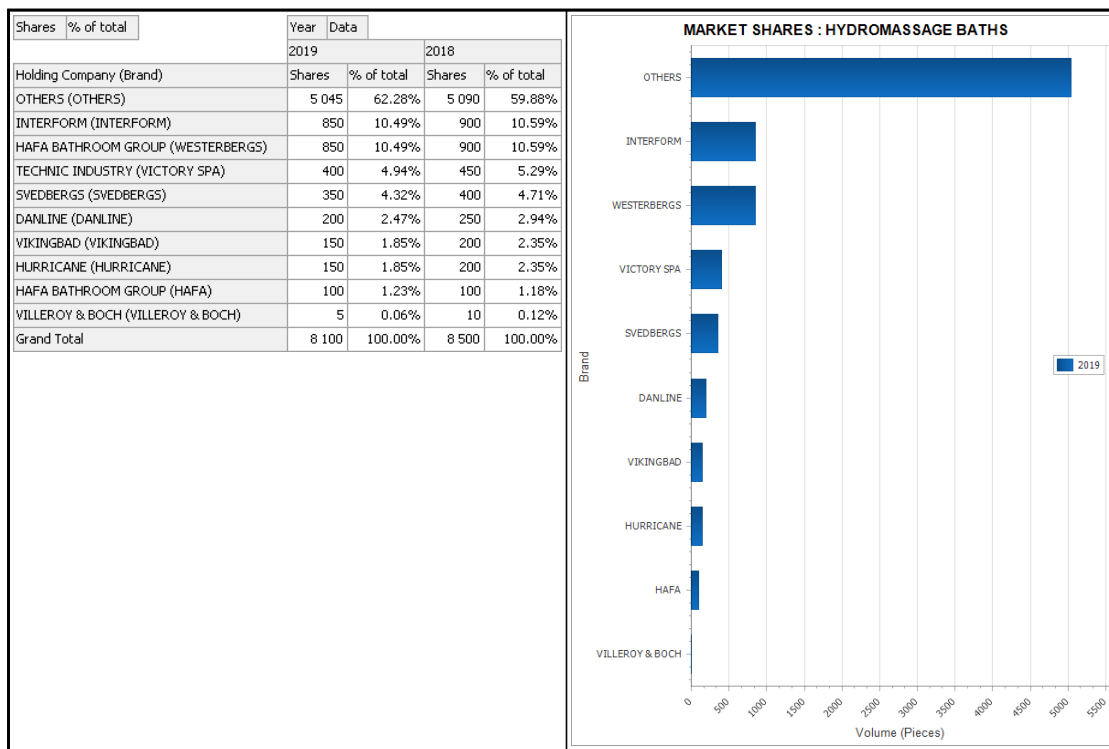
NO - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

NO - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.6.1 NO - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Sweden	17	45.8%	123	53.0%	20	45.6%	139	45.0%
Portugal	7	19.5%	51	22.0%	7	16.4%	54	17.5%
Czech Republic	7	19.2%	15	6.5%	11	24.4%	30	9.7%
Denmark	5	13.7%	29	12.5%	6	12.5%	63	20.4%
China	0	1.2%	5	2.2%	0	0.0%	0	0.0%
OTHERS	0	0.6%	9	3.9%	0	1.0%	23	7.4%
Total	38	100.0%	232	100.0%	45	100.0%	309	100.0%

Source : Trademap

1.6.2 NO - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Denmark	0	100.0%	1	100.0%	0	17.7%	1	16.7%
OTHERS	0	0.0%	0	0.0%	0	82.3%	5	83.3%
Total	0	100.0%	1	100.0%	1	100.0%	6	100.0%

Source : Trademap

1.6.3 NO - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Netherlands	21	45.5%	55	23.9%	0	0.4%	3	0.8%
Germany	10	21.1%	47	20.4%	10	14.7%	48	12.7%
Portugal	4	8.7%	8	3.5%	8	12.2%	38	10.1%
Sweden	4	8.6%	43	18.7%	10	14.1%	67	17.8%
China	4	8.5%	18	7.8%	33	48.2%	163	43.2%
Denmark	1	2.2%	21	9.1%	1	1.5%	14	3.7%
France	1	2.1%	8	3.5%	0	0.5%	3	0.8%
United Kingdom	1	1.6%	22	9.6%	1	0.9%	14	3.7%
OTHERS	1	1.7%	8	3.5%	5	7.5%	27	7.2%
Total	46	100.0%	230	100.0%	68	100.0%	377	100.0%

Source : Trademap

1.6.4 NO - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Sweden	2	68.5%	47	73.4%	2	69.4%	39	58.2%
Denmark	1	30.0%	11	17.2%	0	0.0%	0	0.0%
Finland	0	1.5%	6	9.4%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	1	30.6%	28	41.8%
Total	3	100.0%	64	100.0%	4	100.0%	67	100.0%

Source : Trademap

1.6.5 NO - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	4 942	85.9%	14 534	66.0%	4 907	85.6%	14 305	65.2%
Sweden	183	3.2%	1 520	6.9%	137	2.4%	1 372	6.3%
Denmark	182	3.2%	2 078	9.4%	224	3.9%	2 256	10.3%
Netherlands	100	1.7%	741	3.4%	131	2.3%	728	3.3%
Hong Kong, China	65	1.1%	244	1.1%	25	0.4%	71	0.3%
OTHERS	281	4.9%	2 888	13.1%	309	5.4%	3 198	14.6%
Total	5 754	100.0%	22 005	100.0%	5 733	100.0%	21 930	100.0%

Source : Trademap

1.6.6 NO - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Sweden	22	54.0%	184	56.8%	16	69.3%	240	70.8%
Lithuania	11	27.6%	41	12.7%	0	0.0%	0	0.0%
Denmark	5	11.8%	59	18.2%	2	10.9%	47	13.9%
Finland	2	4.6%	21	6.5%	3	11.5%	37	10.9%
OTHERS	1	1.9%	19	5.9%	2	8.3%	15	4.4%
Total	41	100.0%	324	100.0%	23	100.0%	339	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
NO - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	49.5%
	Wholesalers / Merchants
	49.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	11.4%	1.6%	8.0%	9.0%	19.5%	9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.0%		17.0%		28.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
11.7%	15.0%	1.5%	4.0%	8.5%
Installers				
40.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	13.9%	11.3%	12.3%	20.0%	39.9%	0.0%	1.0%	0.2%	0.7%	0.0%	0.8%
	Residential						Non-Residential					
	97.3%						2.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	30.4%			66.9%			1.0%			1.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	27.0%		3.4%	5.6%		61.3%	1.0%		0.0%	1.4%		0.3%

1.7.2 Route to Market: Baths
NO - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	49.0%
	Wholesalers / Merchants
	49.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	11.5%	1.7%	8.0%	9.2%	19.0%	9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.2%		17.2%		28.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
11.7%	15.0%	1.7%	4.3%	7.1%
Installers				
39.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.8%	13.2%	11.5%	12.8%	20.0%	39.7%	0.0%	0.9%	0.0%	0.1%	0.9%	0.1%
	Residential						Non-Residential					
	98.0%						2.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	27.8%			70.2%			1.5%			0.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	25.6%		2.2%	6.1%		64.1%	0.9%		0.6%	0.4%		0.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

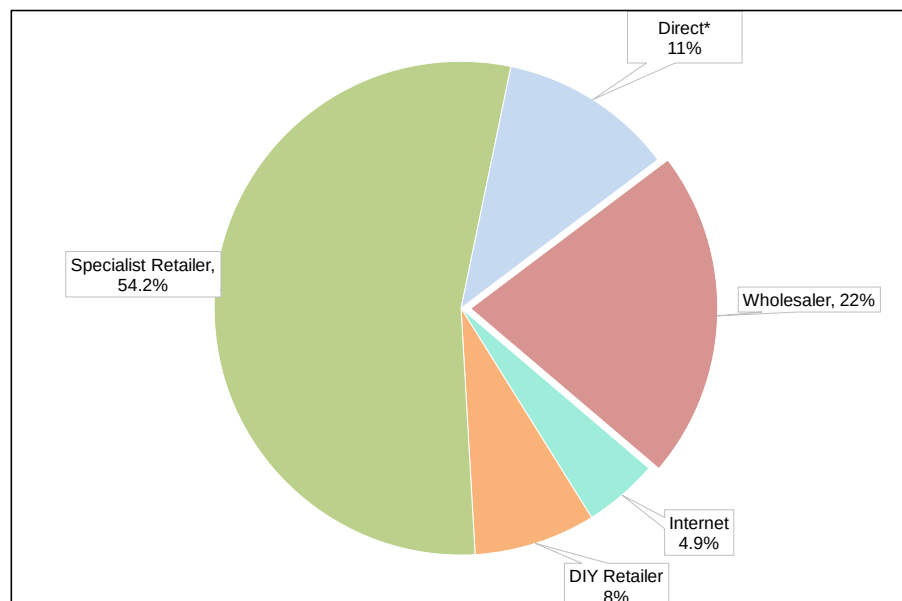
1.7.3 Route to Market - Consolidated View : Baths
NO - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.5%	4.9%	8.0%	54.2%	11.5%	32.6%	2.4%	64.7%	0.3%
100%					35.0%		65.0%	

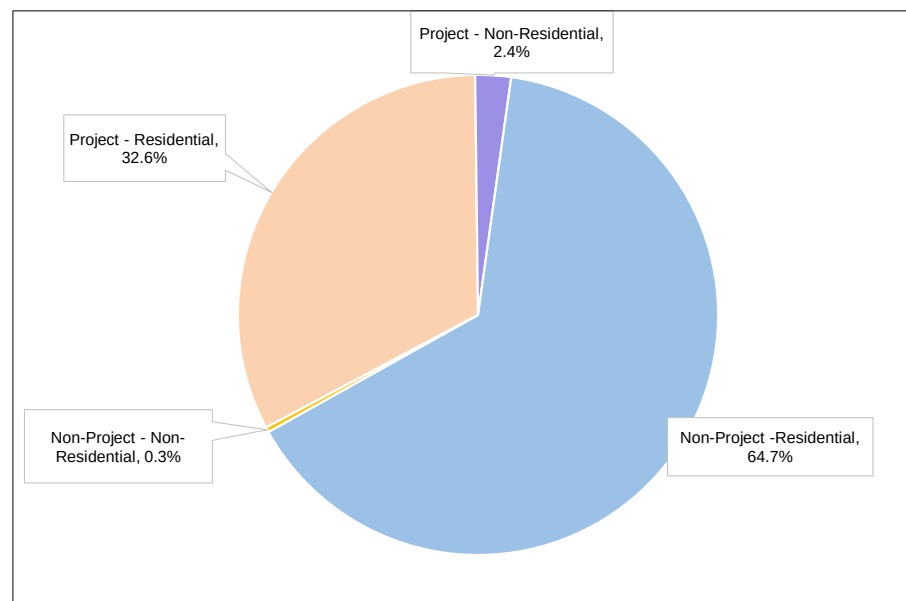
1.7.4 Route to Market - Consolidated View : Baths
NO - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.0%	6.0%	8.0%	50.0%	15.0%	31.7%	1.3%	66.3%	0.7%
100%					33.0%		67.0%	

NO - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



NO - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



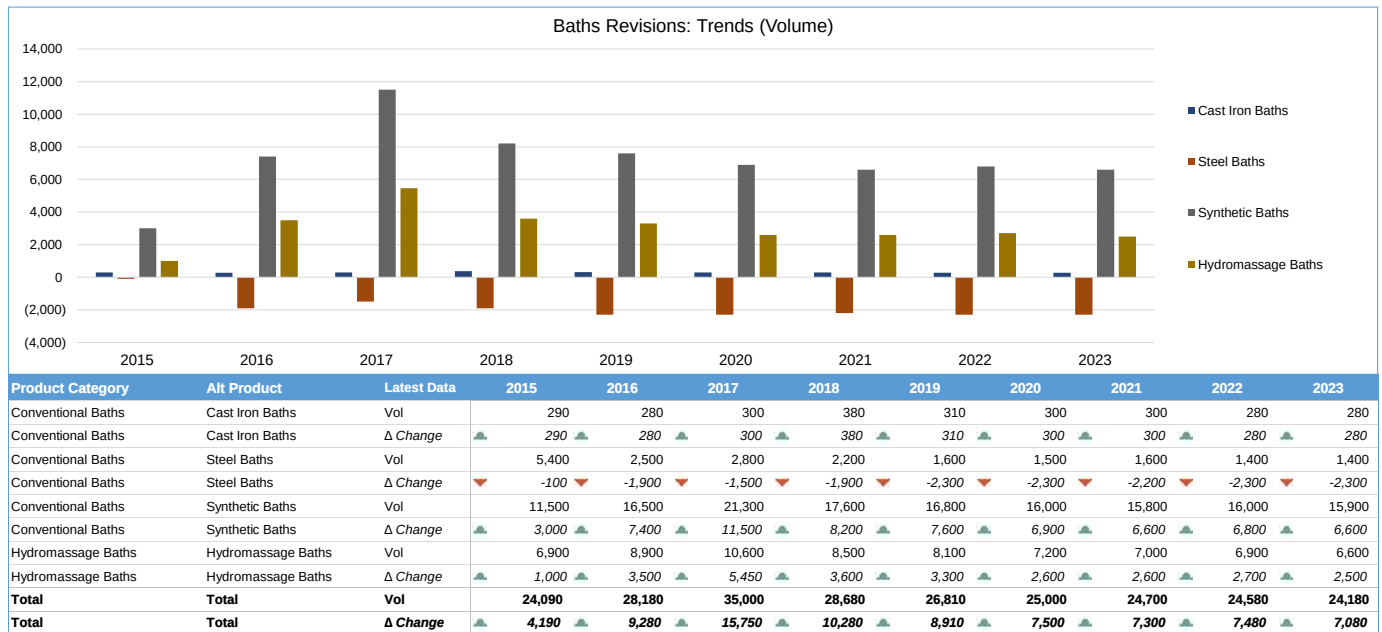
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Norwegian Baths Market (July 2020)

NO - REVISIONS IN THE NORWEGIAN BATHS MARKET

Data Comparison: July 2019



Market size for hydromassage baths has been adjusted upwards for most years except 2012 and 2013 these two years were revised slightly down. The reason for these changes is an underestimation of the number of imports in most years.

Market size for synthetic baths has been adjusted upwards for all years. The reason for these changes is an underestimation of the number of imports in all years.

Market size for steel baths has been adjusted downwards for most years except 2006 where the market was revised slightly upwards. These changes are due to an overestimation of the importance of imports into the Norwegian market and domestic manufacturing.

Sales of cast iron bath was added to the report in 2019, and therefore there has been no revisions for this market.

NORWAY

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The CSW (ceramic sanitaryware) market in Norway has historically been streamlined regarding the variety of products offered and consumer choice. These limitations are basically derived from the size of the Norwegian bathroom market, together with the fact that consumers have traditionally preferred functionality over aesthetics. However, as consumers tend to have more discretionary income to spend (or are willing to spend more) there has been a trend towards a greater variety of products.

Most floor standing WCs sold in Norway are with close coupled exposed ceramic cisterns. The Norwegian CSW market is characterised by almost all sanitaryware sold in Norway being white. Only a marginal quantity is sold in pastel shades. Coloured ceramic sanitaryware is a rarity, and in many cases sold as limited editions. It is most common to find S-trap (downpipe) outflow plumbing systems connected to WCs, based on plumbing which goes through the floor, particularly with floor standing close coupled WCs. Bathroom renovations today increasingly include the conversion of WC plumbing to a P-trap system, which passes through the wall. This is often necessary if the flushing mechanism is to be concealed behind a wall. Traditionally, the severe outside temperatures in Norway have meant that plumbing through outside walls is impractical, which explains the unique penetration of S-trap WC plumbing systems in the Nordic area compared with the rest of Europe.

Norway has the highest penetration of wall hung WCs in Scandinavia, and almost all wall hung WC bowls are installed with concealed cisterns. The small remaining part consists of close coupled installations, replacements and vacuum flushing WCs. The growth in this market has been fuelled equally by new housing construction and RMI. Dual flushing systems are a standard in Norway.

Most washbasins sold in Norway today are either wall hung or countertops, with most products sold being washbasin only, followed by monobloc countertops. Hand washbasins are usually installed without a pedestal. Sales of full and half model pedestals are, therefore, marginal and this is likely to remain the case in the forthcoming years. There is no tradition in Norway for using bidets, and the market is thus negligible. All urinals are sold to the non-residential segment.

Recent Market Trends

After a peak in 2017, sales of ceramic sanitary ware decreased again in 2019. All product categories, except other CSW and ceramic washbasins, experienced a decline. All the new housing segments decreases significantly in 2019 due to the decline in new housing completions. A substantial increase in non-housing sectors was seen in 2019 for all products due to a significant increase in new non-residential construction and a smaller increase in non-housing RMI sales.

Ceramic washbasins are regaining some popularity due to the growing share of base units using ceramics these days. Advances in product innovation, allowing for sleeker design and lower use of materials, make ceramic washbasins more competitive with synthetic materials. The development of 'Other' CSW products was linked to WC/toilet sales, given the large share of exposed ceramic cisterns in this product segment.

Prices and Market Values

The average MSPs (in NOK) for CSW products decreased in 2019. The overall market prices declined due to an increased price competition for CSW products in 2019, caused by the aggressive pricing marketing strategies of some manufacturers. The overall MSP for concealed plastic cisterns increased in 2019, due to a price increase in the middle segment, driving the overall MSP up.

Stable distribution flows contributed to maintaining comparable price levels within the different segments, but a normal inflation-related increase in the general price level was seen among manufacturers, whereas imported products were made more expensive by the continued depreciation of the krone. The depreciation of the local currency led to a significant decrease in the average MSP in EUR.

Even though most prices decreased in 2019, a significant price increase is likely for 2020, driven by the fall in oil prices and consequent weakening of Norwegian krone caused largely by the COVID-19 crisis. According to WORLDTOPEXPORTS, oil accounted for 55.6% of total Norwegian exports in 2019. The weak NOK is expected to increase the import prices for consumer goods, which will affect the consumer prices.

New Housing

The penetration rate of CSW products in new housing has remained relatively stable historically, as the average number of bathrooms/toilets has remained unchanged in both apartments and houses. The largest fluctuations have been caused by changes in the dwelling completion mix, where the share of apartments has increased significantly in recent years. Because of this fall in the average number of bathrooms in new housing, the number of CSW products installed has also declined slightly. The trend towards wall hung WCs has also reduced the volume sales of CSW products, where an increasing share of sales is concealed plastic cisterns.

Between 2014 and 2018, sales of ceramic sanitaryware to new housing expanded, benefiting from the upward trend in the construction industry which, however, came to an end in 2019. WCs and washbasins continue to be the most popular products in the new housing segment, due to the large preference for wall hung WCs with concealed cisterns over floor standing WCs with ceramic cisterns in new housing. New housing is expected to be an important, but slightly volatile, end-use segment over the forecast period for sales of sanitaryware products. Indeed, the new

housing market peaked in 2018, is expected to reach bottom in 2022 and then increase again towards 2024.

Housing RMI

Because of the maturity of the market, CSW sales are heavily dependent on the housing RMI segment. Housing RMI activity increased significantly in 2017 and returned to regular levels in 2018 and 2019.

Even though housing RMI has been historically more stable and relatively independent of changes in economic conditions than other end-use sectors, overall ceramic sanitary ware sales should decline in housing RMI until 2020. This is due to the negative effect that COVID-19 crisis is expected to have on the housing RMI market. The market is expected to increase again in 2021, due to the decline in new housing sales. The move in trend towards second-hand houses are expected to affect the RMI market positively. Distress replacement sales are expected to play a more key role in the coming years.

Non-Housing

The demand for sanitaryware products in the non-housing sector is relatively low compared to the residential market. Sales of sanitaryware products to this end-use segment have increased gradually each year, although at a slow growth pace. As in the residential market, WC sales account for the majority of sales in the non-residential market, with most sales being wall hung models.

The non-housing segment tends to be where more space-saving products are utilised, such as wall hung toilets, concealed cisterns and hand washbasins. Yet floor standing toilets also make up a large share of the total market because of the strong presence of IFÖ and PORSGRUND in the professional segment, whose sales have been heavily skewed towards close coupled floor standing toilets. The share of ceramic sanitaryware and concealed plastic in the non-residential sector increased significantly in 2019 with the latter being positively driven by the growing penetration of wall hung WCs within this end use segment.

Supply Structure

The Norwegian CSW market is highly concentrated, even though the competition from non-Nordic manufacturers has increased over the past few years. Supply is dominated by GEBERIT, with its local brands, PORSGRUND/IDO and IFÖ, and VILLEROY & BOCH, which owns GUSTAVSBERG. PORSGRUND products are aimed at the middle to upper/luxury price segments, while IFÖ is aimed at the middle and lower price segment. GUSTAVSBERG is targeting the middle price segment, and the VILLEROY & BOCH brand is aimed at the upper/luxury price segment.

Other significant players in the market include SVEDBERGS, LAUFEN and DURAVIT. SVEDBERGS is a Swedish supplier whose presence in the Nordic

countries has grown strongly in the past few years, largely because of aggressive marketing campaigns targeting consumers directly – with a focus on the design aspects of the company’s products. Similar to market leaders GEBERIT and VILLEROY & BOCH, the company markets a full ceramic sanitaryware assortment and mainly sells WCs and washbasins. SVEDBERGS acquired MACRO INTERNATIONAL AKTIEBOLAG (more known as MACRO) in late 2016, which makes them one of the leading companies in the bathroom furniture and shower wall markets in Scandinavia. LAUFEN (ROCA), which has its Nordic headquarters in Denmark, also offers a full assortment. LAUFEN was previously distributed by VVS MARKETING in Norway, but the company was acquired by LAUFEN in 2014 and renamed LAUFEN NORGE. Other suppliers import from China and Germany, and many of these are targeting the lower/economy price segment. Imports from other countries include brands from Eastern Europe and Italy, such as CERSANIT from Poland and CATALANO from Italy.

The share of ‘OTHERS’ is mainly made up of private label brands such as BRØDRENE DAHL’s ALTERNA, AHLSELL’s A-COLLECTION, HEIDENREICH’s VIGOUR, BADEMILJØ’s non-branded wall hung WCs, and BYGGMAKKER’s IONA, but also includes the manufacturers HAFA BATHROOM GROUP (HAFA and WESTERBERGS), SANIPRO, GLOBO and BATHCO (imported by KORSBAKKEN TRADING), GSI CERAMICA (imported by HOLTAN TRADING), HEWI and JIKA (ROCA).

The supply of concealed cisterns is relatively concentrated and mainly made up of foreign supply. GEBERIT is the market leader, followed by TECE and GROHE. TECE has successively gained market share since the company fully entered the Norwegian market, taking over GROHE as the second player in this market in 2017. The company’s aggressive marketing has led to increased price pressure in the market for concealed plastic cisterns, taking share from manufacturers such as VILLEROY & BOCH and PORSGRUND/IFÖ, which use OEM suppliers and imports from abroad. PORSGRUND is the only domestic brand present in the market, but the company has lost shares each year, as installers increasingly use separate manufacturers for wall hung WCs and cisterns because of large price differentials in the market. GEBERIT’s products are imported into Norway from the Scandinavian headquarters of GEBERIT in Denmark. GROHE’s products are imported from Denmark. JOMO plastic cisterns are imported from Germany but produced in the Czech Republic and distributed by VVS MARKETING (now LAUFEN NORGE). GUSTAVSBERG’s cisterns are sourced from WISA in the Netherlands. TECE is imported from Germany, LIV is sourced from Slovenia and ALCAPLAST is imported from the Czech Republic. The remaining share of the market consists mainly of suppliers that sell directly to the contract market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table

II.3, and supporting summary table at the end of the Background section.

The overall bathroom and kitchen market is expected to be affected by the outbreak of the COVID-19 crisis. The crisis is expected to affect the developments of new dwelling and commercial construction, as many projects are being postponed, prolonged or cancelled. Housing RMI is also expected to be affected by the crisis due to the uncertainty in the market, as a result of some homeowners delaying the renovation of their homes.

The outlook for the overall sanitary ware market for 2020 is negative, due to a significant decrease for all product segments. The main driver for the decrease is housing RMI, which are predicted to experience a significant decrease in 2020. Non-housing is also projected to see a moderate decline in 2020. New housing, which decreased in 2019, should experience an increase in 2020, due to an increase in housing completions.

The increasing global economic turmoil, due to the COVID-19 crisis and domestic interest increasing might mean that people hold off on expensive bathroom renovations. WCs/toilets and other CSW (mainly exposed WC cisterns) are expected to have decreasing sales due to poor RMI performance and a lower exposure to the new housing sector.

Sales of sanitaryware products to the new housing segment are expected to dip in 2022, before growth is resumed from 2023 onwards. This should be driven by decrease in new housing completions that year. The new housing market are predicted to pick up in 2023, positively effecting sales in 2023 and 2024. Non-housing is expected to have stable, but slow growth throughout the forecast period and be a stabilising factor for the total sales. 2021 is the only year for non-housing that is predicted to experience a decline due to fewer non housing starts, negatively affected by the COVID-19 crisis.

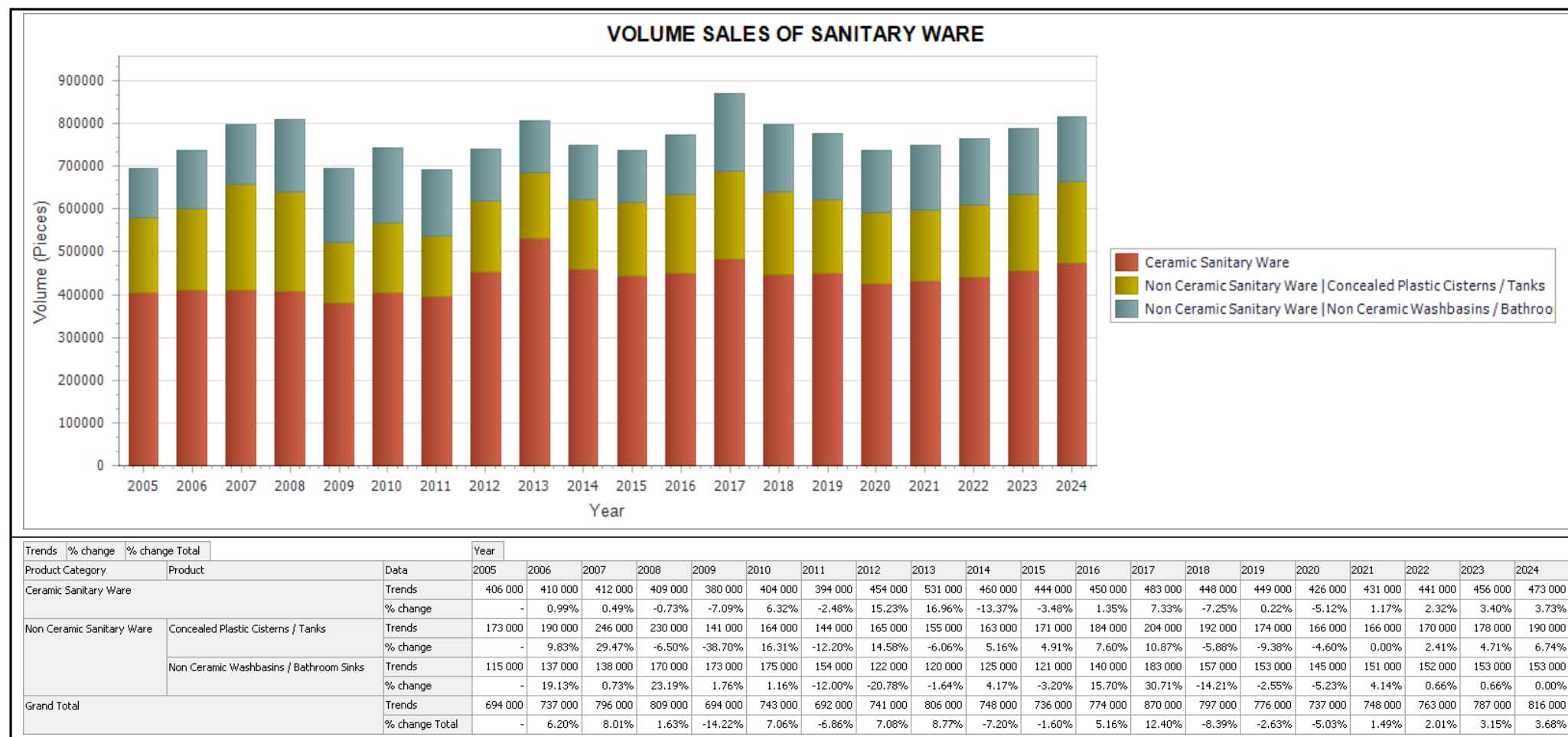
The share of wall hung WCs is expected to continue to grow further over 2020-2024, also bringing about significant potential demand for concealed plastic cisterns in the near future. Sales of wall hung WCs are only expected to decline in 2022, due to a decreasing overall market. This development is partly demand-driven with an increasing share of consumers wanting wall hung models, and partly supply-driven since GEBERIT's acquisition of the local brands IFÖ and PORSGRUND led to a higher focus on wall hung models in the market. For washbasins, the share of washbasins with base units fitted under the countertop is predicted to continue to increase, in line with the growing popularity of bathroom furniture.

The forecasts are sensitive to any changes in the construction market, interest rates and private consumption levels over the next few years. The COVID-19 crisis is expected to be the main driver behind any sensitivity and changes in the market over the forecast period. Interest rates and private consumption affect housing RMI spending and demand, and any changes in these input factors can lead to changes in the forecasts. Any increase/decrease in the projected number of new

dwelling completions may also have a direct impact on the market size and forecast.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

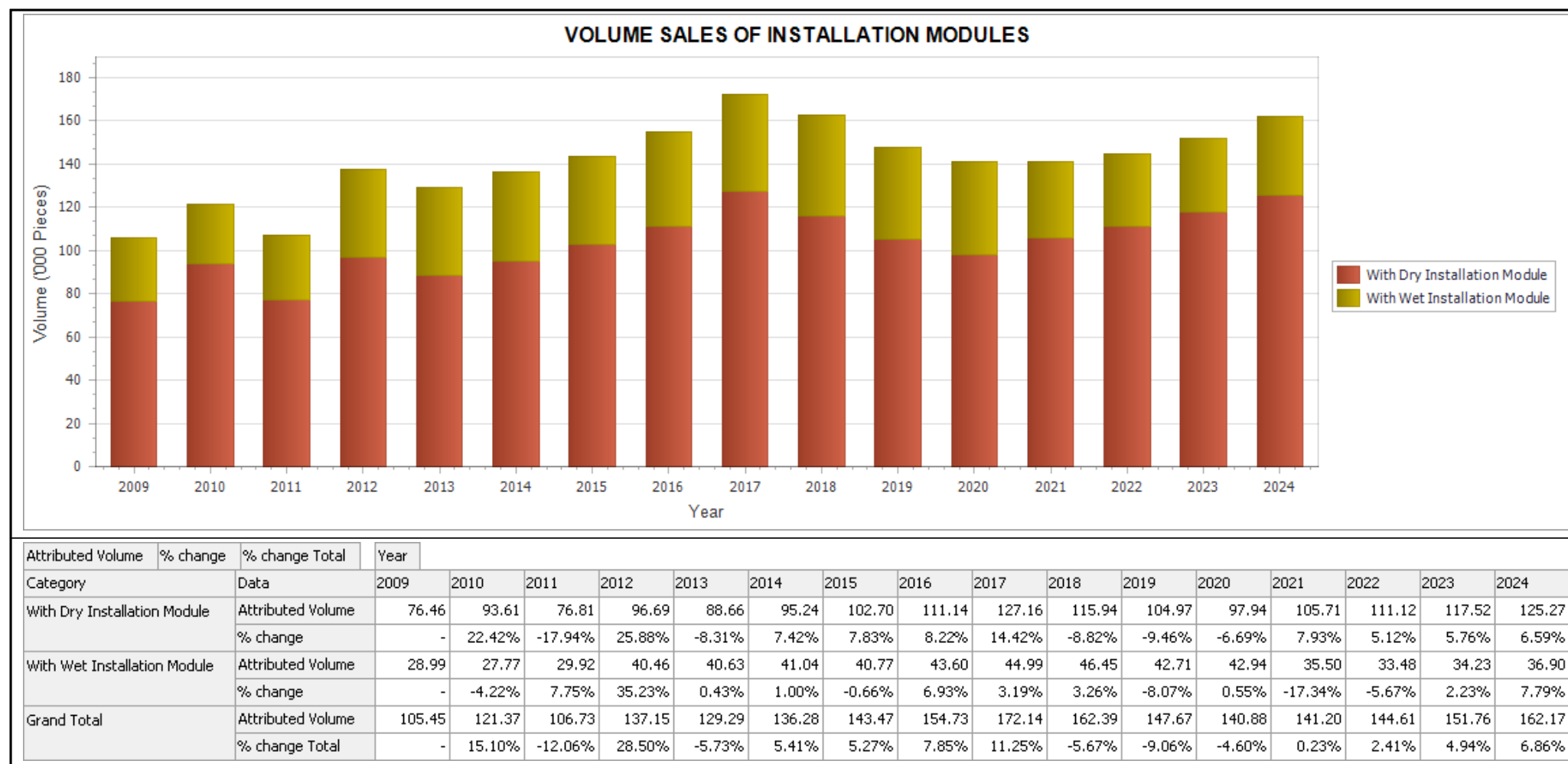
NO - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

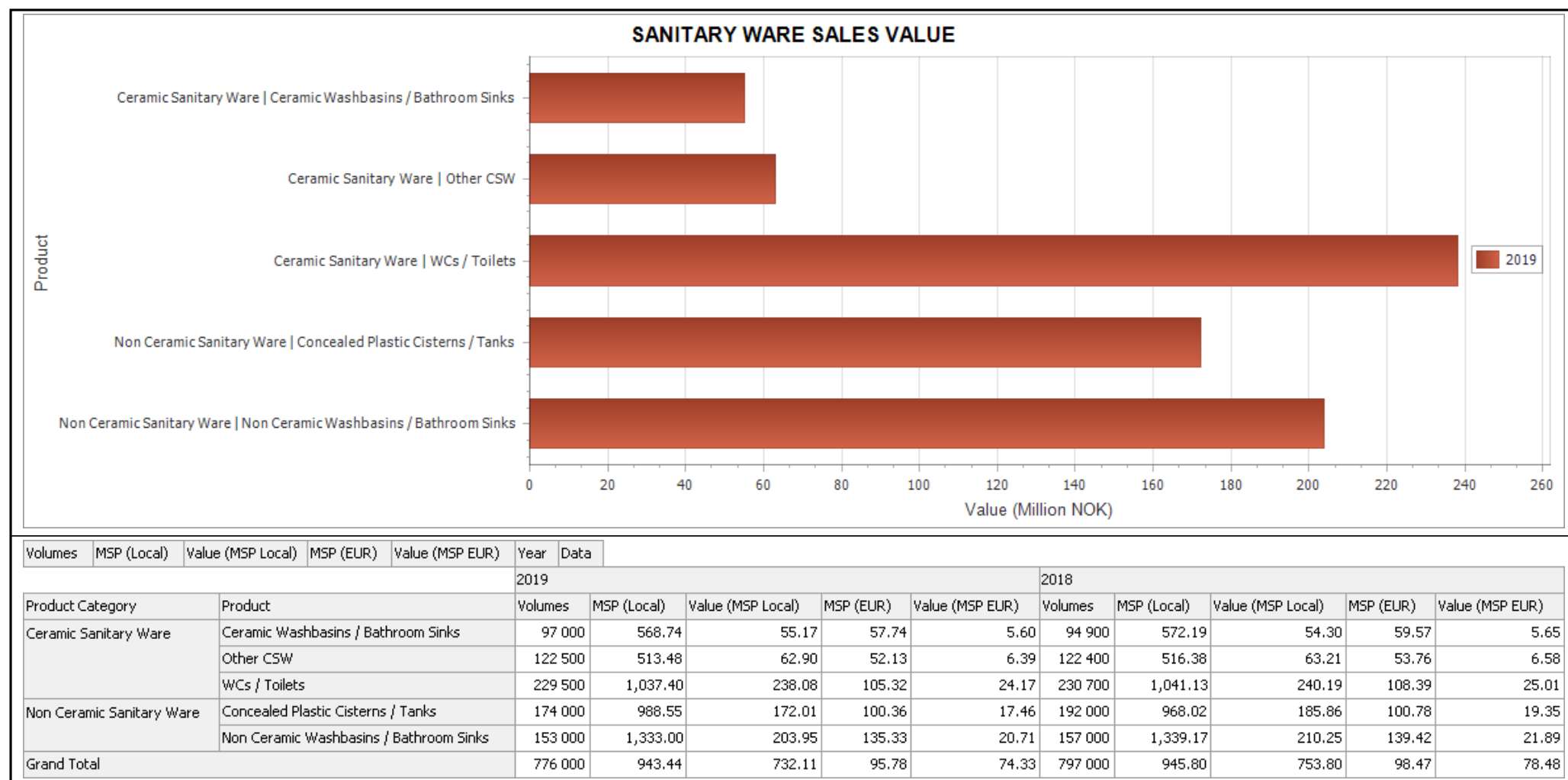
NO - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

NO - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in NOK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.2 Prices and Market Values by Type : CSW

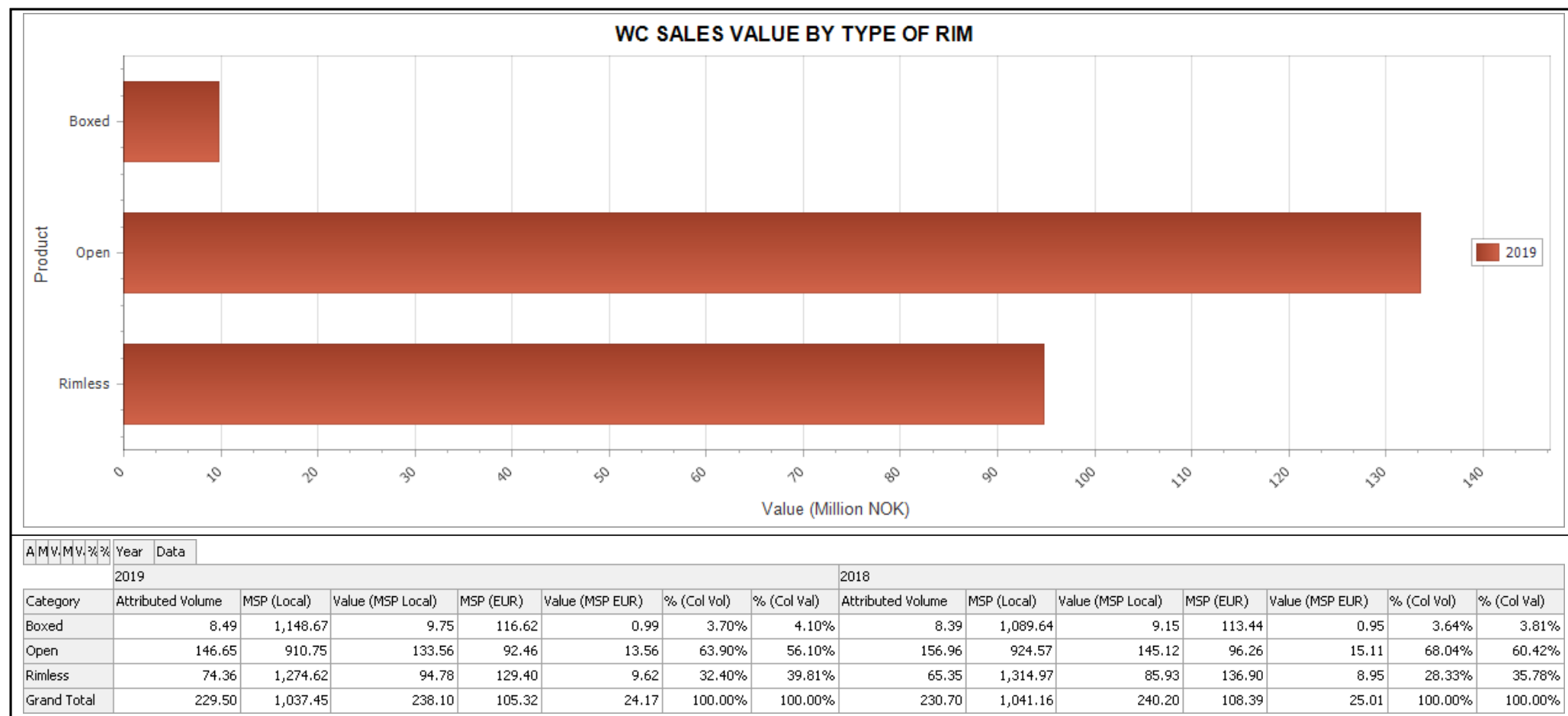
NO - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed % (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Val)	Year	Data									
2019								2018								
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	29.20	30.10%	693.00	20.23	70.36	2.05	36.68%	28.47	30.00%	700.03	19.93	72.88	2.07	36.70%	
	Hand Washbasins	15.62	16.10%	410.84	6.42	41.71	0.65	11.63%	15.37	16.20%	415.00	6.38	43.21	0.66	11.75%	
	Inset Washbasins	3.88	4.00%	705.01	2.74	71.58	0.28	4.96%	3.70	3.90%	706.42	2.62	73.55	0.27	4.82%	
	Pedestal Sinks	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	
	Pedestal Washbasins	0.97	1.00%	414.98	0.40	42.13	0.04	0.73%	1.04	1.10%	415.81	0.43	43.29	0.05	0.80%	
	Semi-Recessed Washbasins	4.66	4.80%	788.99	3.67	80.10	0.37	6.66%	4.46	4.70%	790.56	3.53	82.31	0.37	6.49%	
	Undermount Washbasins	6.79	7.00%	807.01	5.48	81.93	0.56	9.93%	6.93	7.30%	808.62	5.60	84.19	0.58	10.32%	
	Wall Hung Washbasins	35.89	37.00%	452.02	16.22	45.89	1.65	29.41%	34.92	36.80%	452.89	15.82	47.15	1.65	29.13%	
Other CSW	Bidets	1.36	1.11%	1,331.97	1.80	135.23	0.18	2.87%	1.23	1.01%	1,339.99	1.65	139.51	0.17	2.61%	
	Close-Coupled Cisterns	110.19	89.95%	417.20	45.97	42.36	4.67	73.08%	110.64	90.39%	421.00	46.58	43.83	4.85	73.69%	
	Kitchen Sinks	2.30	1.88%	3,021.00	6.95	306.70	0.71	11.05%	2.50	2.04%	2,933.41	7.34	305.40	0.76	11.61%	
	Pedestals & Half Pedestals	1.32	1.08%	751.01	0.99	76.25	0.10	1.58%	1.35	1.10%	757.76	1.02	78.89	0.11	1.61%	
	Urinals	7.33	5.98%	980.12	7.19	99.51	0.73	11.42%	6.69	5.46%	990.02	6.62	103.07	0.69	10.48%	
WCs / Toilets	Close-Coupled WC Bowls	78.36	34.14%	831.00	65.12	84.37	6.61	27.35%	80.52	34.90%	833.50	67.11	86.78	6.99	27.94%	
	Floor Standing WC Bowls	35.80	15.60%	988.00	35.37	100.31	3.59	14.86%	36.68	15.90%	989.97	36.31	103.07	3.78	15.12%	
	Wall Hung WC Bowls	115.34	50.26%	1,192.93	137.59	121.11	13.97	57.79%	113.51	49.20%	1,204.98	136.77	125.45	14.24	56.94%	
Grand Total		449.01	100.00%	793.20	356.15	80.53	36.16	100.00%	448.01	100.00%	798.44	357.71	83.12	37.24	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in NOK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

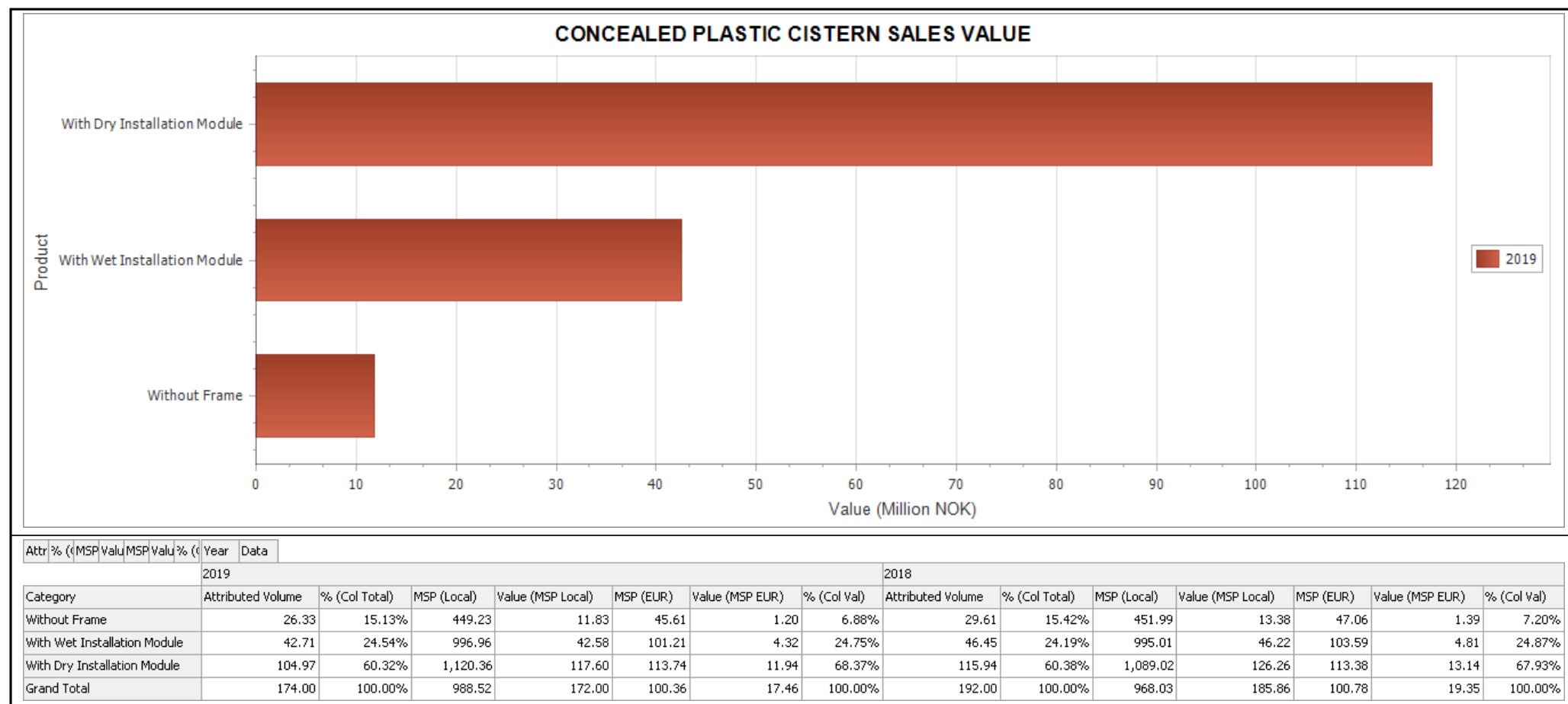
NO - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in HUF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

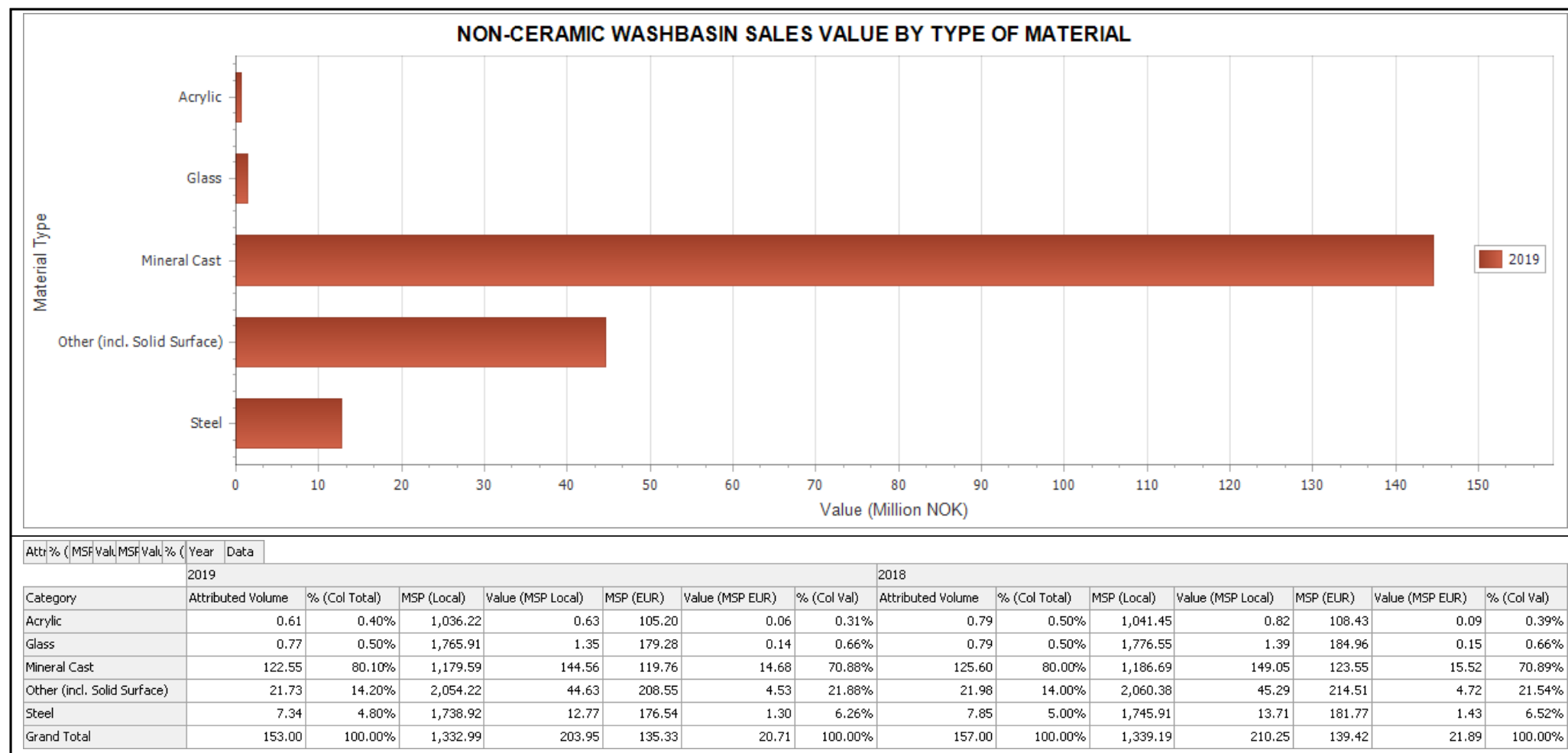
NO - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in NOK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

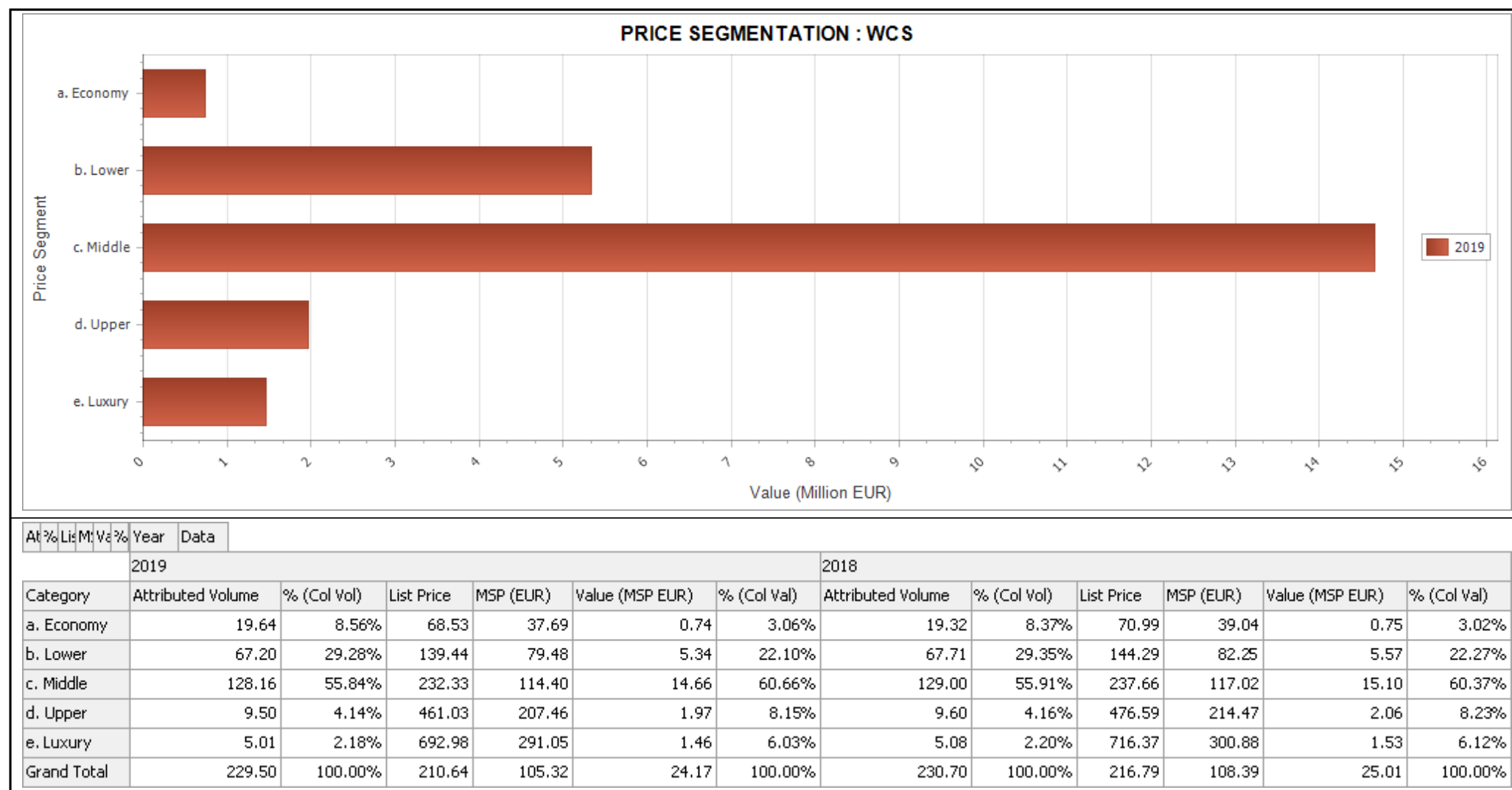
NO - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in NOK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

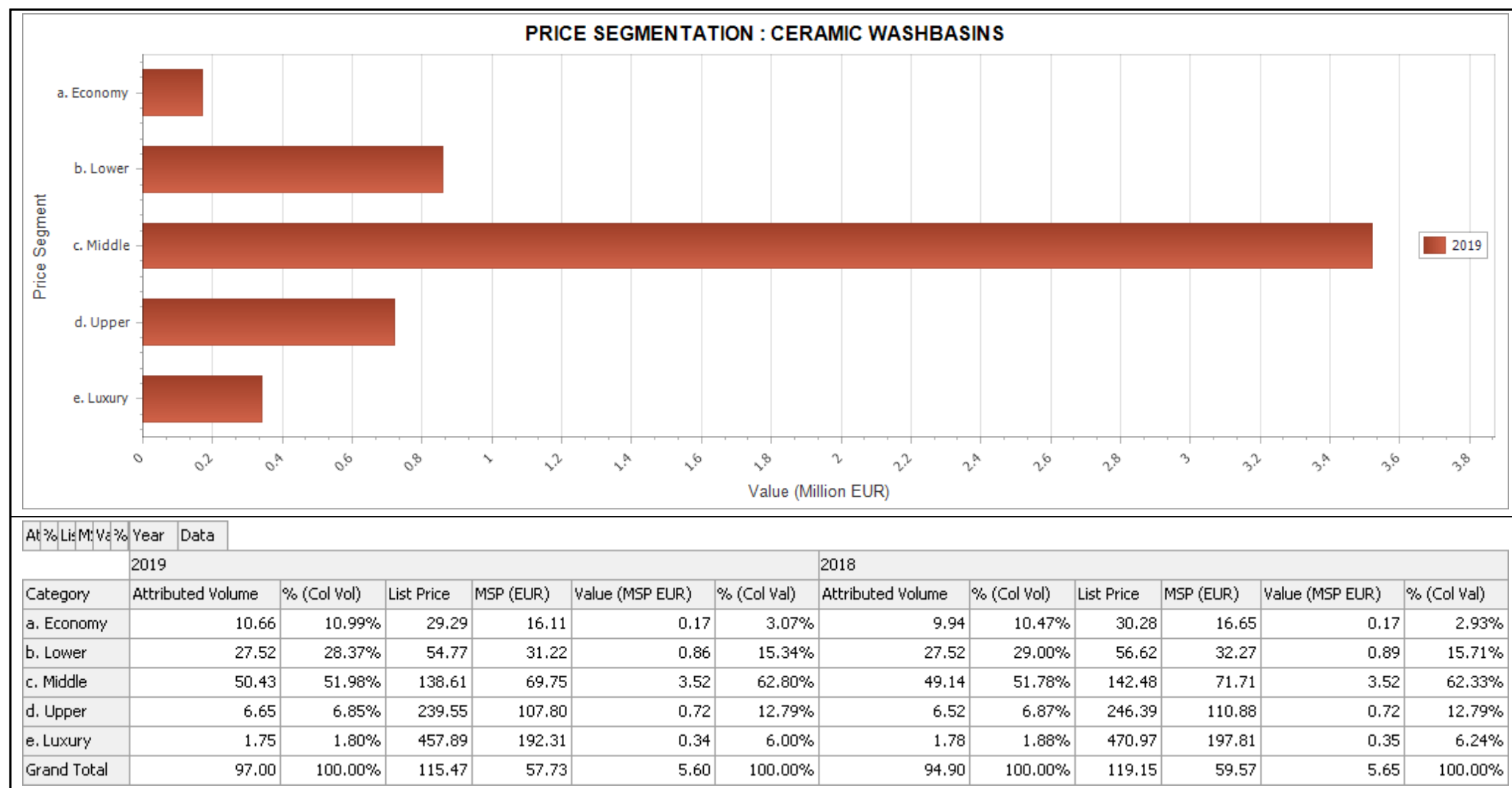
NO - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€50, Lower €50-€100, Middle €100-€150, Upper >€150-€250, Luxury >€250

2.3.7 Price Segmentation : Ceramic Washbasins

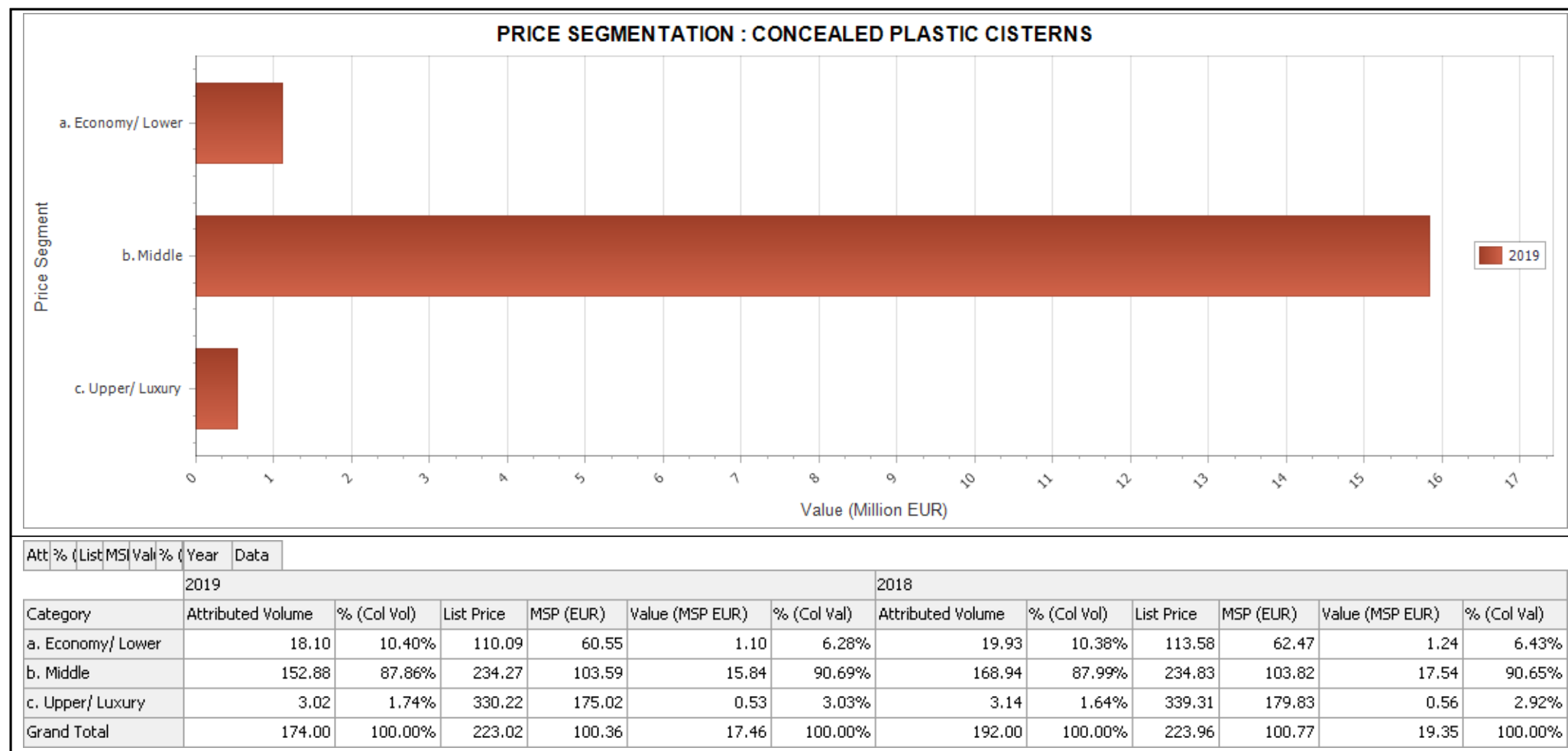
NO - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€25, Lower €25-€50, Middle €50-€80, Upper >€80-€150, Luxury >€150

2.3.8 Price Segmentation : Concealed Plastic Cisterns

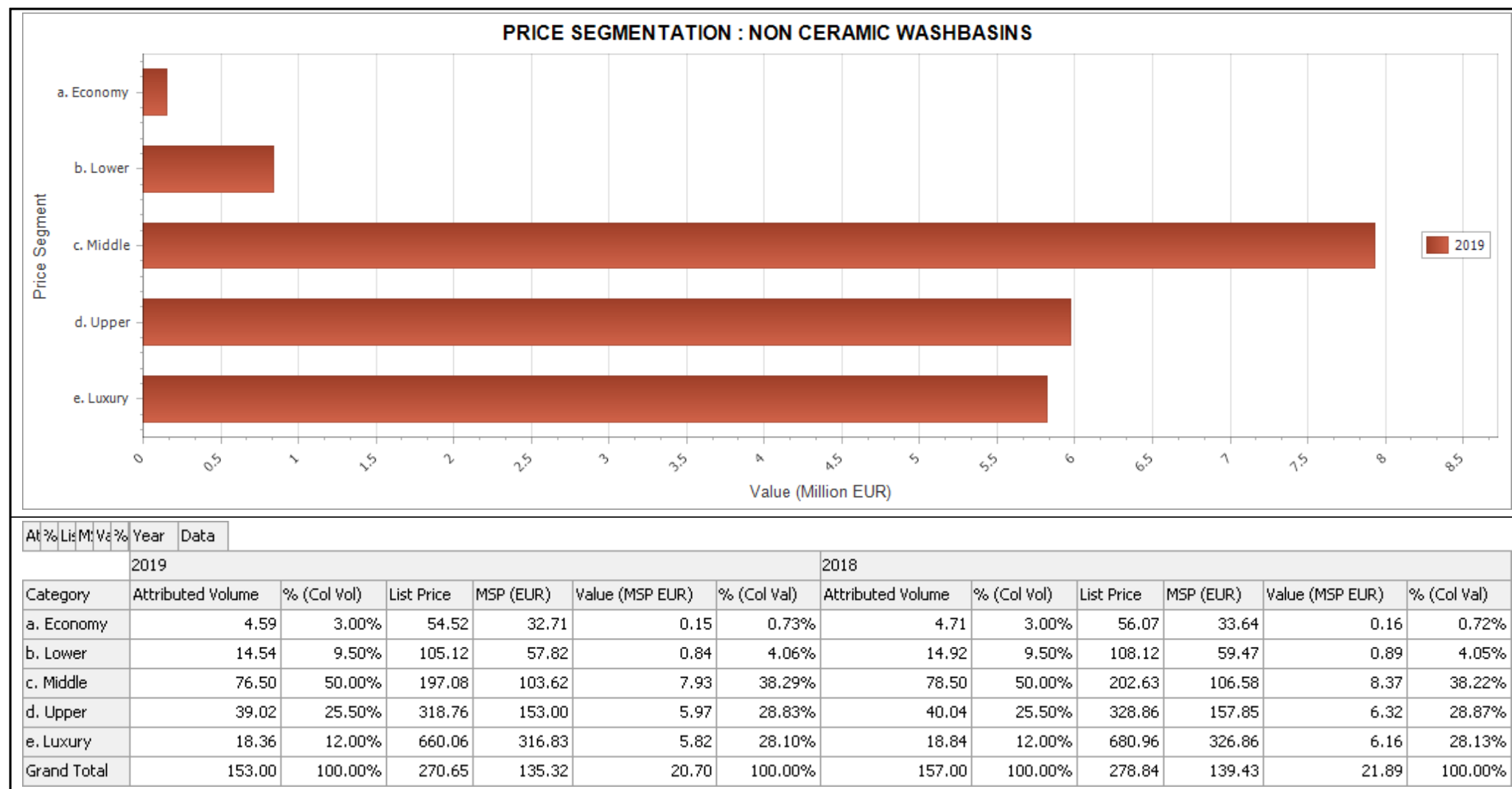
NO - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

2.3.9 Price Segmentation : Non Ceramic Washbasins

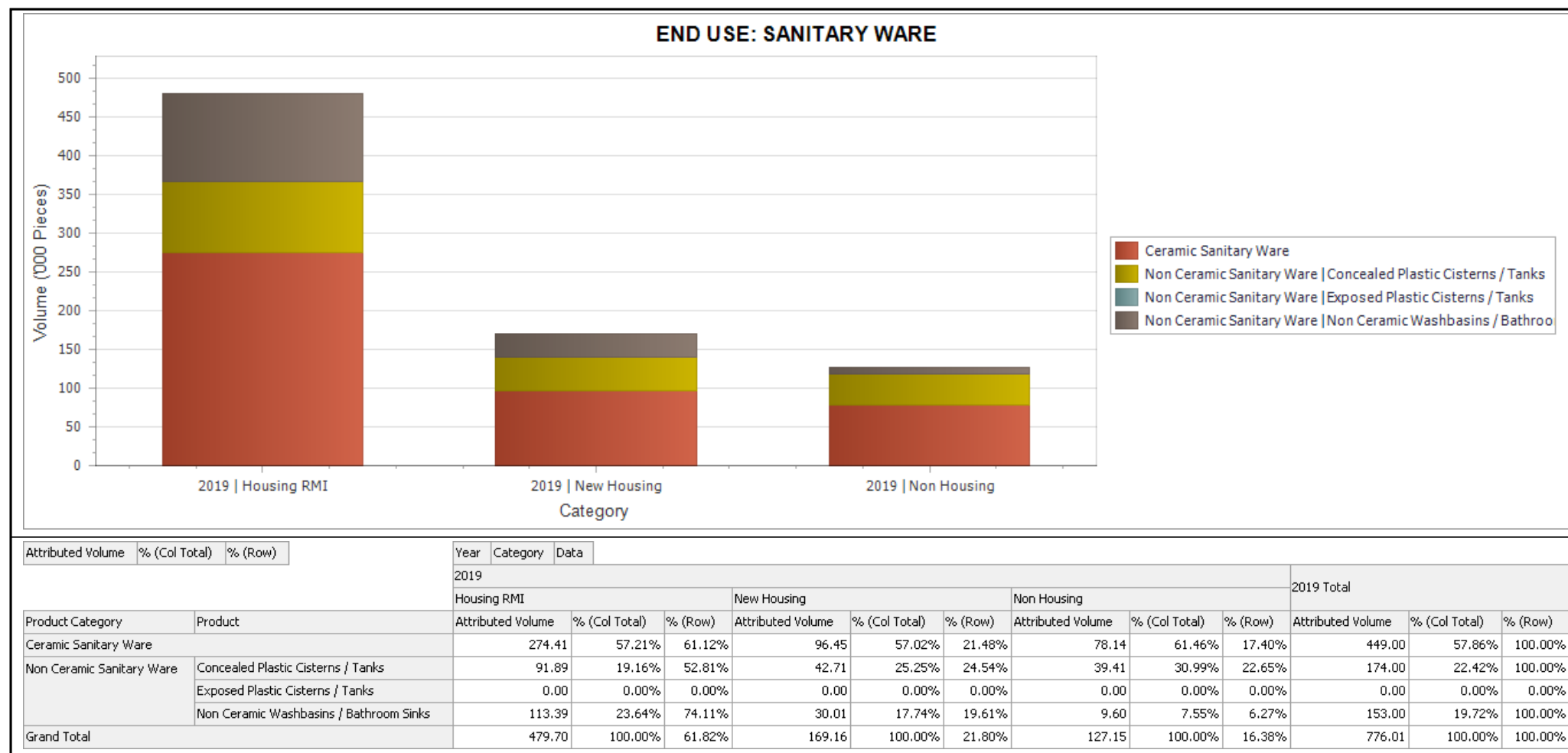
NO - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€80, Middle €80-€120, Upper >€120-€200, Luxury >€200

2.4.1 End Use : Base Year

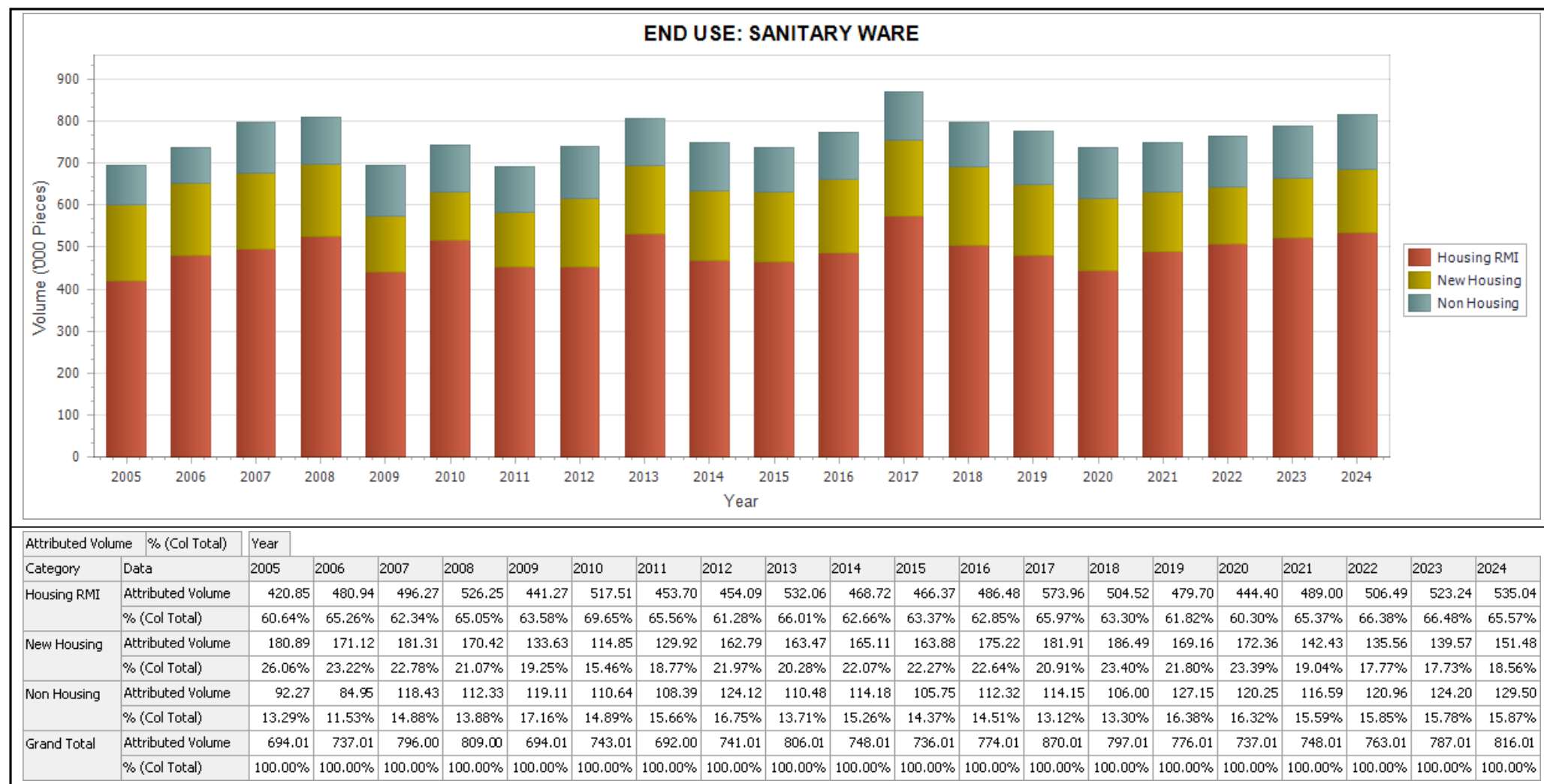
NO - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

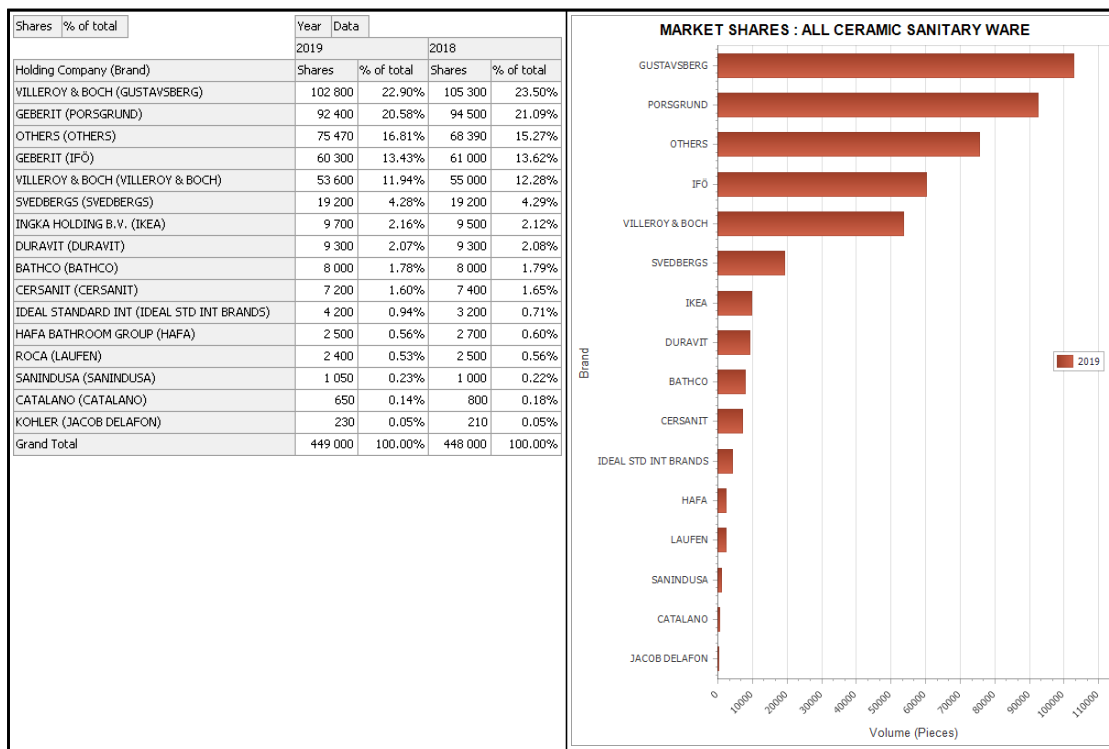
NO - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

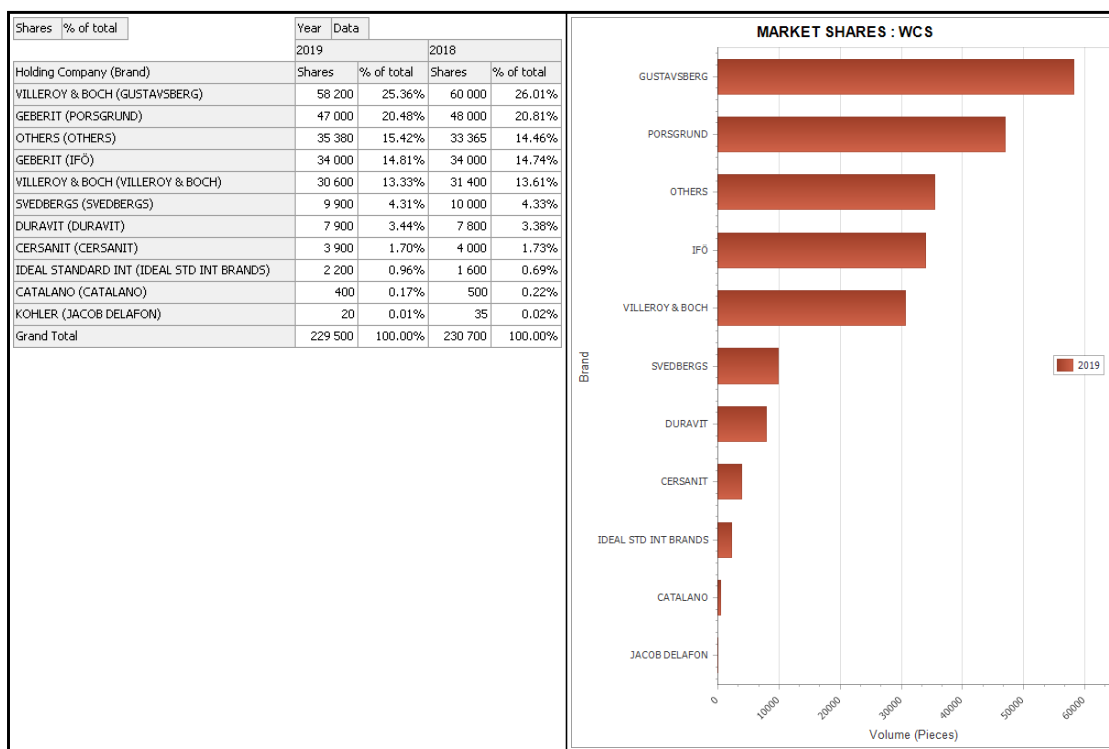
NO - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

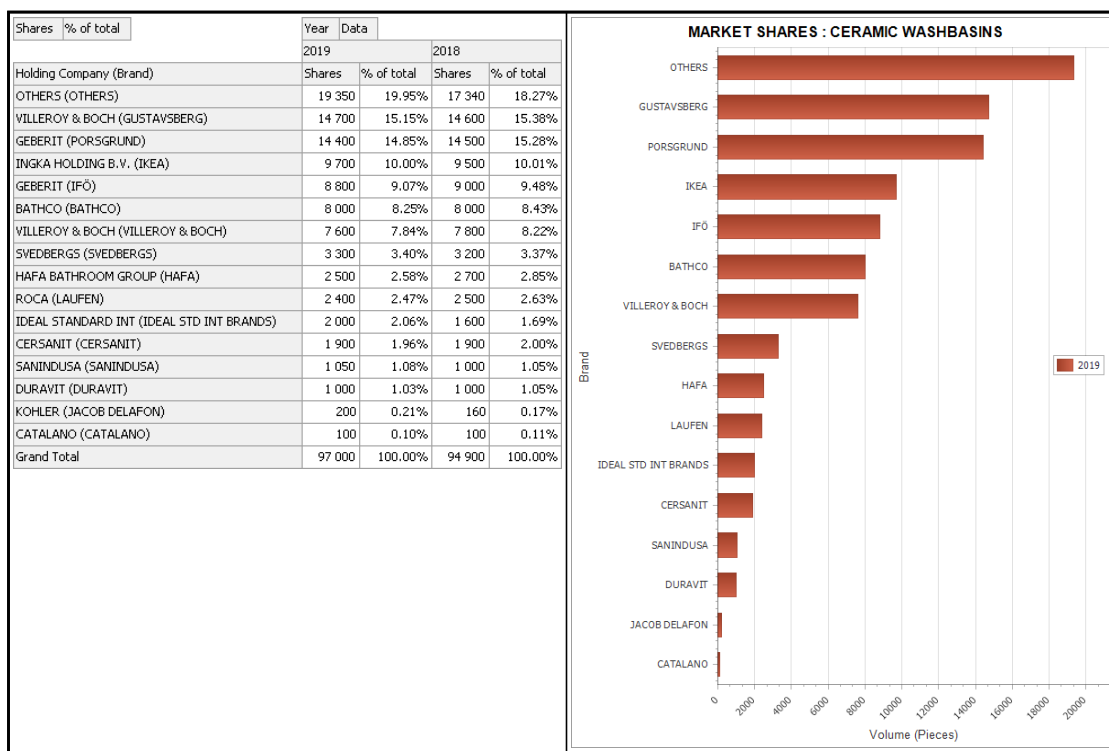
NO - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews

2.5.3 Market Shares : Ceramic Washbasins

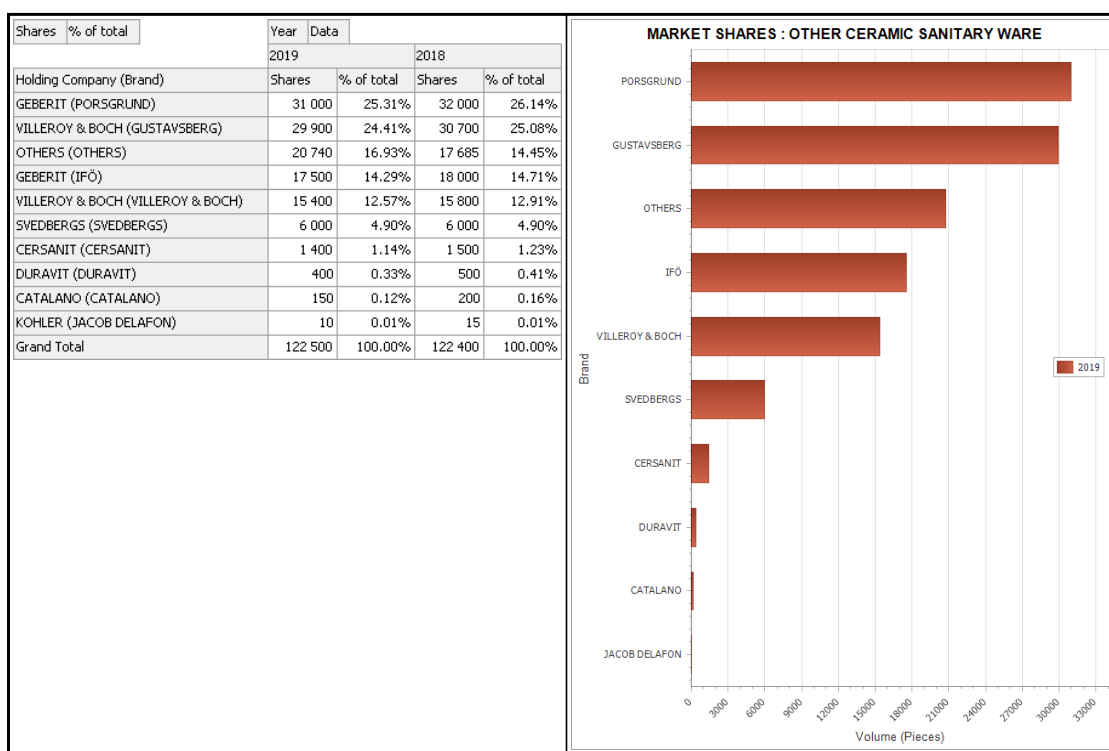
NO - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

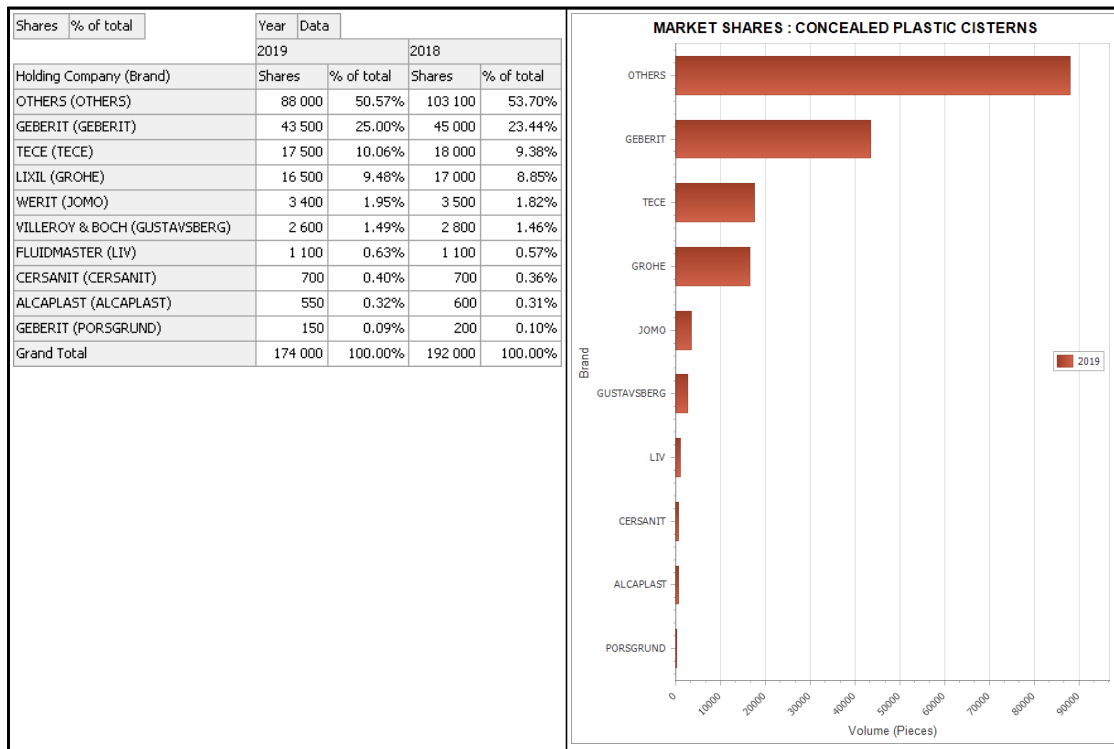
NO - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

NO - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.6.1 NO - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Hungary	1 506	16.7%	4 083	11.3%	568	6.3%	1 146	3.2%
Finland	1 233	13.6%	4 072	11.3%	1 248	13.8%	3 810	10.6%
China	849	9.4%	3 193	8.8%	957	10.6%	3 464	9.6%
Sweden	840	9.3%	3 457	9.6%	2 139	23.7%	7 377	20.4%
Germany	776	8.6%	4 932	13.6%	670	7.4%	4 366	12.1%
Czech Republic	728	8.1%	1 729	4.8%	698	7.7%	1 763	4.9%
Egypt	540	6.0%	1 253	3.5%	247	2.7%	563	1.6%
Turkey	389	4.3%	1 057	2.9%	382	4.2%	881	2.4%
Romania	368	4.1%	1 069	3.0%	346	3.8%	1 026	2.8%
Thailand	315	3.5%	904	2.5%	250	2.8%	819	2.3%
Poland	267	3.0%	1 009	2.8%	192	2.1%	762	2.1%
OTHERS	1 221	13.5%	9 422	26.0%	1 318	14.6%	10 135	28.1%
Total	9 033	100.0%	36 180	100.0%	9 015	100.0%	36 112	100.0%

Source : Trademap

2.6.2 NO - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Denmark	332	38.6%	2 477	27.0%	231	31.7%	1 335	20.3%
Sweden	104	12.1%	2 048	22.3%	101	13.9%	1 603	24.3%
Poland	78	9.0%	682	7.4%	46	6.3%	356	5.4%
Italy	69	8.0%	699	7.6%	140	19.3%	1 256	19.1%
China	41	4.7%	206	2.2%	2	0.3%	36	0.5%
Finland	37	4.3%	285	3.1%	37	5.1%	285	4.3%
Germany	32	3.7%	246	2.7%	30	4.1%	286	4.3%
United States of America	20	2.3%	368	4.0%	8	1.2%	128	1.9%
Spain	20	2.3%	277	3.0%	0	0.1%	8	0.1%
Korea, Republic of	19	2.3%	192	2.1%	16	2.2%	162	2.5%
Brazil	17	1.9%	178	1.9%	8	1.1%	102	1.5%
OTHERS	92	10.6%	1 532	16.7%	107	14.7%	1 034	15.7%
Total	861	100.0%	9 190	100.0%	726	100.0%	6 591	100.0%

Source : Trademap

2.6.3 NO - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	1 613	33.0%	5 619	17.9%	900	19.0%	3 408	10.6%
Germany	1 097	22.4%	7 636	24.4%	1 057	22.3%	7 362	22.9%
Sweden	1 046	21.4%	8 782	28.0%	1 486	31.3%	11 660	36.2%
Poland	669	13.7%	3 973	12.7%	712	15.0%	4 069	12.6%
Denmark	191	3.9%	2 298	7.3%	272	5.7%	2 449	7.6%
Netherlands	53	1.1%	429	1.4%	30	0.6%	384	1.2%
OTHERS	225	4.6%	2 584	8.3%	285	6.0%	2 843	8.8%
Total	4 894	100.0%	31 321	100.0%	4 742	100.0%	32 175	100.0%

Source : Trademap

2.6.4 NO - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Lithuania	51	41.4%	169	13.9%	86	61.8%	278	24.5%
Sweden	37	30.1%	484	39.8%	19	13.4%	260	22.9%
Latvia	12	10.2%	108	8.9%	1	0.7%	54	4.8%
Finland	5	3.8%	54	4.4%	6	4.1%	59	5.2%
Albania	4	3.4%	50	4.1%	0	0.0%	0	0.0%
Denmark	4	3.2%	46	3.8%	15	11.2%	151	13.3%
Czech Republic	3	2.1%	19	1.6%	3	2.5%	19	1.7%
Gambia	2	1.3%	4	0.3%	0	0.0%	0	0.0%
OTHERS	5	4.4%	282	23.2%	9	6.4%	313	27.6%
Total	123	100.0%	1 216	100.0%	138	100.0%	1 134	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
NO - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	71.5%
	Wholesalers / Merchants
	71.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.3%	3.5%	4.5%	8.5%	8.5%	18.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.9%		13.0%		26.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
10.2%	35.0%	0.1%	3.1%	3.5%
Installers				
51.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	5.4%	8.6%	8.7%	22.5%	37.5%	0.0%	1.0%	0.2%	1.2%	0.6%	14.4%
	Residential						Non-Residential					
	82.6%						17.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	21.5%			61.1%			8.0%			9.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	15.0%		6.5%	10.0%		51.1%	6.0%		2.0%	6.0%		3.4%

2.7.2 Route to Market: Ceramic Sanitary Ware
NO - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	71.2%
	Wholesalers / Merchants
	71.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.4%	3.5%	4.4%	8.4%	8.3%	18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.9%		12.8%		26.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
10.0%	35.0%	0.2%	3.0%	3.3%
Installers				
51.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.7%	5.3%	8.4%	8.6%	22.4%	38.1%	0.0%	1.0%	0.3%	1.2%	0.6%	13.4%
	Residential						Non-Residential					
	83.5%						16.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	18.4%			65.1%			4.5%			12.0%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	15.0%		3.4%	10.0%		55.1%	3.8%		0.7%	5.5%		6.5%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

NO - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

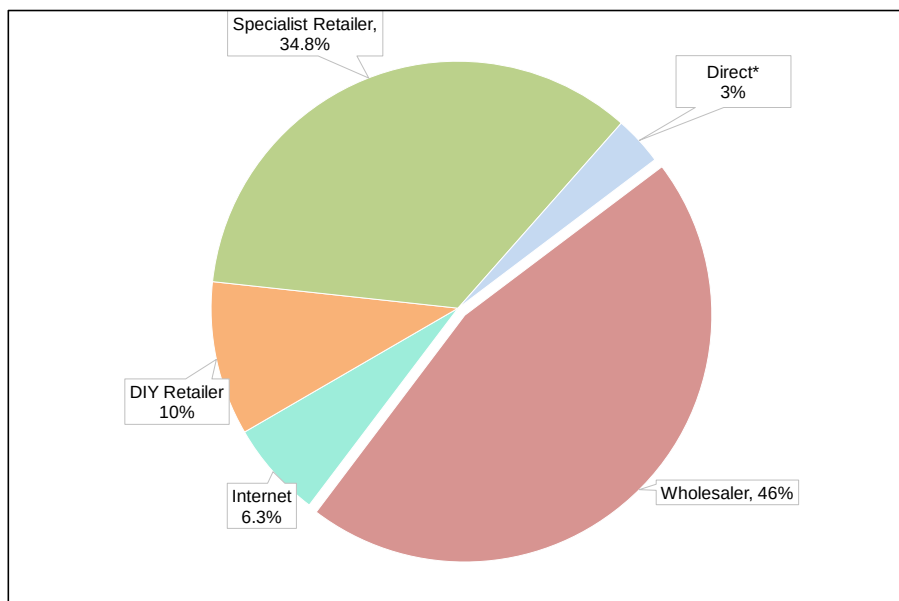
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
45.6%	6.3%	10.1%	34.8%	3.2%	25.0%	12.0%	57.6%	5.4%
100%					37.0%		63.0%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

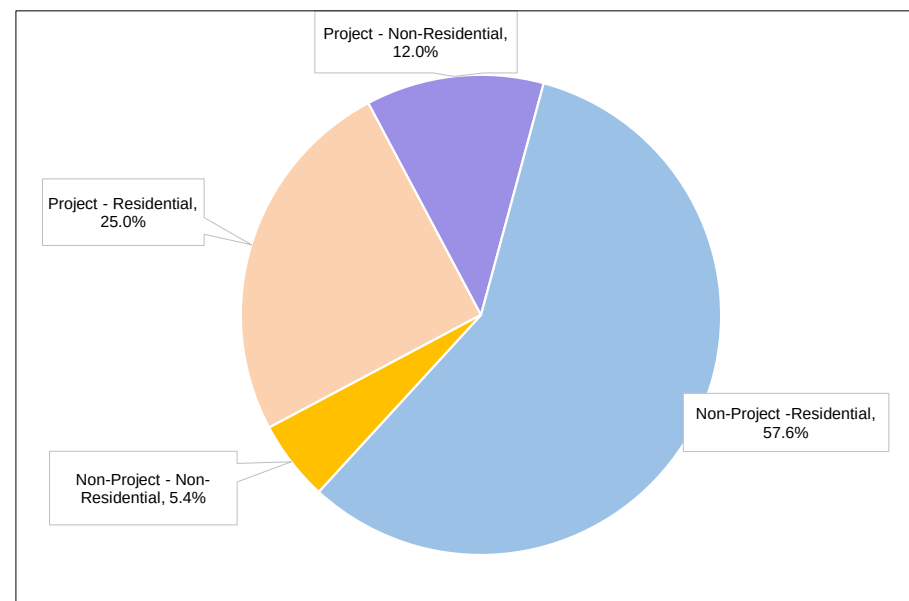
NO - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
44.0%	6.4%	11.7%	34.9%	3.0%	25.0%	9.3%	58.5%	7.2%
100%					34.3%		65.7%	

NO - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



NO - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
NO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	72.6%
	Wholesalers / Merchants
	72.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.3%	0.0%	3.6%	1.0%	10.0%	2.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.3%		4.6%		12.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
12.6%	65.0%	0.0%	1.0%	1.5%
Installers				
80.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.6%	1.3%	3.6%	10.0%	58.9%	0.0%	1.0%	0.0%	0.0%	0.5%	21.1%
	Residential						Non-Residential					
	77.4%						22.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	24.5%			52.8%			8.0%			14.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	15.9%		8.6%	7.5%		45.3%	6.0%		2.0%	5.1%		9.5%

2.7.6 Route to Market: Plastic Cisterns
NO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.0%
	Wholesalers / Merchants
	77.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.5%	0.0%	4.2%	1.0%	9.0%	2.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.5%		5.2%		11.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
8.2%	60.0%	0.0%	1.0%	3.4%
Installers				
72.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.1%	13.0%	1.5%	4.2%	7.1%	62.2%	0.0%	1.0%	0.0%	0.0%	0.5%	10.4%
	Residential						Non-Residential					
	88.1%						11.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.6%			77.5%			4.0%			7.9%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	9.0%		1.6%	8.0%		69.5%	3.0%		1.0%	2.5%		5.4%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

NO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

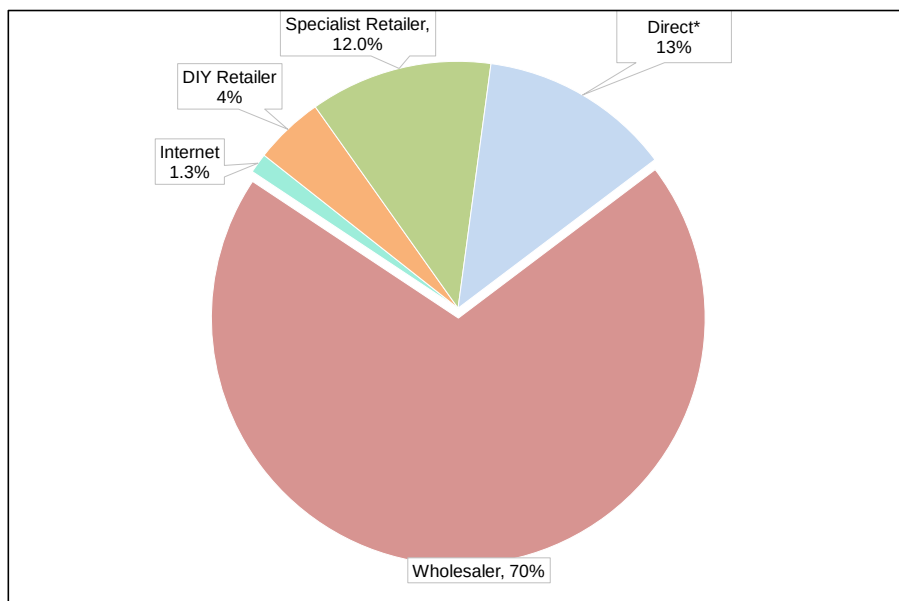
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
69.6%	1.3%	4.6%	12.0%	12.6%	23.4%	11.1%	54.0%	11.5%
100%					34.5%		65.5%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

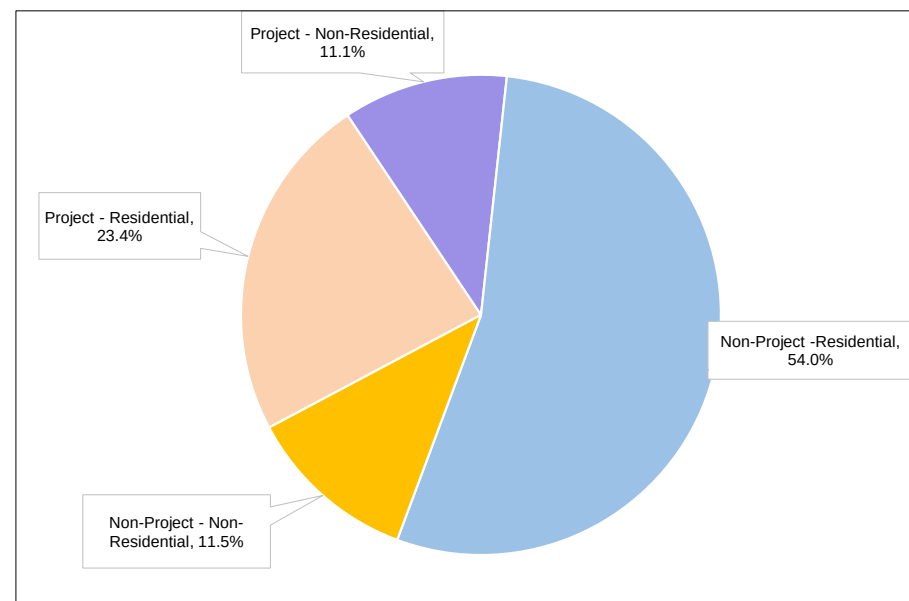
NO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
74.0%	1.5%	5.2%	11.0%	8.3%	17.0%	5.5%	71.1%	6.4%
100%					22.5%		77.5%	

NO - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



NO - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



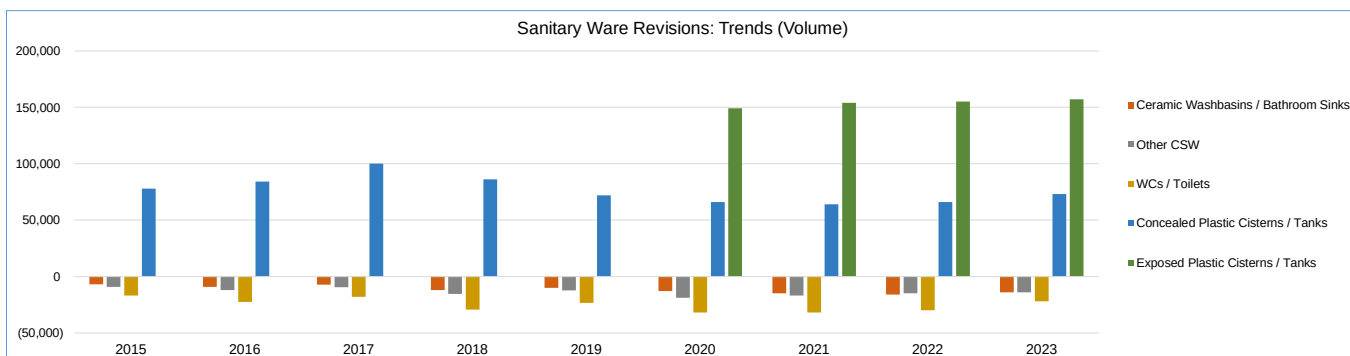
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Norwegian Sanitary Ware Market (July 2020)

NO - REVISIONS IN THE NORWEGIAN SANITARY WARE MARKET

Data Comparison: July 2019



Product Category	Alt Product	Latest Data	2015	2016	2017	2018	2019	2020	2021	2022	2023
Ceramic Sanitary Ware	Ceramic Washbasins / Bathroom Sinks	Vol	94,000	94,700	101,600	94,900	97,000	92,000	92,000	93,000	95,000
Ceramic Sanitary Ware	Ceramic Washbasins / Bathroom Sinks	Δ Change	-7,000	-9,300	-7,400	-12,100	-10,000	-13,000	-15,000	-16,000	-14,000
Ceramic Sanitary Ware	Other CSW	Vol	123,800	123,900	131,500	122,400	122,500	116,000	119,000	123,000	126,000
Ceramic Sanitary Ware	Other CSW	Δ Change	-9,200	-12,100	-9,500	-15,600	-12,500	-19,000	-17,000	-15,000	-14,000
Ceramic Sanitary Ware	WCs / Toilets	Vol	226,200	231,400	249,900	230,700	229,500	218,000	220,000	225,000	235,000
Ceramic Sanitary Ware	WCs / Toilets	Δ Change	-16,800	-22,600	-18,100	-29,300	-23,500	-32,000	-32,000	-30,000	-22,000
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks	Vol	171,000	184,000	204,000	192,000	174,000	166,000	166,000	170,000	178,000
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks	Δ Change	77,800	84,000	99,900	86,000	72,000	66,000	64,000	66,000	73,000
Non Ceramic Sanitary Ware	Exposed Plastic Cisterns / Tanks	Vol	0	0	0	0	0	149,000	154,000	155,000	157,000
Non Ceramic Sanitary Ware	Exposed Plastic Cisterns / Tanks	Δ Change	0	0	0	0	0	149,000	154,000	155,000	157,000
Total	Total	Vol	615,000	634,000	687,000	640,000	623,000	741,000	751,000	766,000	791,000
Total	Total	Δ Change	44,800	40,000	64,900	29,000	26,000	151,000	154,000	160,000	180,000

The market size for concealed plastic cisterns have been adjusted upwards for the whole analyzing period, due an underestimation of the popularity of wall hung WCs.

The market size for non-ceramic washbasins have been revised upwards due to an oversight of the popularity of this product being installed together with a base unit.

Market size for ceramic washbasins, other CSW, and WCs toilets have been revised upwards in 2012 and 2013, due to an overall underestimation of the market sizes. The market size for ceramic washbasins, other CSW and WCs toilets have been adjusted downwards from 2014-2019 due to an overestimation of the housing RMI market, for these years.

NORWAY

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Two head mixers represent a niche market, with the majority being sold for installation in basins and baths. Although two head mixers are generally considered to be inferior products, Norwegian consumers tend to buy these from luxury ranges because of their classic appeal.

One head mixers are standard in Norway. Large numbers of these mixers were sold for installation with washbasins, sinks and shower applications. The share of concealed models has been increasing in recent years, particularly for bath and shower applications, which is a trend which should continue in the forthcoming years.

Norway has a comparatively large market for thermostatic mixers by European standards. Thermostatic mixers are mainly sold for use with showers, though they are increasingly being used in baths. Bath-only thermostatic mixers, under BRG's definition, exclude a shower hose pipe connection.

The majority of self-closing mixers sold in the country are electronic. Whilst the greater part are being sold to the non-housing segment, the share of self-closing electronic mixers in the residential segment has been growing slowly. The mixer's water saving capability is believed to be one of the main drivers within the residential segment. Electronic mixers are believed to be taking away some market share from the one head mixers.

Concealed mixers continue to represent a niche market in Norway. The majority of concealed mixers are for shower and bath applications and sold in the upper/luxury price segment.

There is no market for pillar taps in Norway, where virtually all faucets sold are mixers.

Norwegian consumers have in recent years been more focused on coloured products, with black products especially gaining a relatively large market share.

Recent Market Trends

The overall taps and mixers market saw a decrease in 2019, mainly due to a decline in new housing construction. The residential sector did not perform well in 2019, with both new housing and housing RMI decreasing steadily throughout the year. A decrease could be seen across almost all application categories, except bidet taps and mixer that remained stable.

After a boom in 2018, influenced by the growing focus in the showers and washbasin category among both consumers and manufacturers, were sales disappointing in 2019. For washbasins and kitchen sinks, one head mixers

continued to dominate. Historically taps and mixers sales to the non-housing sector has been fluctuating but a significant growth in sales was seen in 2019. This segment is responsible for the increasing sales of electronic mixers. Sales of electronic mixers to the residential sector are expected to increase over the forecast period, due to a post-pandemic focus on hygiene amongst consumers.

Prices and Market Values

The average MSP (in NOK) increased across the different price segments in 2019. The medium-priced segment continued to represent the bulk of mixer sales. The share of sales going to the different price segments remained reasonably stable. There has been a trend in the market towards lower priced models over products in the upper/luxury segment, as wholesalers and professionals are increasingly pushing products in this price segment via private label brands. As consumer prices are high in Norway, the demand for products in the upper/luxury segment was therefore sustained, while the standard segment continued to be the main driver of growth.

Even though prices experienced a moderate increase in 2019, a significant price increase is likely for 2020, driven by the fall in oil prices and consequent weakening of Norwegian Krona caused largely by the COVID-19 crisis. According to WORLDTOPEXPORTS, oil accounted for 55.6% of total Norwegian exports in 2019. The weak NOK is expected to increase the import prices for consumers goods, which will affect the consumer prices.

The depreciation of the Norwegian krone against the euro continued in 2019. This led to a lower growth in the average MSP (in EUR) and the market value (in EUR).

New Housing

New dwelling completions decreased in 2019, with a similar decrease in both new housing and apartment completions. This led to a significant decrease in the volume sales of taps and mixers within this end-use segment. Sales of one head mixers continued to dominate the total sales going to the new housing sector, as it is the main type used for washbasins. The share of two head mixers, self-closing taps and electronic mixers remained quite negligible in the new housing segment, similarly to previous years. New housing is expected to remain an important end-use sector for taps and mixers; sales in the new housing segment should remain primarily driven by new apartment completions. Sales to this end use are predicted to decline in 2021 and 2022 in line with the decrease in new housing completions.

Housing RMI

This segment represents the core of the Norwegian market. With pumped growth rates in 2017, housing RMI activity has ever since been decreasing.

Increased interest rates which are negatively affecting the RMI market is one of the main drivers in this end use segment. Higher interest rates contribute to lower real

disposable incomes of households, which are likely to affect the household's willingness to renovate the house.

The replacement sales of one head mixers experienced a significant decrease in 2019, due to a decreasing demand from replacement with washbasins. Two headed taps sales declined again in 2019, and this segment is expected to continue to lose share to one head mixers – which are dominating the market. Thermostatic mixers have gained share in replacement sales to one head mixers within shower instalments.

Housing RMI demand for taps and mixers is expected to keep declining in 2020, due to a decline in sales of shower taps and mixers. On the other hand, BRG forecasts that sales to this end use segment should resume growth in 2021 due to the switch in consumer preference in buy a second-hand house instead of building a new one. This is predicted to increase sales towards RMI in 2021, as many house owners are likely to remodel both bathroom and kitchen when they buy a second-hand house.

Renovation demand for taps and mixers is expected to pick up in 2021. This is because housing RMI has been historically more stable and relatively independent of changes in economic conditions than other end-use sectors.

Non-Housing

Sales of taps and mixers in the non-housing sector are significantly smaller than the other two end-uses. Historically, sales of taps and mixers to this end-use segment have remained relatively stable because of the large share of demand stemming from replacement or maintenance sales. Similarly to the residential market, this is an important stabiliser in the market and helps to preserve the large volumes sold each year. Electronic mixers are the most common type of mixer sold, together with one head mixers. Self-closing tap sales kept declining in 2019, being evicted by electronic mixers, and now represent a marginal share of the market.

Supply Structure

The Norwegian taps and mixers market is characterised by a strong presence of suppliers from the Nordic countries, followed by suppliers from Germany and Italy. Imports from the neighbouring Scandinavian countries make up the great majority of the market, with suppliers such as ORAS, GUSTAVSBERG, the FM MATTSSON GROUP (with its three brands FM MATTSSON, MORA ARMATUR and DAMIXA) and TAPWELL accounting for a significant share. The supply is dominated by the Finnish manufacturer ORAS, whose presence in the project market and in the lower and middle-price segments is particularly strong. Over the past decade the ORAS brand has kept market shares above two thirds. TAPWELL is the only one of these that distribute directly to installers; the rest sell via wholesalers. DAMIXA is still distributed by KORSBAKKEN TRADING, even though the company was acquired by OSTNOR (now the FM MATTSSON MORA

GROUP) in 2014.

Other leading players include the German suppliers GROHE and HANSGROHE, owned by LIXIL and MASCO, which are imported directly from Germany or via respective subsidiaries in Denmark. The specialist retailer, IKEA, also has a strong presence in the DIY market, but has lost shares in recent years as installers have been reluctant to install its products because of its relatively low quality compared to specialist manufacturers. IKEA's sanitary/kitchen taps and mixers are sourced from various manufacturers, including e.g. DAMIXA (Denmark), NSK ARMATUR (Turkey), ECZACIBASI VITRA (Turkey), VALFSEL ARMATÜR SANAY (Turkey), PAINI RUBINETTERIE (Italy), SHANGHAI RODDEX BATH HARDWARE (China), and the GLOBE UNION INDUSTRIAL CORP (Taiwan).

Installers also tend to be more brand-loyal than end-consumers, who are more price-sensitive. The same type of brand loyalty has also hindered further growth in sales for private label brands, although these have increased in recent years in line with the growing product offering across all the main distribution channels. However, quality continues to be one of the main key drivers in the market, and this is evident in the relatively high share of products sold in the middle and upper segments. Private label brands include wholesaler brands ALTERNA/DAY (BRØDRENE DAHL), VIGOUR (HEIDENRECH) and A-COLLECTION (AHLSELL); DIY brands CELLO (BYGGMAKKER), SAXE BAD (COOP), GELIA (AHLSELL), CELESTE (MEGAFLIS), CURAQUA (JULA) and BILTEMA (NON-BRANDED); as well as specialist retailer brands BADEMILJØ (NON-BRANDED) and ELEMENT (COMFORT).

Other players in the market include NEWFORM, imported by KORSBAKKEN TRADING, HANSA (ORAS GROUP), IDEAL STANDARD, CRISTINA, ZUCCHETTI, KLUDI, NOVELLINI (imported by HOLTAN TRADING), KOHLER, EUROBAD, VIKINGBAD, FIMA CARLO FRATTINI (imported by COMFORT), PRIMY, VOLA, ADORA, MIXOMAT, NORO, TEMAL and DANSANI. These, however, are relatively small players in the Norwegian market and only account for a small share of total sales. The large majority are distributed via DIY or specialist retailers.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The overall bathroom and kitchen markets are expected to be affected by the outbreak of the COVID-19 crisis. The crisis is expected to affect the developments of new dwelling and commercial construction, as many projects are being postponed, prolonged or cancelled. Housing RMI is also expected to be affected by the crisis due to the uncertainty in the market, causing some homeowners to delay

renovating their homes.

The overall market for taps and mixers is expected to decline in 2020. This downward trend is likely to be mainly driven by decreasing demand from the RMI sector. The housing RMI demand is expected to pick up significantly in 2021 and be the main driver for taps and mixers sales.

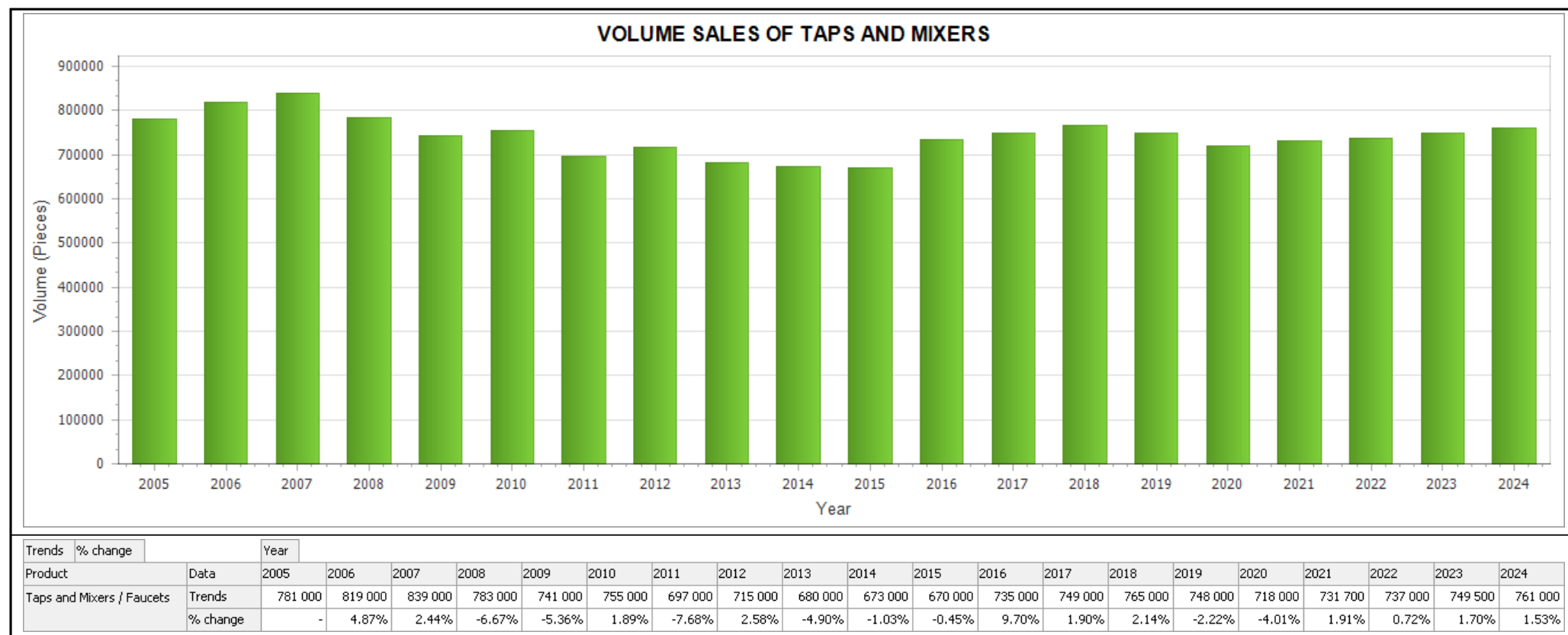
The outlook for the forecast period for sales of taps and mixers is positive, with housing RMI continuing to be the main driver. The main driver is the change in housing demand from new housing to secondary housing market due to the effect of the COVID-19. When house owners are moving into a house, they are likely to change either bathroom or the kitchen driving up the RMI sales.

Moving towards 2022, demand is likely to shift towards products which are more focused on hygiene and water conservation. This should increase demand for electronic mixers in both the residential and commercial sector. In terms of product mix, one head mixers together with thermostatic are predicted to sustain their growth over the forecast period and, therefore, should continue to be the most popular products on the market. Sales of two head mixers should continue a slow decline, mainly relying on like-for-like replacements and the kitchen market in the future. Self-closing tap sales should also decrease slowly over the forecast period, as electronic types show sustained growth rates in the non-housing segment.

The forecasts are sensitive to any changes in the construction output, interest rates and private consumption levels over the next few years. The COVID-19 crisis is expected to be the main driver behind any sensitivity and changes in the market over the forecast period. Interest rates and private consumption affect RMI spending and demand and, therefore, any modifications in these input factors can lead to changes in the forecasts. Moreover, like-for-like replacement rates can vary significantly each year, due to the uncertain nature of sales stemming from repairs from accidents, the general rate of replacement, and the sales of spare parts. Changes in the forecast for sanitaryware products, baths and shower trays could also force BRG to revise its forecasts of the taps and mixers market – as the markets are related

3.2 Historical Trends and Forecasts : Taps and Mixers

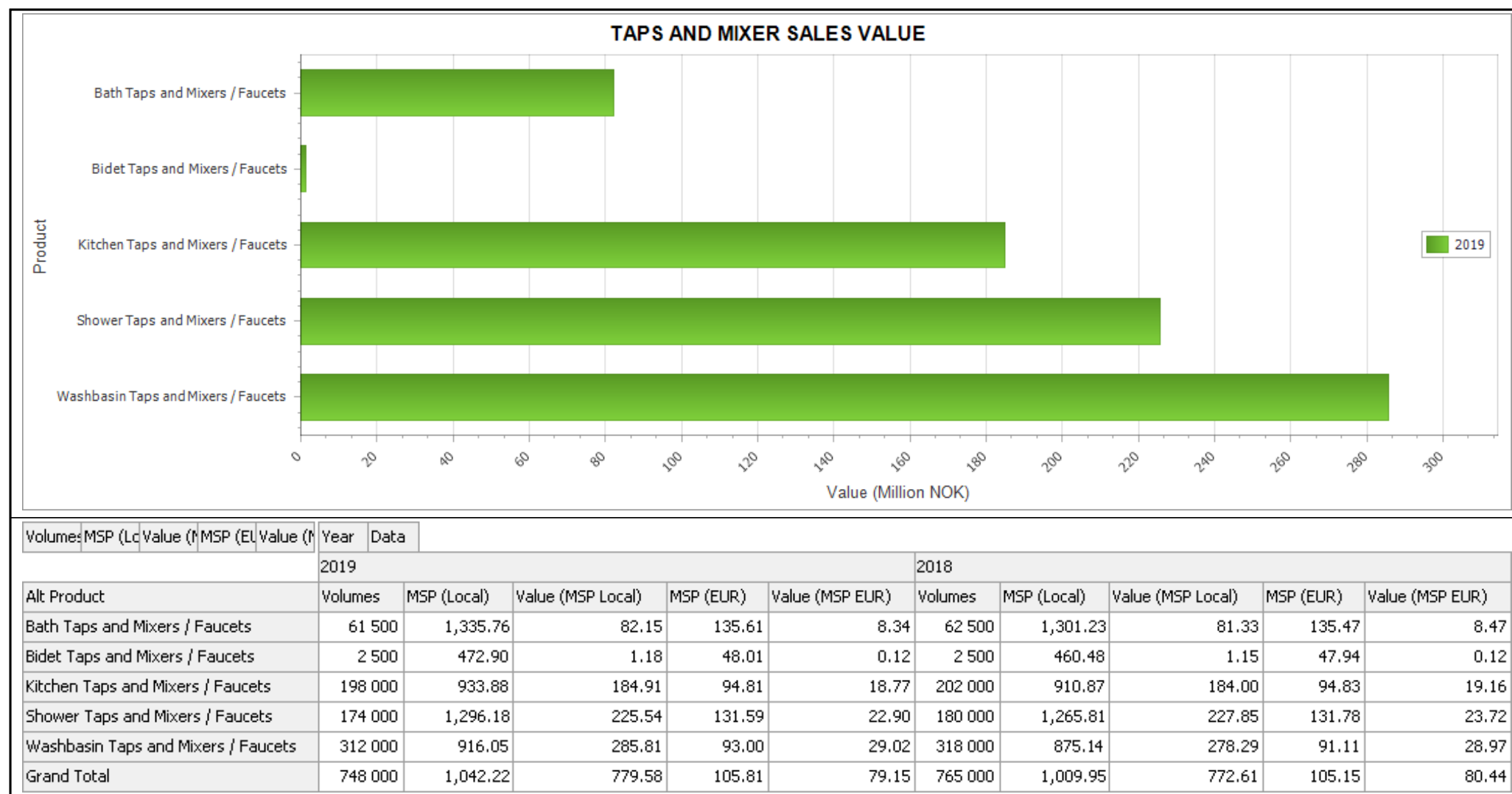
NO - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

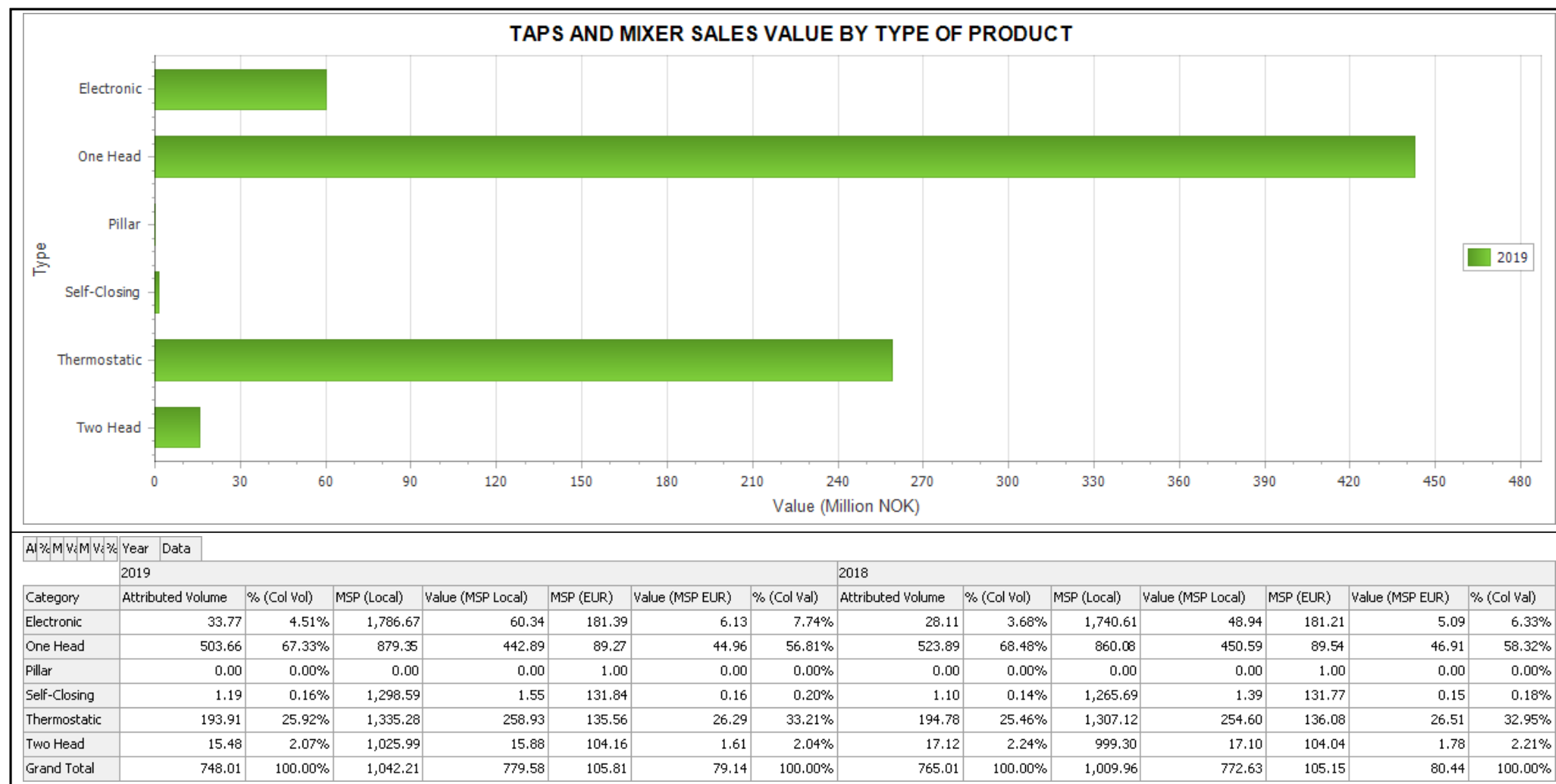
NO - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in NOK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

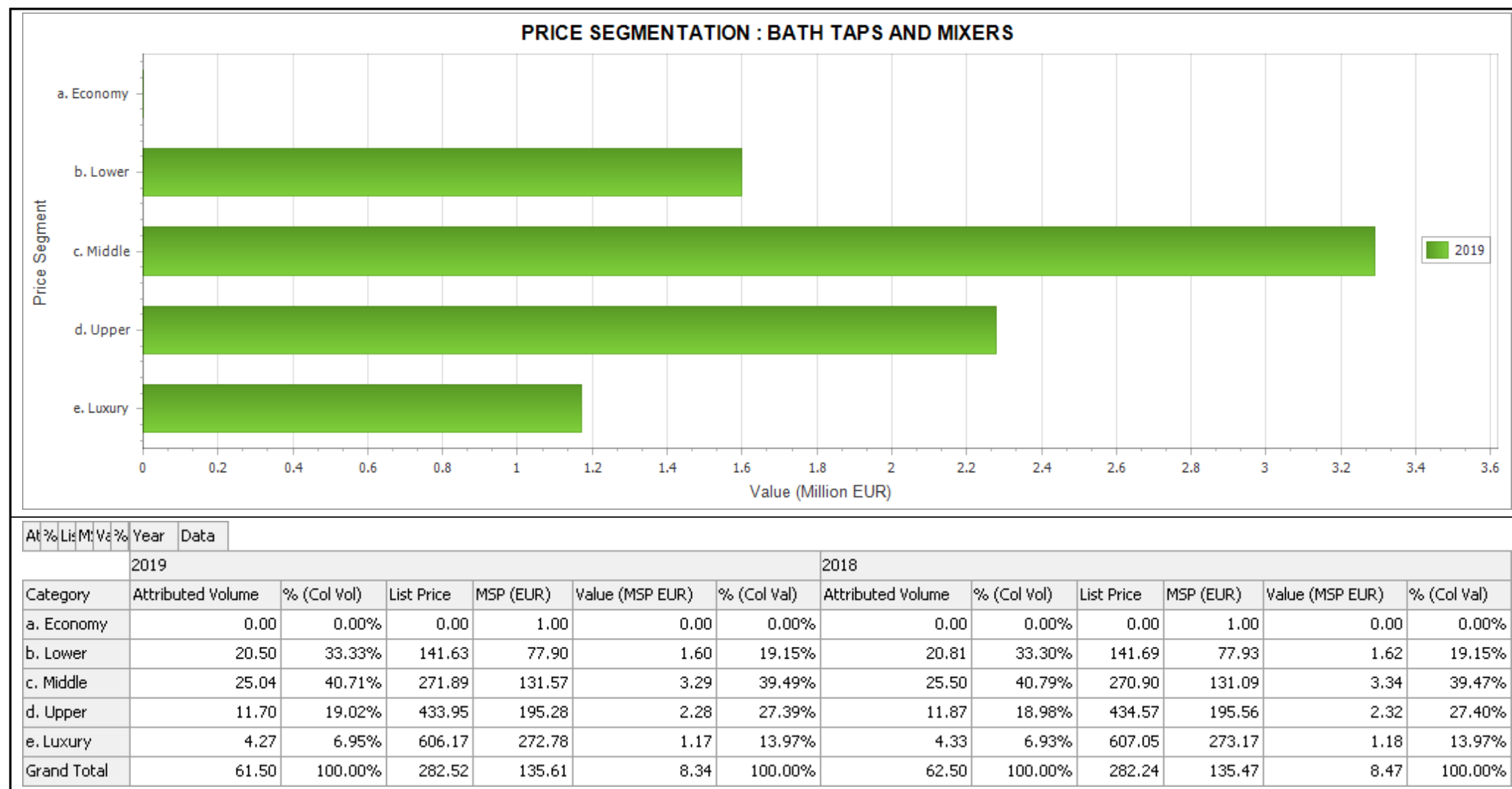
NO - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in NOK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

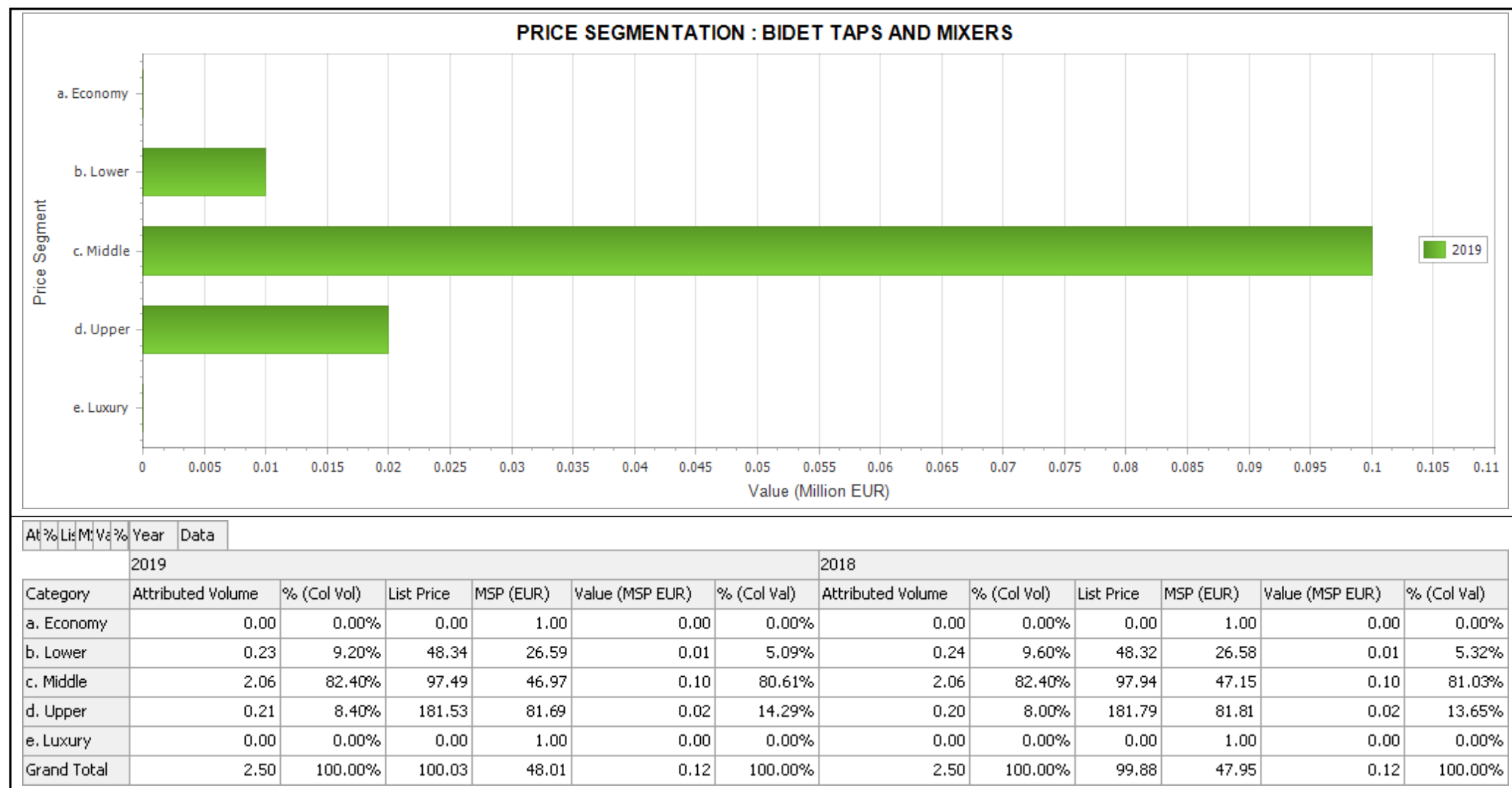
NO - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€60, Lower €60-€100, Middle €100-€150, Upper €150-€250 and Luxury >€250

3.3.4 Price Segmentation : Bidet Taps and Mixers

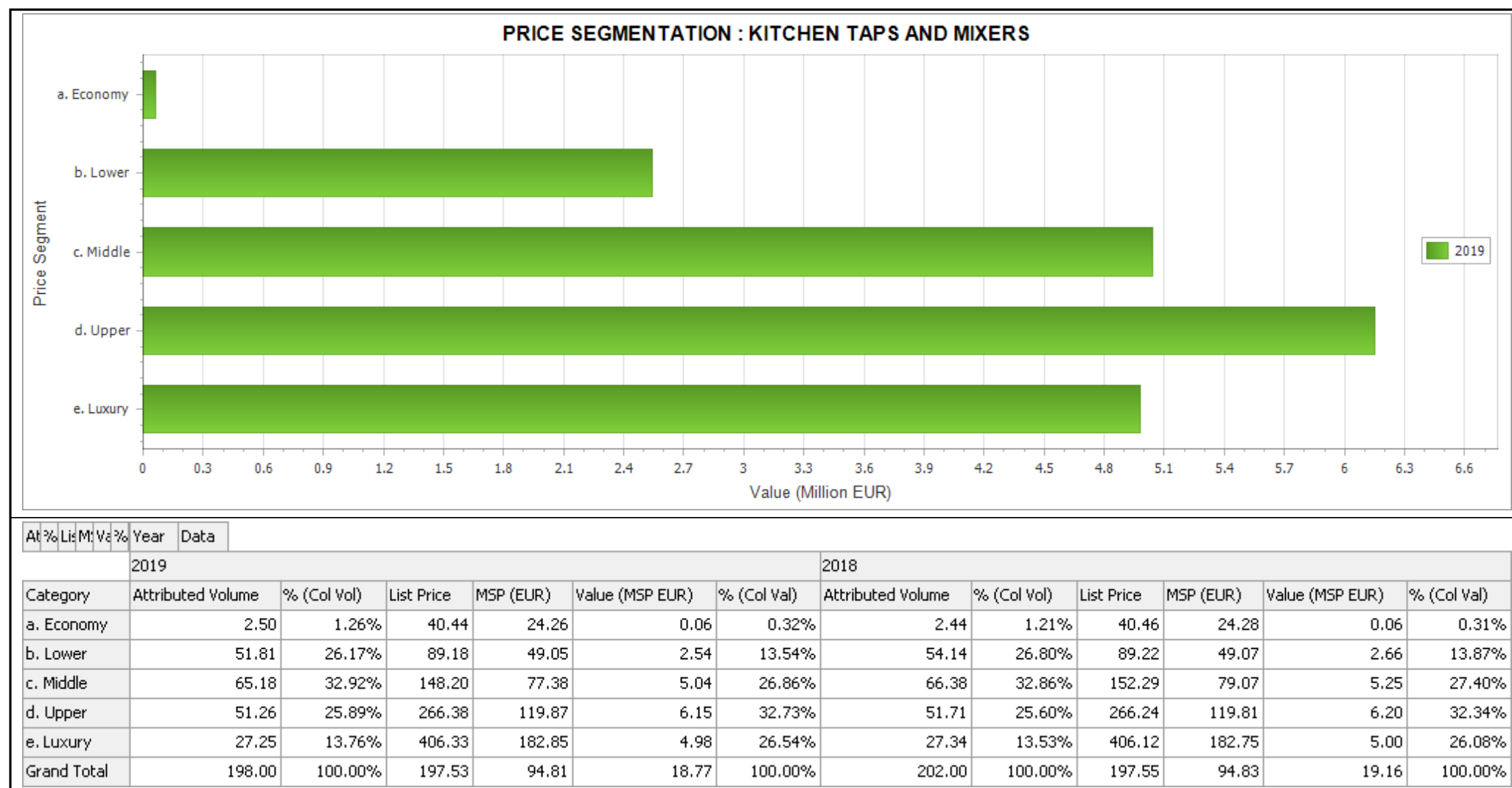
NO - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€45, Middle €45-€60, Upper €60-€100 and Luxury >€100

3.3.5 Price Segmentation : Kitchen Taps and Mixers

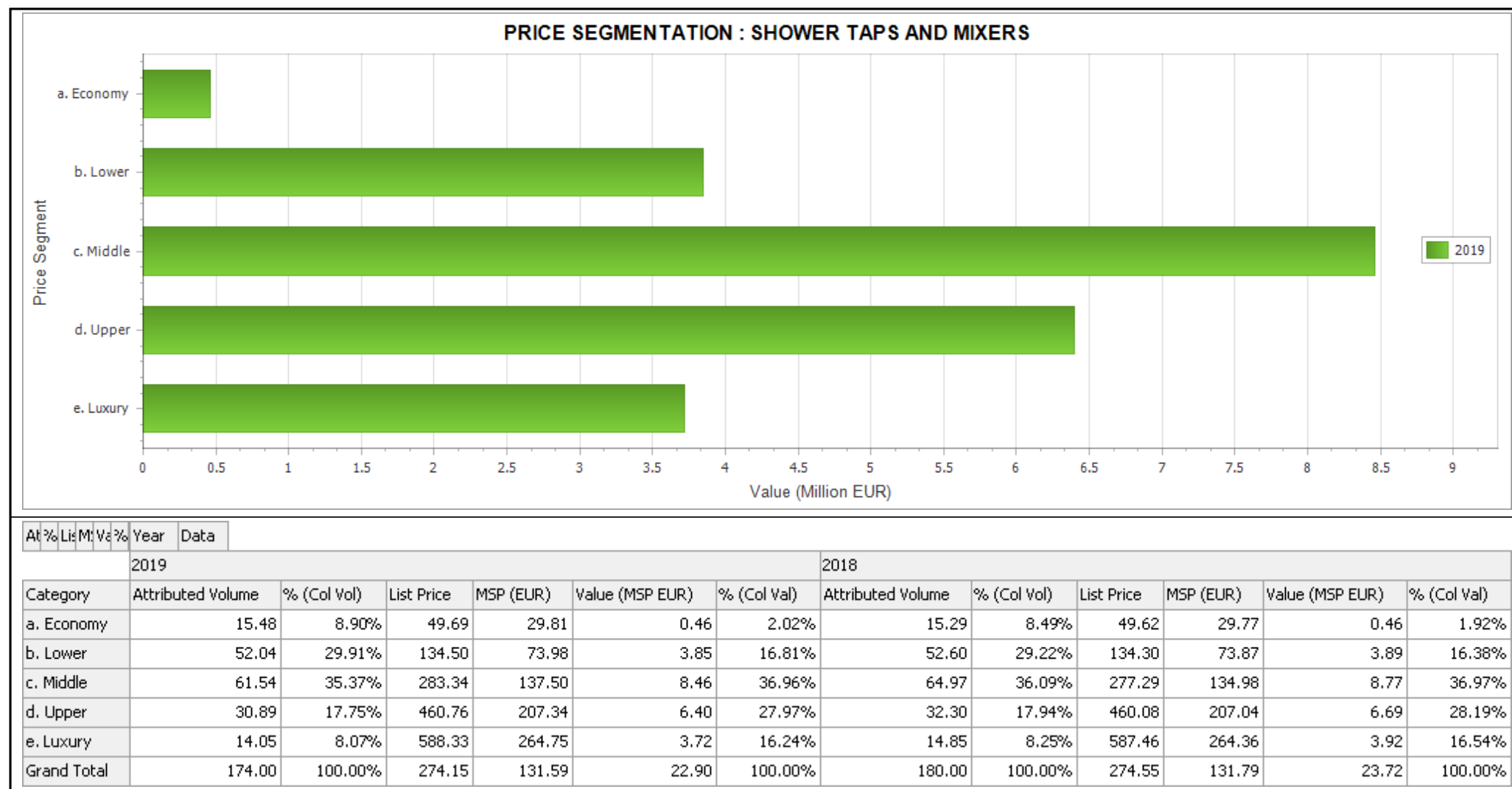
NO - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€40, Lower €40-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.3.6 Price Segmentation : Shower Taps and Mixers

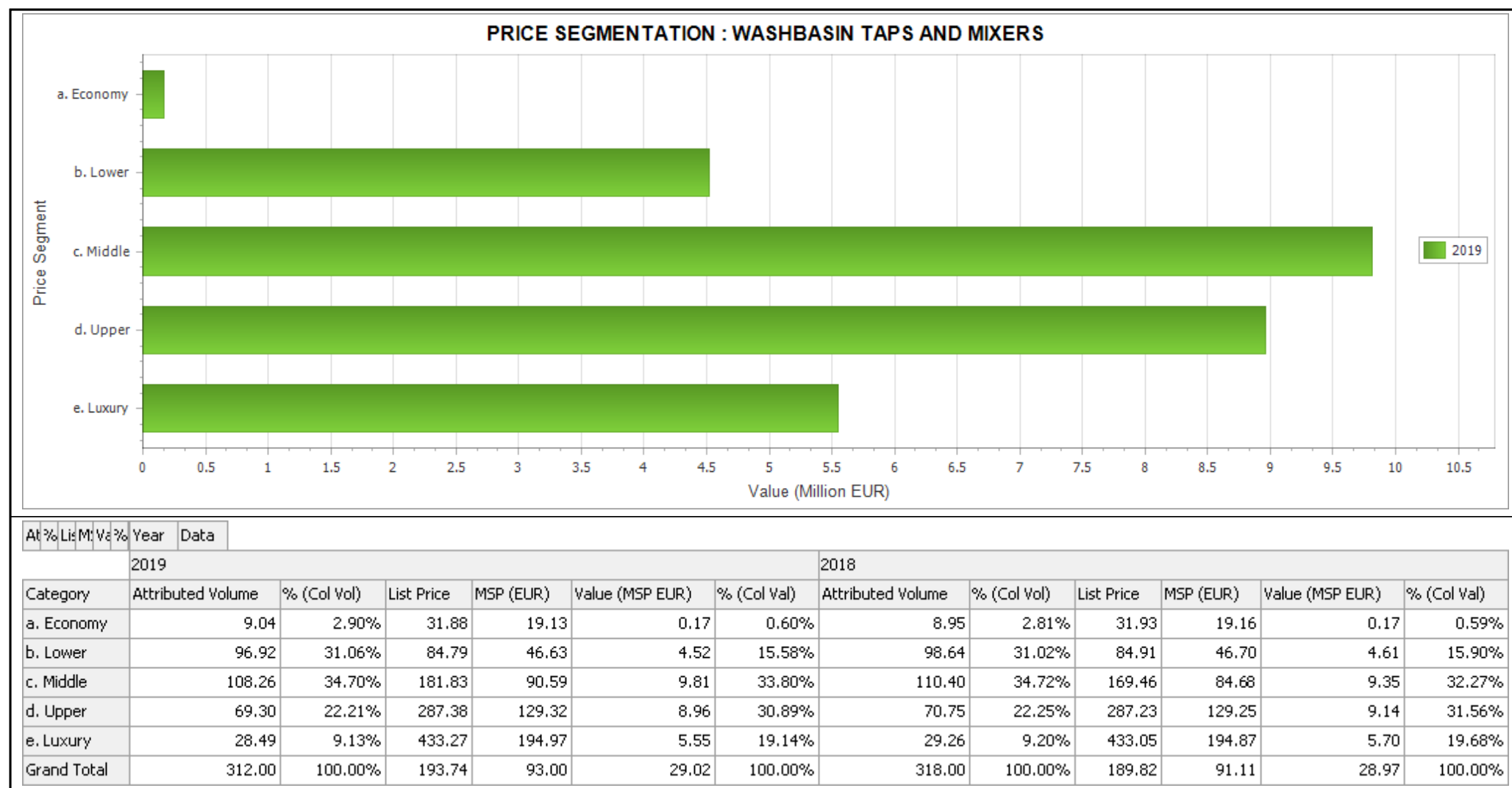
NO - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€60, Lower €60-€100, Middle €100-€150, Upper €150-€250 and Luxury >€250

3.3.7 Price Segmentation : Washbasin Taps and Mixers

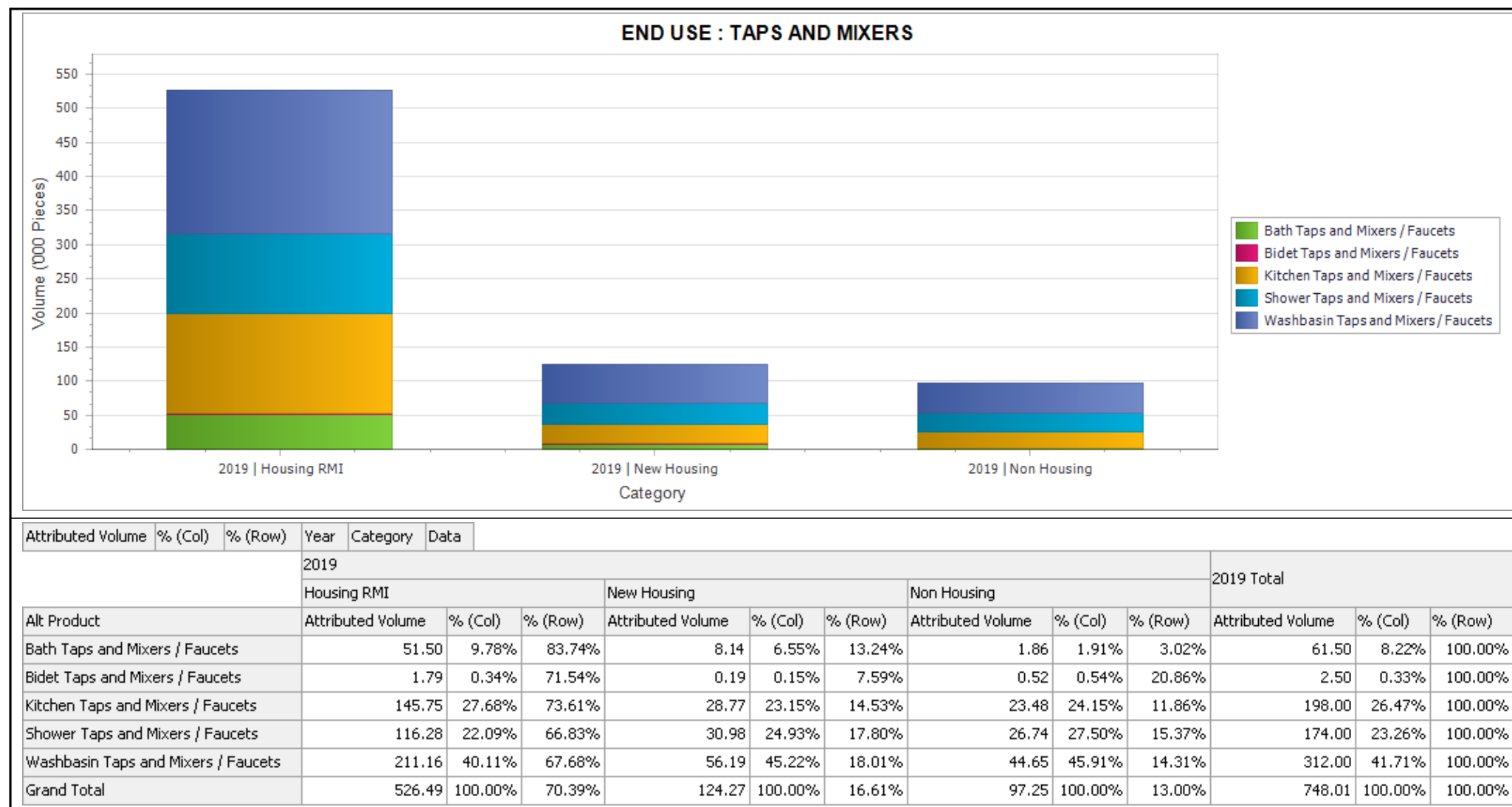
NO - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.4.1 End Use : Base Year

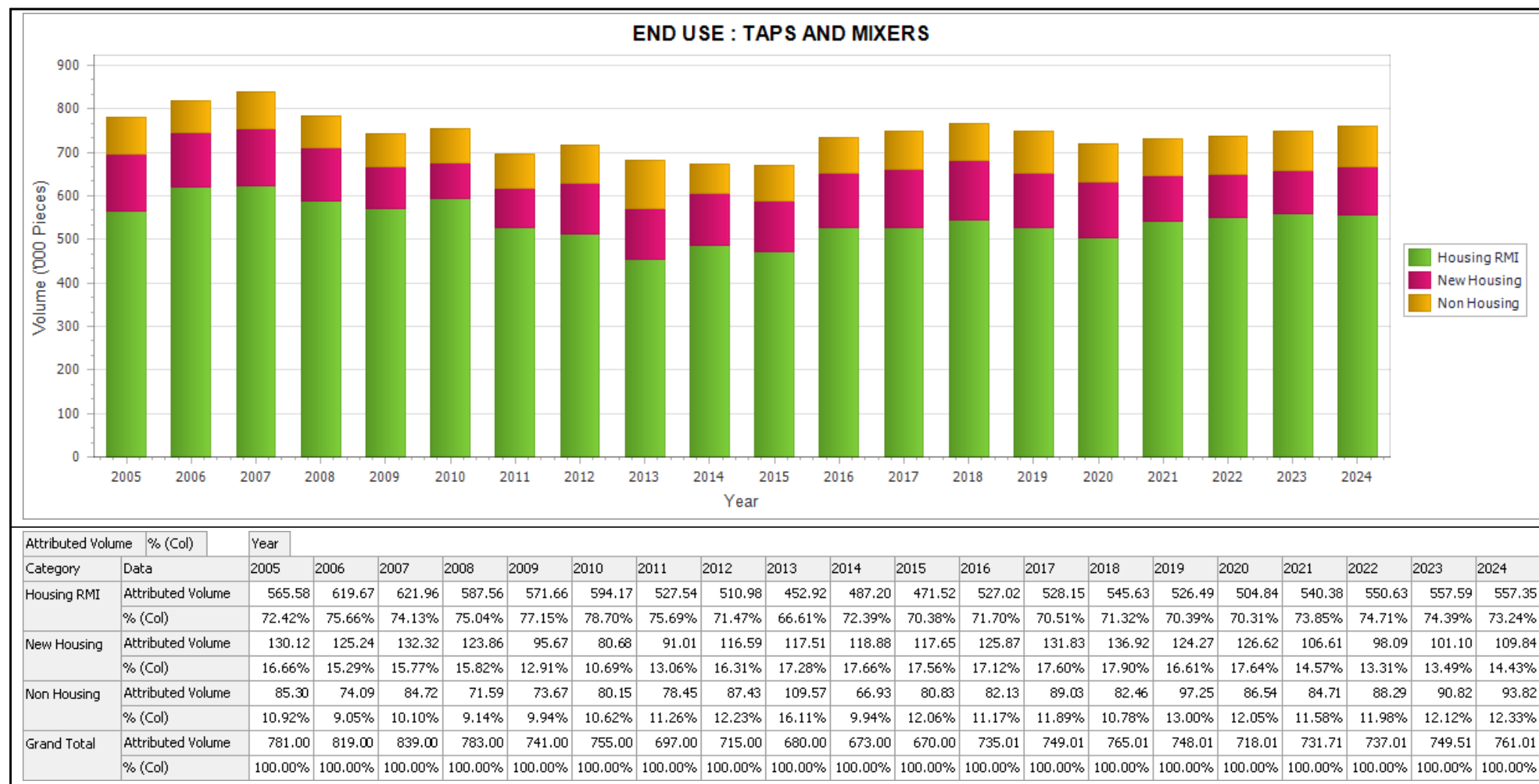
NO - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

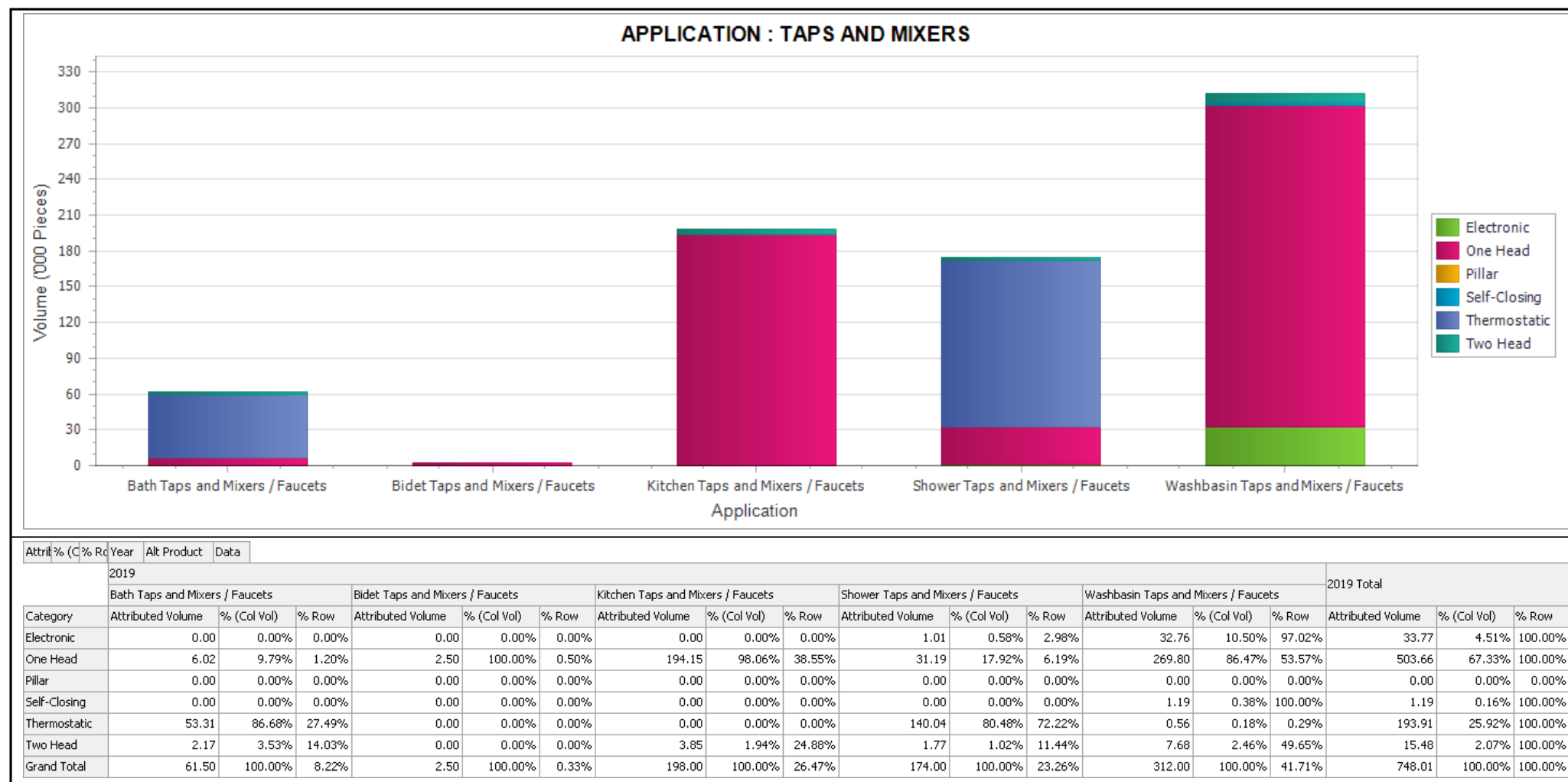
NO - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

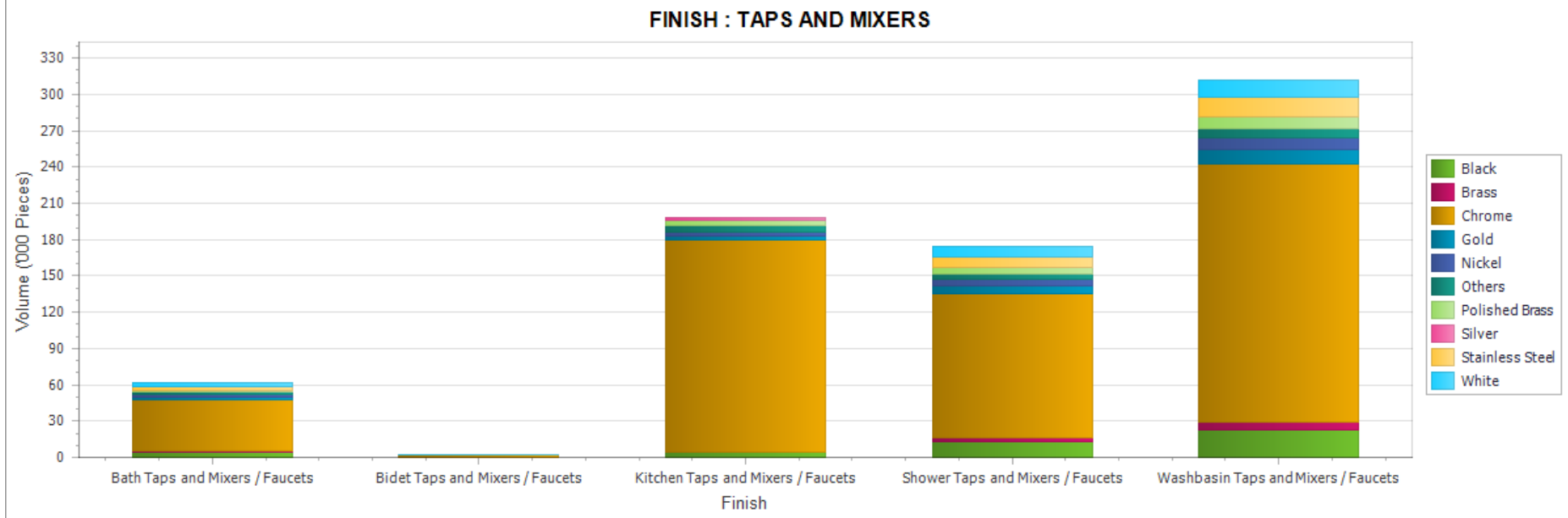
NO - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

NO - TAP AND MIXER SALES BY TYPE OF FINISH ('000 PIECES)

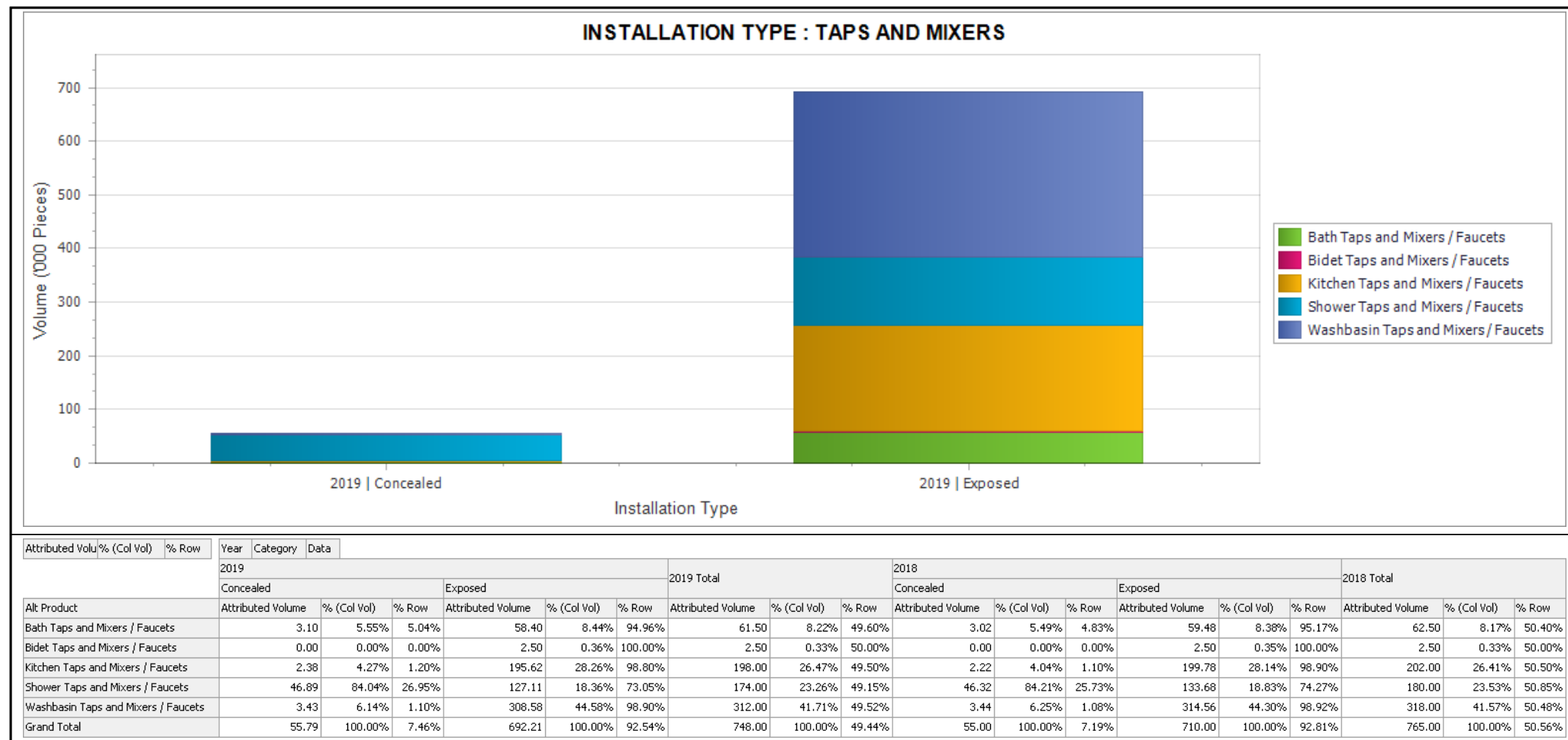


Attrib	% (C)	% Ro	Year	Alt Product	Data																	
2019																						
Bath Taps and Mixers / Faucets				Bidet Taps and Mixers / Faucets				Kitchen Taps and Mixers / Faucets				Shower Taps and Mixers / Faucets				Washbasin Taps and Mixers / Faucets				2019 Total		
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row				
Black	4.43	7.20%	10.19%	0.08	3.20%	0.18%	3.96	2.00%	9.11%	12.53	7.20%	28.83%	22.47	7.20%	51.69%	43.46	5.81%	100.00%				
Brass	1.29	2.10%	11.22%	0.01	0.52%	0.11%	0.00	0.00%	0.00%	3.65	2.10%	31.74%	6.55	2.10%	56.92%	11.51	1.54%	100.00%				
Chrome	42.01	68.30%	7.60%	2.22	88.73%	0.40%	176.22	89.00%	31.90%	118.84	68.30%	21.51%	213.10	68.30%	38.58%	552.38	73.85%	100.00%				
Gold	2.52	4.10%	9.92%	0.00	0.00%	0.00%	2.97	1.50%	11.68%	7.13	4.10%	28.07%	12.79	4.10%	50.33%	25.42	3.40%	100.00%				
Nickel	1.85	3.00%	9.50%	0.03	1.00%	0.13%	2.97	1.50%	15.29%	5.22	3.00%	26.88%	9.36	3.00%	48.20%	19.42	2.60%	100.00%				
Others	1.54	2.50%	7.81%	0.06	2.52%	0.32%	5.94	3.00%	30.17%	4.35	2.50%	22.09%	7.80	2.50%	39.61%	19.69	2.63%	100.00%				
Polished Brass	1.91	3.10%	9.09%	0.04	1.52%	0.18%	3.96	2.00%	18.88%	5.39	3.10%	25.72%	9.67	3.10%	46.12%	20.97	2.80%	100.00%				
Silver	0.00	0.00%	0.00%	0.00	0.00%	0.00%	1.98	1.00%	100.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	1.98	0.26%	100.00%				
Stainless Steel	3.08	5.00%	11.22%	0.03	1.00%	0.09%	0.00	0.00%	0.00%	8.70	5.00%	31.75%	15.60	5.00%	56.93%	27.40	3.66%	100.00%				
White	2.89	4.70%	11.22%	0.04	1.52%	0.15%	0.00	0.00%	0.00%	8.18	4.70%	31.73%	14.66	4.70%	56.90%	25.77	3.45%	100.00%				
Grand Total	61.50	100.00%	8.22%	2.50	100.00%	0.33%	198.00	100.00%	26.47%	174.00	100.00%	23.26%	312.00	100.00%	41.71%	748.01	100.00%	100.00%				

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

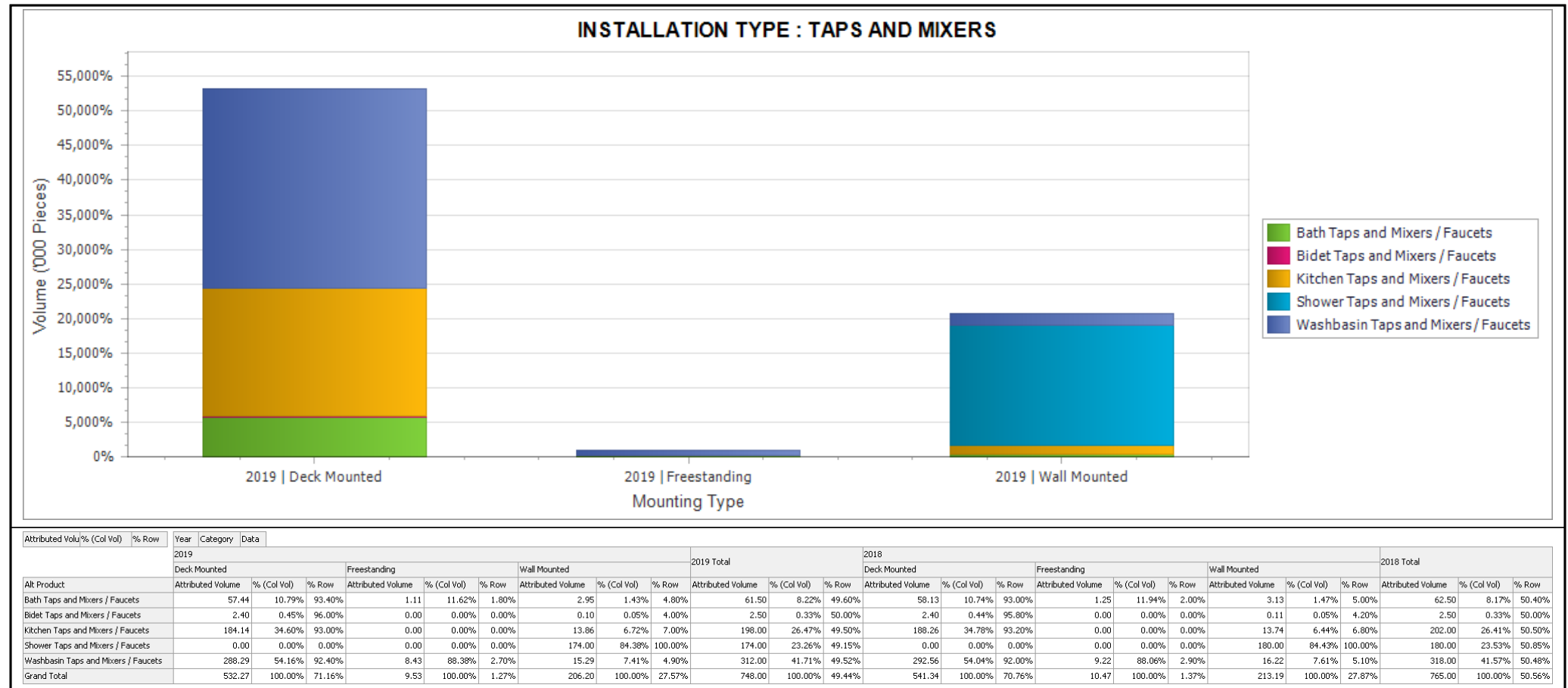
NO - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

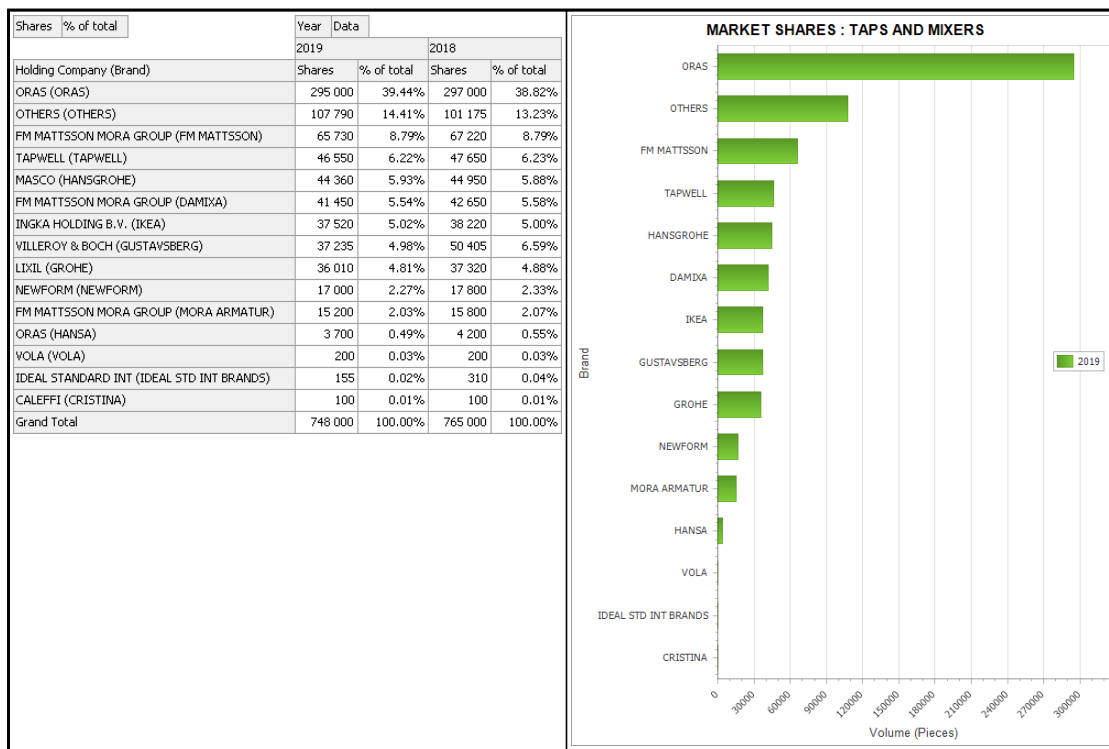
NO - TAP AND MIXER SALES BY TYPE OF MOUNTING ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

NO - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 NO - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Italy	3 858	24.7%	123 595	27.6%	2 484	19.4%	70 642	20.5%
China	1 650	10.6%	17 450	3.9%	1 621	12.7%	14 750	4.3%
Denmark	1 609	10.3%	27 901	6.2%	1 700	13.3%	24 930	7.2%
Germany	1 512	9.7%	40 450	9.0%	1 383	10.8%	33 091	9.6%
United Kingdom	1 316	8.4%	70 436	15.7%	1 262	9.9%	70 803	20.5%
Spain	1 178	7.6%	13 278	3.0%	290	2.3%	4 627	1.3%
Sweden	856	5.5%	19 230	4.3%	846	6.6%	19 816	5.7%
Netherlands	415	2.7%	12 878	2.9%	254	2.0%	8 999	2.6%
Austria	393	2.5%	6 656	1.5%	353	2.8%	5 677	1.6%
France	366	2.3%	17 862	4.0%	194	1.5%	9 803	2.8%
Finland	338	2.2%	9 655	2.2%	309	2.4%	9 574	2.8%
OTHERS	2 111	13.5%	88 190	19.7%	2 084	16.3%	72 414	21.0%
Total	15 602	100.0%	447 581	100.0%	12 780	100.0%	345 126	100.0%

Source : Trademap

3.6.2 NO - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Korea, Republic of	1 158	38.8%	30 355	29.1%	745	34.1%	17 287	27.1%
Sweden	311	10.4%	4 940	4.7%	360	16.5%	5 200	8.2%
China	254	8.5%	7 656	7.3%	126	5.8%	3 546	5.6%
United Kingdom	175	5.9%	12 678	12.2%	294	13.4%	13 997	22.0%
Denmark	119	4.0%	3 277	3.1%	57	2.6%	1 093	1.7%
Germany	116	3.9%	3 157	3.0%	89	4.1%	2 378	3.7%
Poland	113	3.8%	1 918	1.8%	67	3.1%	1 008	1.6%
Spain	102	3.4%	3 224	3.1%	20	0.9%	475	0.7%
Turkey	98	3.3%	1 479	1.4%	39	1.8%	475	0.7%
Israel	95	3.2%	7 768	7.5%	0	0.0%	28	0.0%
Italy	45	1.5%	1 525	1.5%	29	1.3%	1 257	2.0%
OTHERS	400	13.4%	26 246	25.2%	360	16.5%	16 989	26.7%
Total	2 984	100.0%	104 223	100.0%	2 188	100.0%	63 733	100.0%

Source : Trademap

3.7.1 Route to Market: Taps & Mixers / Faucets
NO - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	56.2%
	Wholesalers / Merchants
	56.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	10.1%	0.3%	11.8%	0.0%	12.5%	12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.4%		11.8%		24.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
9.4%	15.0%	0.2%	1.2%	14.5%
Installers				
40.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	26.9%	10.2%	9.6%	5.0%	35.3%	0.0%	2.0%	0.0%	1.0%	5.0%	5.0%
	Residential						Non-Residential					
	87.0%						13.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	16.6%			70.4%			3.5%			9.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	14.0%		2.6%	11.0%		59.4%	3.0%		0.5%	2.5%		7.0%

3.7.2 Route to Market: Taps & Mixers / Faucets
NO - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.8%
	Wholesalers / Merchants
	57.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	11.0%	0.5%	12.0%	0.5%	12.0%	12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.5%		12.5%		24.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
7.2%	15.0%	0.7%	1.2%	13.0%
Installers				
37.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	27.8%	10.6%	10.3%	6.0%	33.0%	0.0%	2.0%	0.2%	1.0%	5.0%	4.1%
	Residential						Non-Residential					
	87.7%						12.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	14.4%			73.2%			3.0%			9.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	12.2%		2.2%	11.0%		62.2%	2.7%		0.3%	2.4%		6.9%

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

NO - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2019

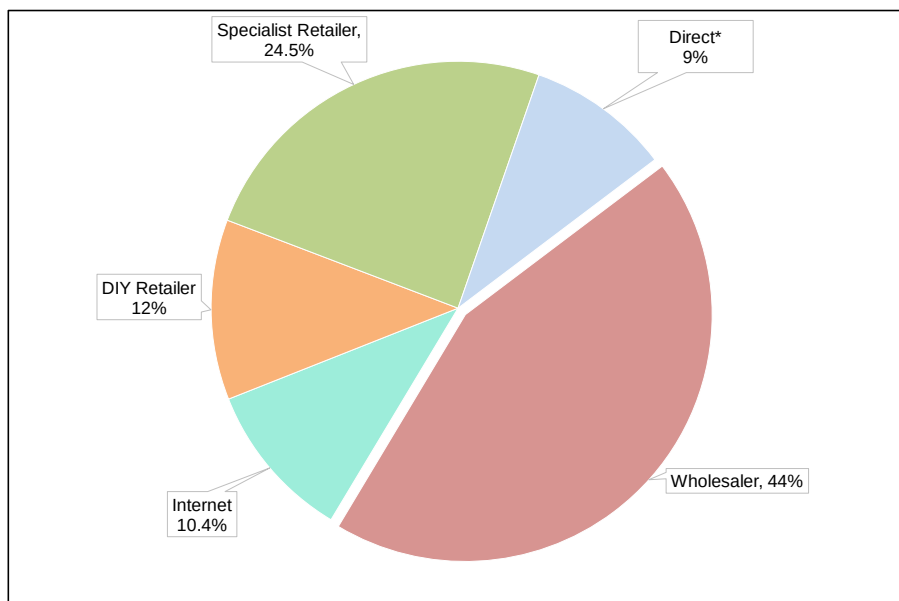
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
43.9%	10.4%	11.8%	24.5%	9.4%	25.0%	5.5%	62.0%	7.5%
100%					30.5%		69.5%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

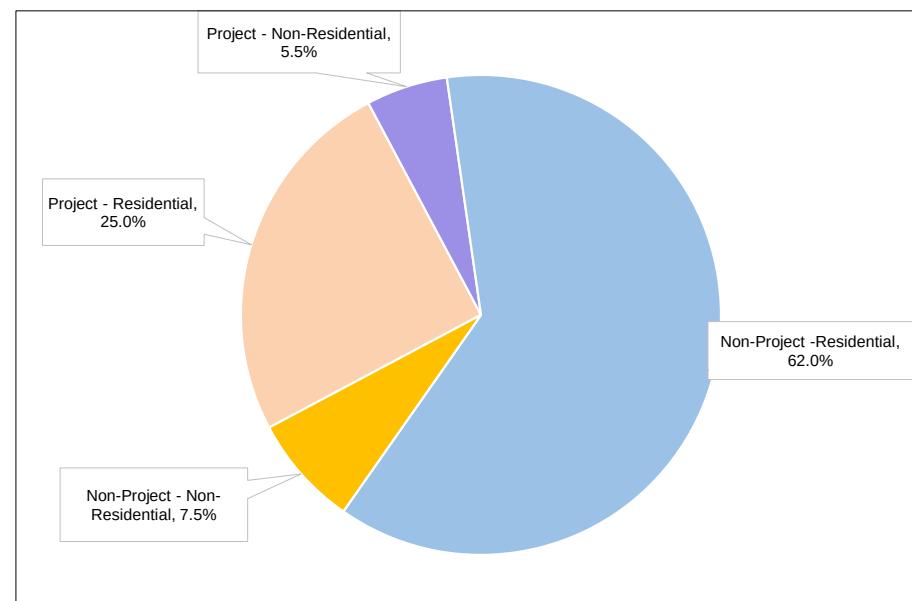
NO - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
44.8%	11.5%	12.5%	24.0%	7.2%	23.2%	5.1%	64.5%	7.2%
100%					28.3%		71.7%	

NO - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



NO - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



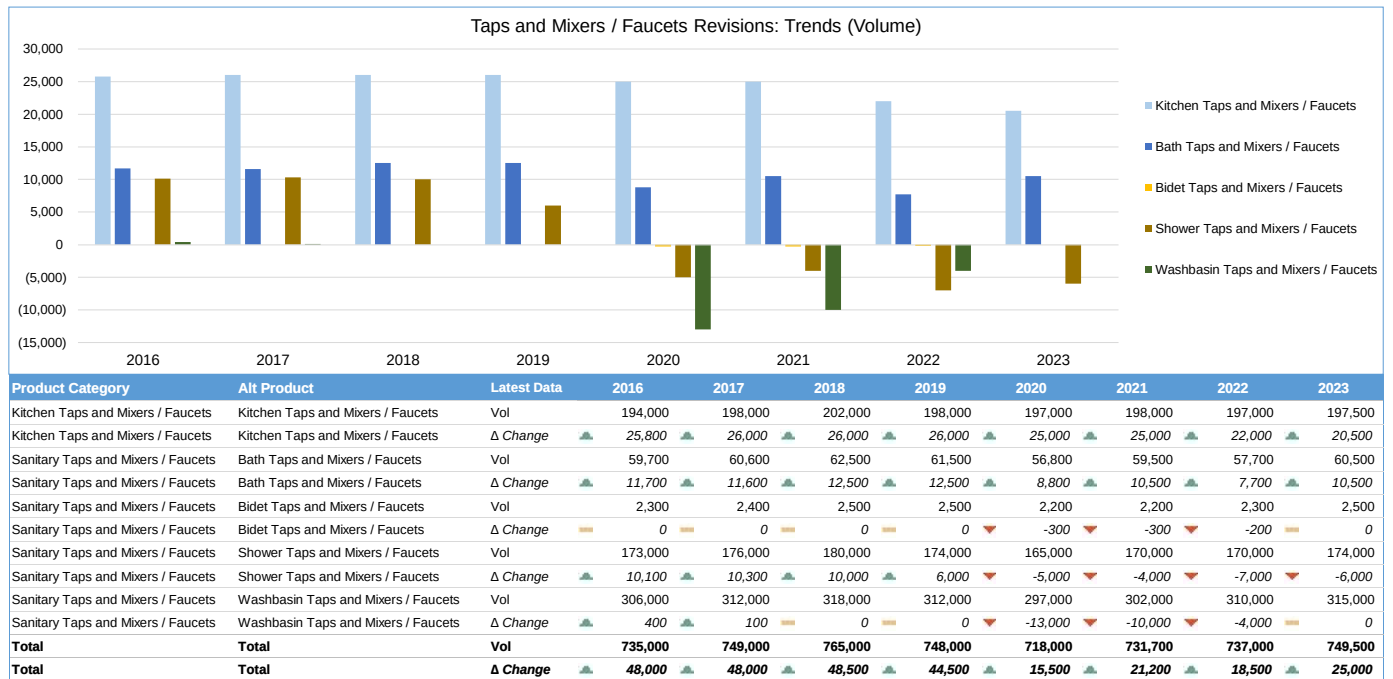
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Norwegian Taps and Mixers / Faucets Market (July 2020)

NO - REVISIONS IN THE NORWEGIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



Sales of shower, and washbasin taps and mixers have been revised up from 2016-2019 due to an underestimation of like-like replacement market for both residential and commercial use.

Sales of kitchen and bath taps and mixers have been revised up both historically and for the forecast due to an underestimation of like-like replacement market for both residential and commercial use.

NORWAY

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The penetration of bath screens in the residential sector is small compared to the share of baths sold. Most dwellings are either equipped with a shower or with both a shower and a bath. Dwellings which only have a bath typically have a shower curtain fitted instead of a bath screen. Like in the other shower wall segments, glass is very much a standard material in Norway for bath screens.

Conventional shower cubicles are often installed in existing houses and second homes which lack a wet room. Sales of conventional shower cubicles in the past, therefore, have been less affected by fluctuations in new housing construction. First set out in TEK10, building regulations require bathrooms in new residential dwellings to be designed to enable easy use for wheelchair users. This was also a part of the newest building code TEK17. This is also believed to have negatively affected sales of conventional shower cubicles to new build. Most conventional shower cubicles sold in Norway are made of glass.

The market for hydrotherapy cubicles is believed to be evenly divided between conventional hydrotherapy cubicles and steam cubicles. Most hydrotherapy products continue to be sold in the middle price segment, except for hydrotherapy cubicles – where the majority of products are sold in the economy/lower price segment.

The market share of shower enclosures has been growing, as bathroom concepts favour plain design solutions. Most shower enclosures sold are door, corner entry and round models which are generally fitted with hinged or sliding doors. The increase in folding doors, side walls and door models of shower enclosures can be attributed to the building regulations, TEK10, which require bathrooms in new residential dwellings to be designed to enable easy use for wheelchair users.

Recent Market Trends

In 2019, the overall shower wall market decreased as the result of decreasing sales of shower enclosures. Currently, most newly renovated or built bathrooms tend to be equipped with shower enclosures with either one or two hinged doors. This is largely due to the requirement to have a wet room in the bathroom. Sales of shower walls to new housing decreased due the declining number of new completions.

2019 saw another drop in demand for conventional and hydrotherapy shower cubicles. The popularity of cubicles in new housing is declining, and the displacement rate is continuously increasing in existing dwellings due to the large share of wet rooms installed in both new and existing dwellings. These segments, therefore, have become almost entirely dependent on distress replacement sales and sales going to secondary homes.

The overall development of the market was negatively influenced by weak new housing sales. Overall sales towards RMI sector also experienced a decrease in 2019 due to a decline in sales towards conventional shower cubicles. The non-housing end use remained stable in 2019.

Prices and Market Values

The average MSP (in NOK) of shower enclosures increased in 2019, despite strong price competition in the lower price segments. Bath screens also saw a slight price increase, continuing the trend from previous years. Cubicles had previously seen their prices decline, due to lesser demand and tough competition, but continued the increase in MSP from 2018 onwards.

The market value of shower walls in NOK declined in 2019 due to decreased sales, and only minor positive price developments, which was not enough to make up for the declining market sizes.

Even though prices saw a small increase in 2019, a significant price increase is likely for 2020, driven by the fall in oil prices and consequent weakening of the Norwegian krone caused largely by the COVID-19 crisis. According to WORLDTOPEXPORTS, oil accounted for 55.6% of total Norwegian exports in 2019. The weak NOK is expected to increase the import prices for consumer goods, which will affect the consumer prices.

The average MSP (in euros) decreased in EUR in 2019, due to another year of depreciation of the Norwegian krone (NOK). However, the depreciation has not been as strong as in previous years.

New Housing

New housing is a significant end-use segment for shower wall products, where most bathrooms are wet rooms, generally equipped with shower enclosures. Due to the growing penetration of shower wall products in new built apartments and houses, the total volume of shower enclosures sold to new housing declined in 2019, in line with the decreasing new housing market. The share of conventional shower cubicles is marginal to this segment. The share of bath screens remains relatively negligible, as baths do not typically come with a bath screen in new housing.

New housing is expected to remain an important driver for shower wall sales over the forecast period, yet these sales are expected to drop in the next couple of years. This is negatively affected by the COVID-19 crisis, which are predicted to negatively influence the new housing market.

Housing RMI

Housing RMI accounts for the largest share of sales of shower walls. RMI is a stronger sales driver for the conventional shower cubicle segment, mainly because their installations are favoured in older houses without wet room installations. Conventional shower cubicles, therefore, are often preferred because of the relatively low installation costs involved compared to shower enclosures. Given that virtually all shower enclosures/doors are installed without shower trays, this requires wet room installations, which are costlier.

Overall housing RMI sales decreased in 2019. In this end-use segment, only shower doors and enclosures saw their sales increase. These products are the main choice in bathroom renovations for replacing shower curtains, cubicles and baths. The market tends to be more driven by factors such as household disposable incomes and private consumption, which is also a key determinant of overall bathroom renovation demand.

Non-Housing

Sales of shower walls to the non-housing segment are marginal and mainly consist of sales to the hospitality industry or holiday homes, where the preference is for wet room walk-in showers with open drains. Sales of conventional shower cubicles are driven by sales to holiday homes that lack the presence of a wet room, but the product has faced increased competition from hydrotherapy cubicles in recent years. The hospitality sector remains to be the largest destination for shower enclosures.

Non-housing sales remained marginal in 2019, like during the previous years. The market decreased in 2019 and is predicted to keep decreasing in 2020 and 2021 due to a weak new construction market in these years. The market is predicted to increase slightly from 2022 onwards.

Supply Structure

The Norwegian shower wall market is almost entirely made up of imports, with PORSGRUND (GEBERIT) being the only domestic brand present in the market. The company has no production of shower wall products and sources its products from the group's own subsidiaries. Overall, the market is dominated by GEBERIT (IFÖ and PORSGRUND) and SVEDBERGS (MACRO and SVEDBERGS), which distributes both shower enclosures/doors and conventional shower cubicles. SVEDBERGS acquired MACRO INTERNATIONAL AKTIEBOLAG (more known as MACRO) in late 2016, which makes them one of the leading companies in the bathroom furniture and shower wall markets in Scandinavia.

GEBERIT is the clear market leader for conventional shower cubicles, accounting for more than half of the market. The supply of shower enclosures/doors is more fragmented and characterised by the large presence of Nordic suppliers. The main

suppliers from Scandinavia include imports from Denmark (DANSANI) and Sweden (GUSTAVSBERG, MACRO, SVEDBERGS, HAFA, COMBAC and INR). The rest of the market is made up of imports from Switzerland (DUSCHOLUX), Italy (NOVELLINI and CESANA), Germany (HUPPE), and Poland (ITALPROD). NOVELLINI is imported by HOLTAN TRADING in Norway.

The market for shower enclosures/doors is led by GEBERIT, with its two brands IFÖ and PORSGRUND, followed by SVEDBERGS (MACRO and SVEDBERGS) and DANSANI. The share of 'Others' includes private label brands ALTERNA and DAY (BRØDRENE DAHL), A-COLLECTION (AHLSELL) and ELEMENT (COMFORT), in addition to bathroom manufacturers ARROW, VIKINGBAD, INTERFORM, NORDMARK and SANIPRO.

The supply of bath screens is highly fragmented, reflected in the high share of 'Others', and consists of many of the same manufacturers as for shower enclosures. The leading player is BALLINGSLÖV INTERNATIONAL (3:BO). The share of 'Others' includes suppliers such as A-COLLECTION (private label of AHLSELL), ALTERNA (private label of BRØDRENE DAHL), INTERFORM, VIKINGBAD, ELEMENT (private label of COMFORT), BADEMILJØ (non-branded), DANSANI, DUSCHOLUX, SVEDBERGS and NORDMARK. The rest of the market is made up of imports from Italy (NOVELLINI) and Sweden (INR and IFÖ).

The conventional shower cubicle market is dominated by domestic supply (PORSGRUND). The rest of the market is made up of imports, mainly from Sweden (IFÖ, MACRO, GUSTAVSBERG, SVEDBERGS and HAFA). PORSGRUND and IFÖ, GUSTAVSBERG and MACRO are distributed via wholesalers, while the remaining shares are mainly sold directly to VVS installers chains or via DIY retailers.

Supply to the hydrotherapy cubicles/steam showers market is highly fragmented and mainly made up of imports, which largely come from Sweden (HAFA, WESTERBERGS and SVEDBERGS), Switzerland (DUSCHOLUX) and Italy (NOVELLINI).

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The overall bathroom and kitchen market are expected to be affected by the outbreak of the COVID-19 crisis. The crisis is expected to effect the developments of new dwelling and commercial construction, as many projects have been postponed, prolonged or cancelled. Housing RMI is also expected to be affected by the crisis due to the uncertainty in the market, resulting in some homeowners delating renovation work.

The overall shower wall market is expected to drop significantly in 2020 and pick up during 2021. This downward trend over the next year are due to the affect that the COVID-19 crisis is expected to have on the new housing market. The RMI market is predicted to pick up from 2021 onwards due to a switch in consumer trends going from new build to second-hand houses. When consumers buy a second-hand house, they are more likely to remodel the bathroom, which will increase the RMI sales over the forecast period. Shower enclosures should continue to be the preferred shower product in combination with wet room fittings, meaning that most major bathroom renovations will have shower enclosures installed.

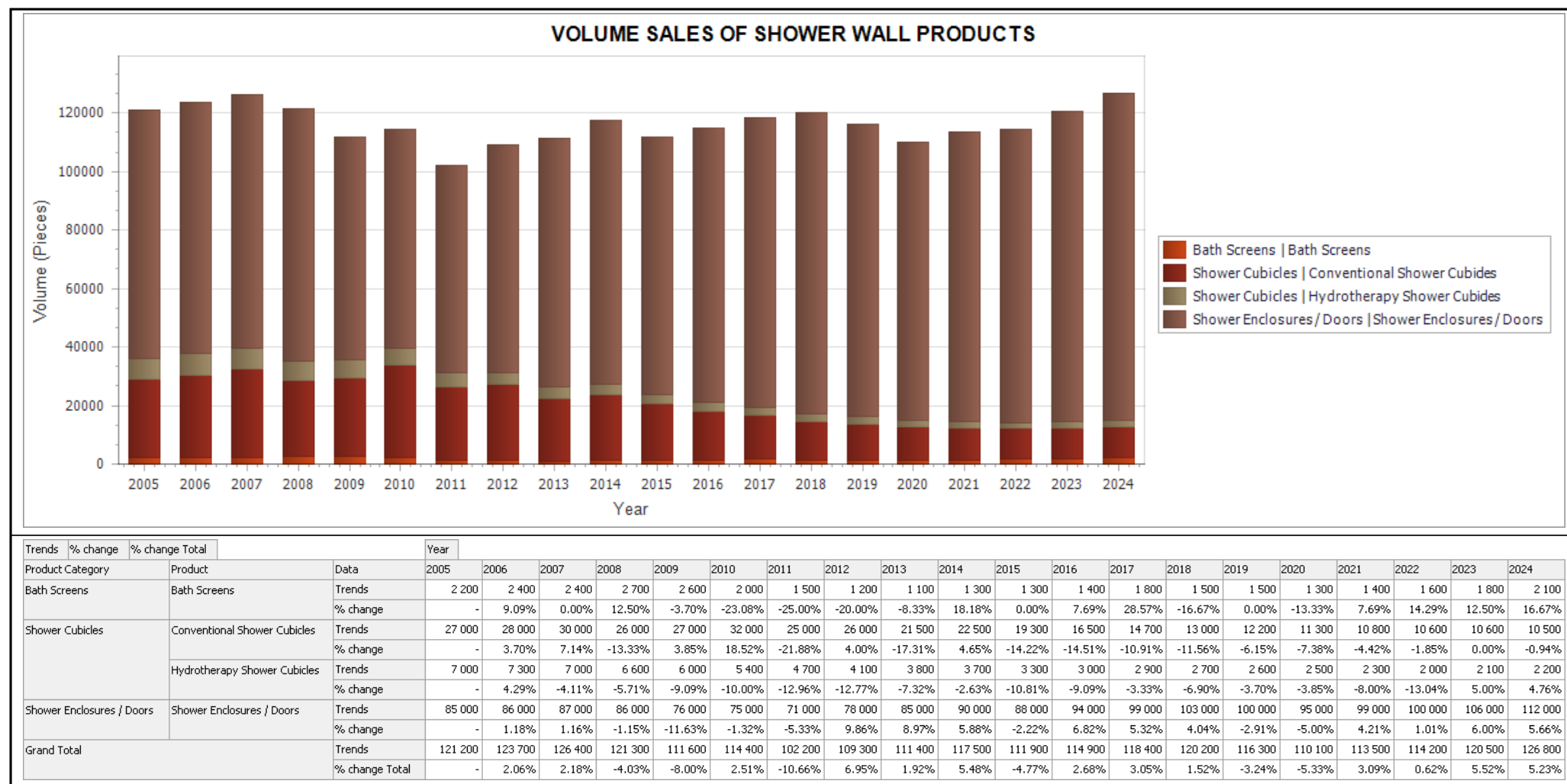
2022 is predicted to be a relatively flat year for shower walls, due to the expected decrease in new housing completions. This is driven by lack of new building permits and less started projects in 2020 and 2021, due to the uncertainty of the COVID-19 crisis, which has made consumers less willing to take a risk and built a new house.

The decline of conventional shower cubicle sales is projected to continue in 2020 across all end-use segments. The downward facing trends are expected to continue throughout the forecast period, due to the switch towards shower enclosures.

The development in the market is closely linked to the trends in the new housing sector. The forecasts are sensitive to any changes in the construction output, interest rates and private consumption levels over the next few years. The COVID-19 crisis is expected to be the main driver behind any sensitivity and changes in the market over the forecast period. Interest rates and private consumption affect housing RMI spending and demand, and any modifications in these input factors, therefore, can lead to changes in the forecasts. New construction is currently the largest end-use segment, and it will play a more significant role in driving demand over the forecast period. Any changes in consumer behaviour that leads to higher/lower substitution with shower enclosures among homeowners, might also cause an under/overestimation of sales over the forecast period.

4.2 Historical Trends and Forecasts : Shower Wall

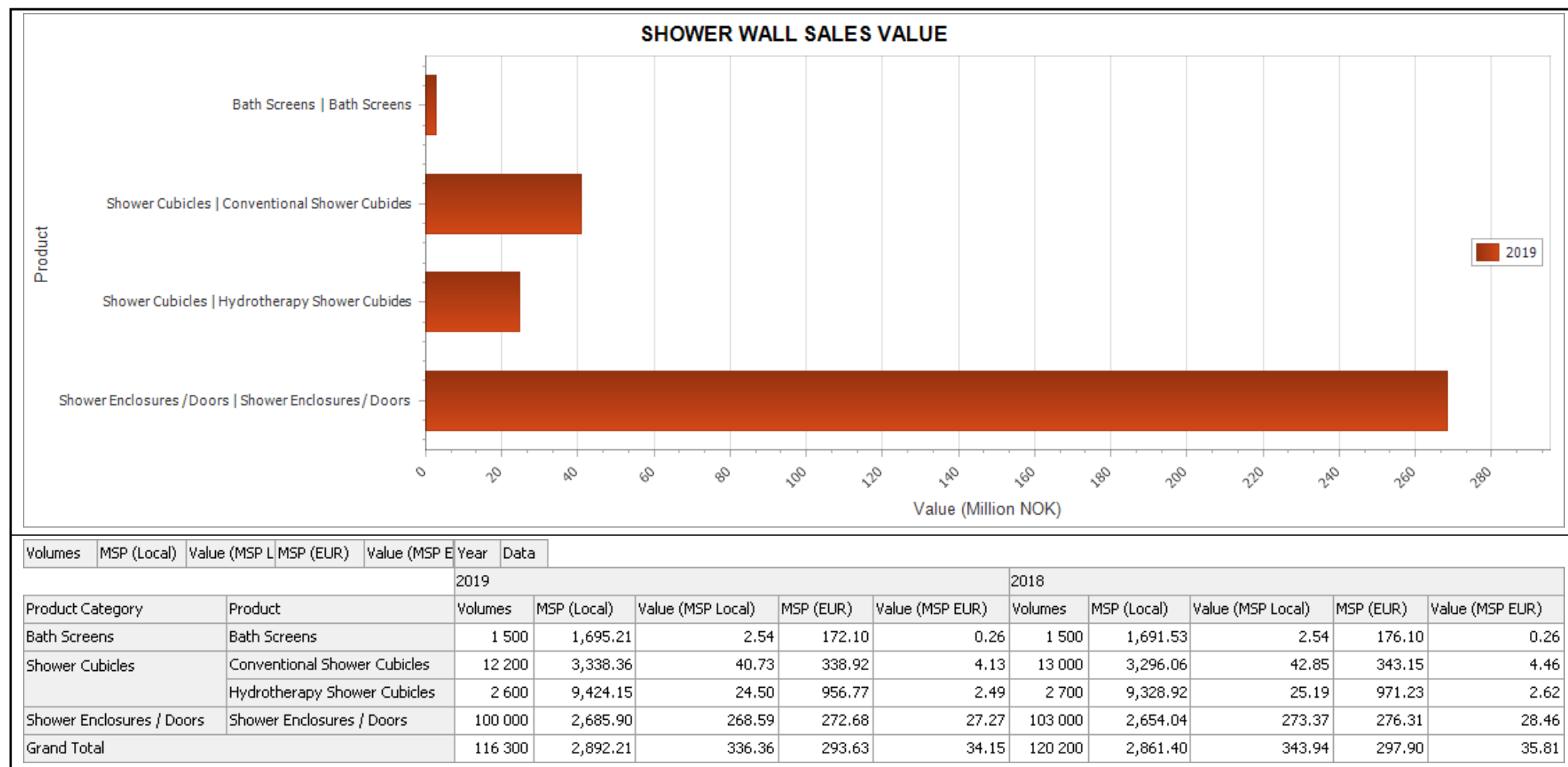
NO - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

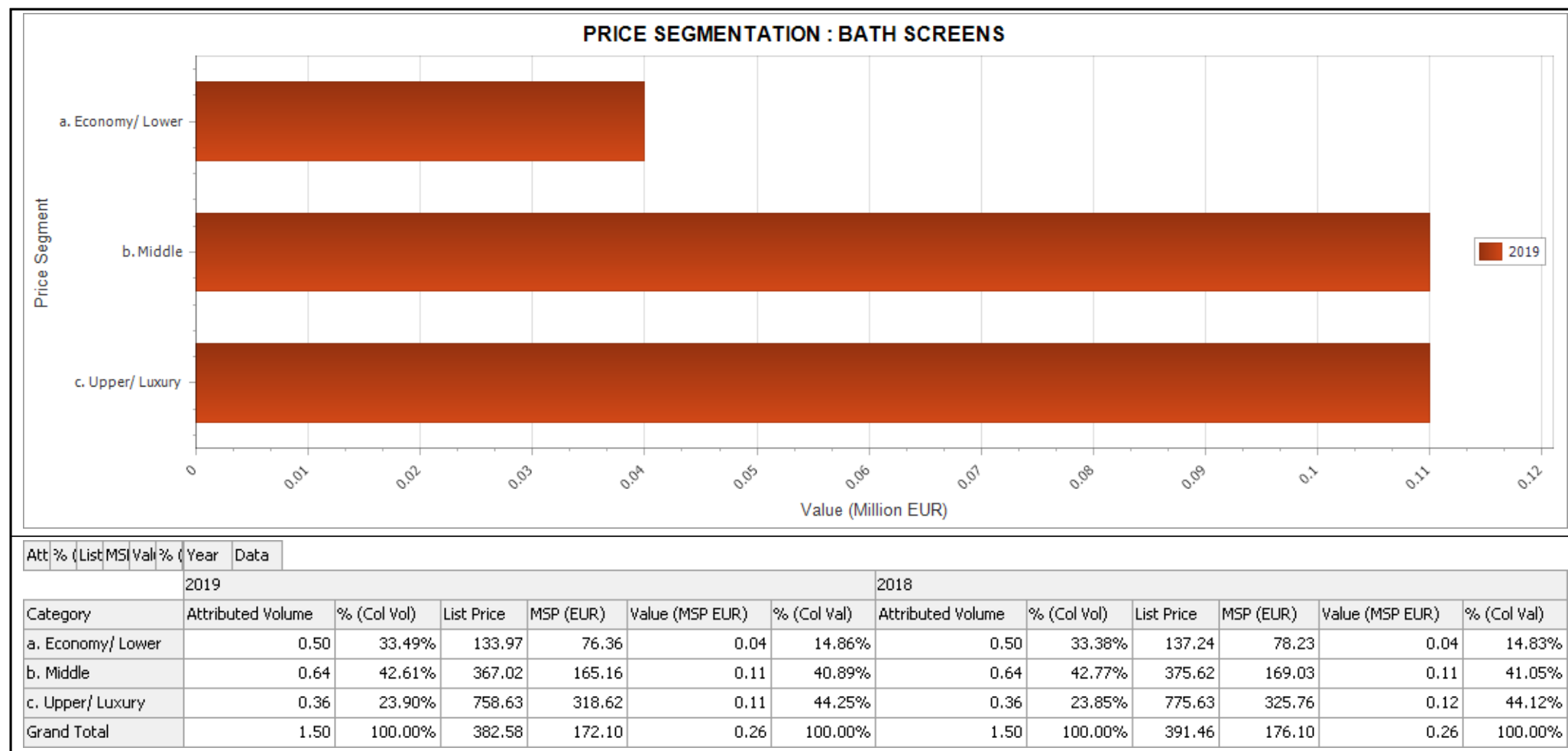
NO - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in NOK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

4.3.2 Price Segmentation : Bath Screens

NO - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

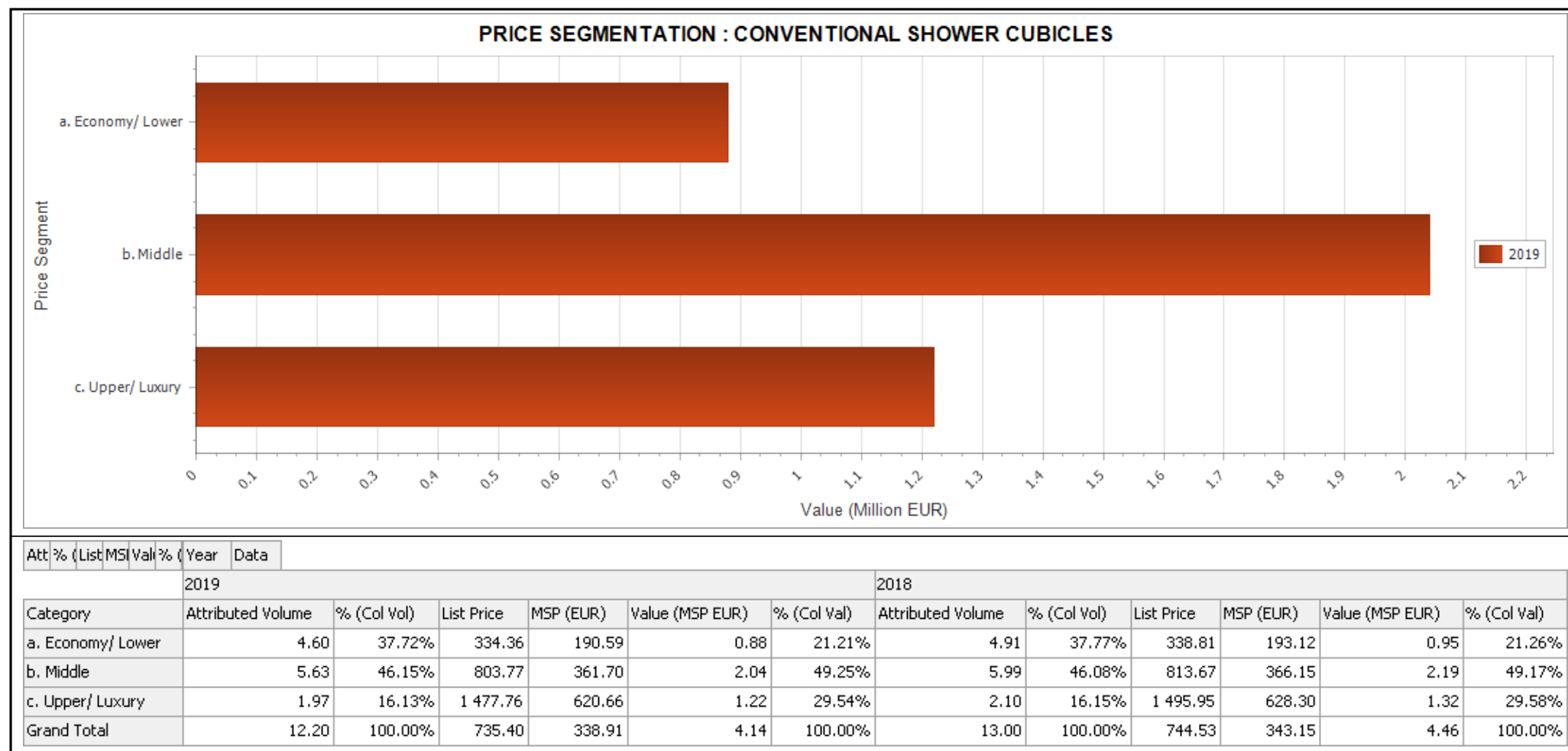


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

4.3.3 Price Segmentation : Conventional Shower Cubicles

NO - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

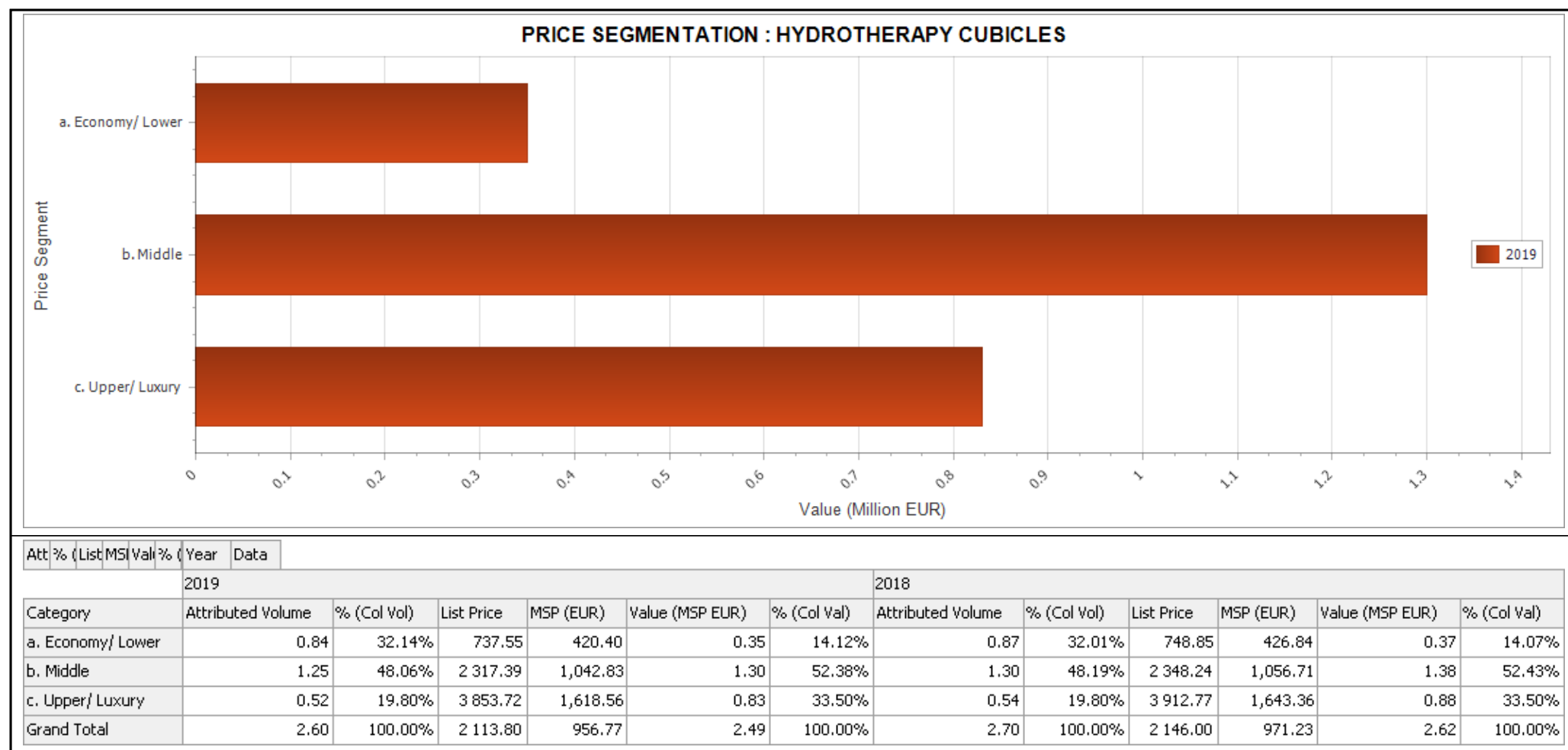


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€500, Upper/ Luxury >€500

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

NO - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

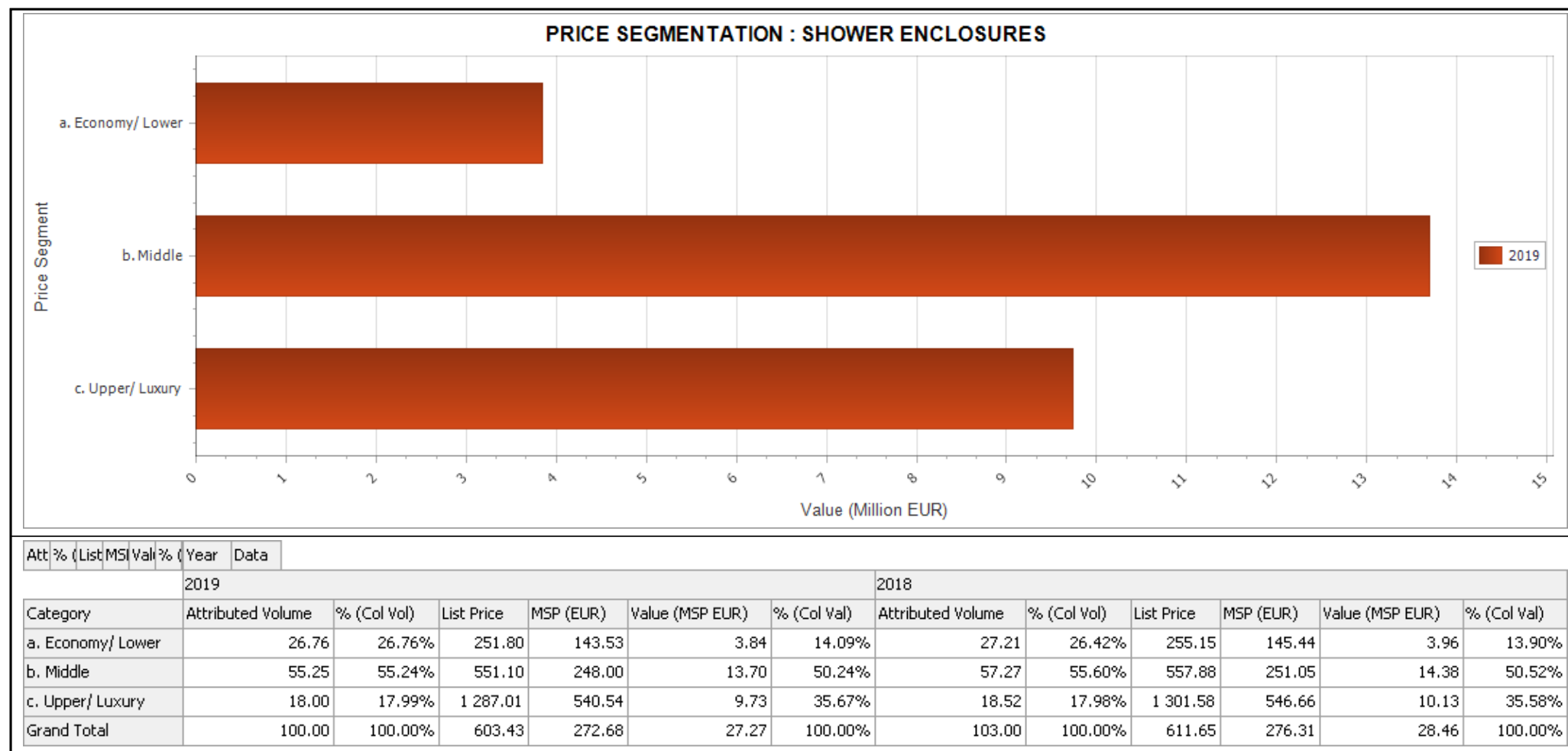


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€700, Middle €700-€1,400, Upper/ Luxury >€1,400

4.3.5 Price Segmentation : Shower Enclosures

NO - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

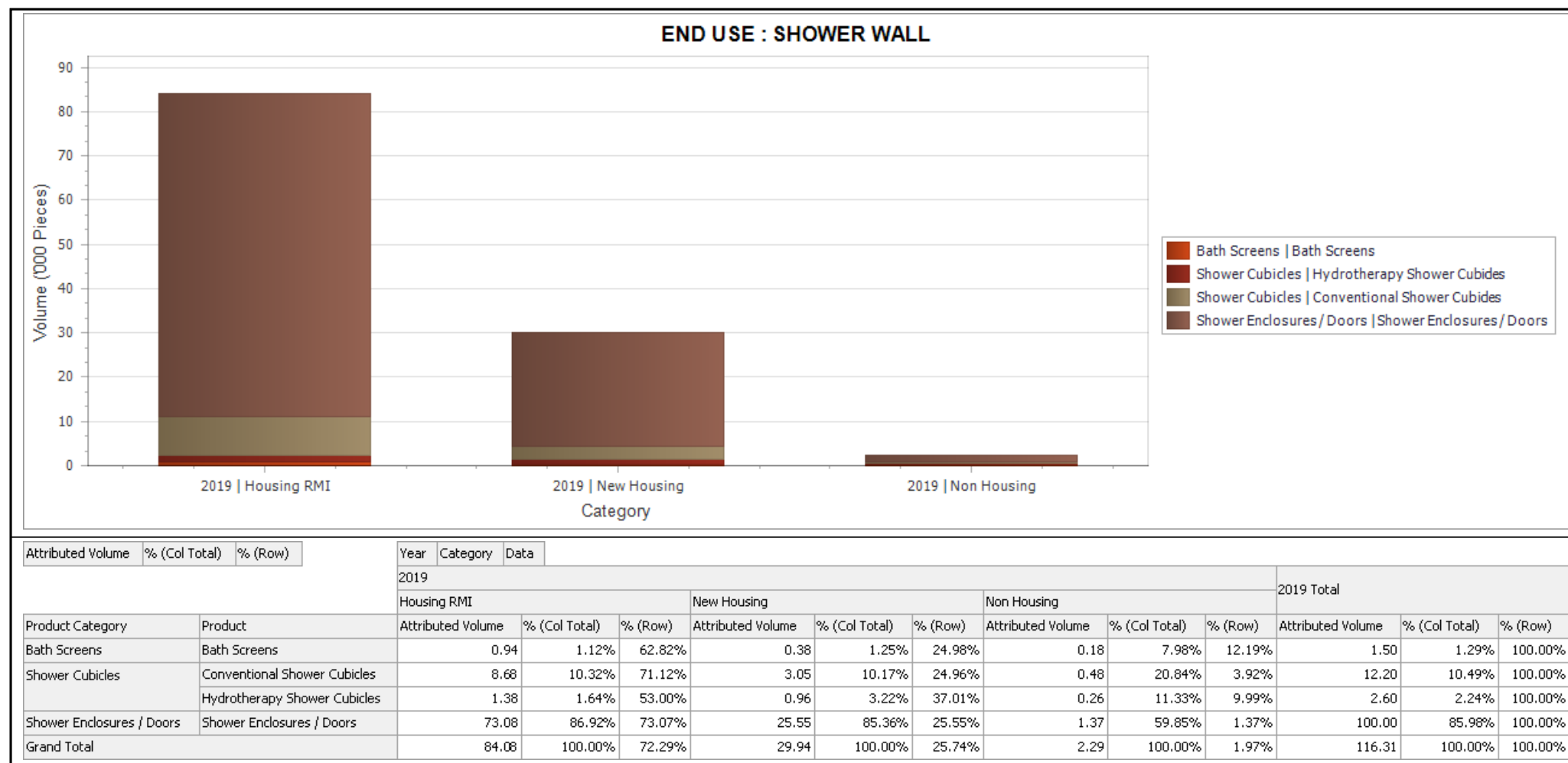


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

4.4.1 End Use : Base Year

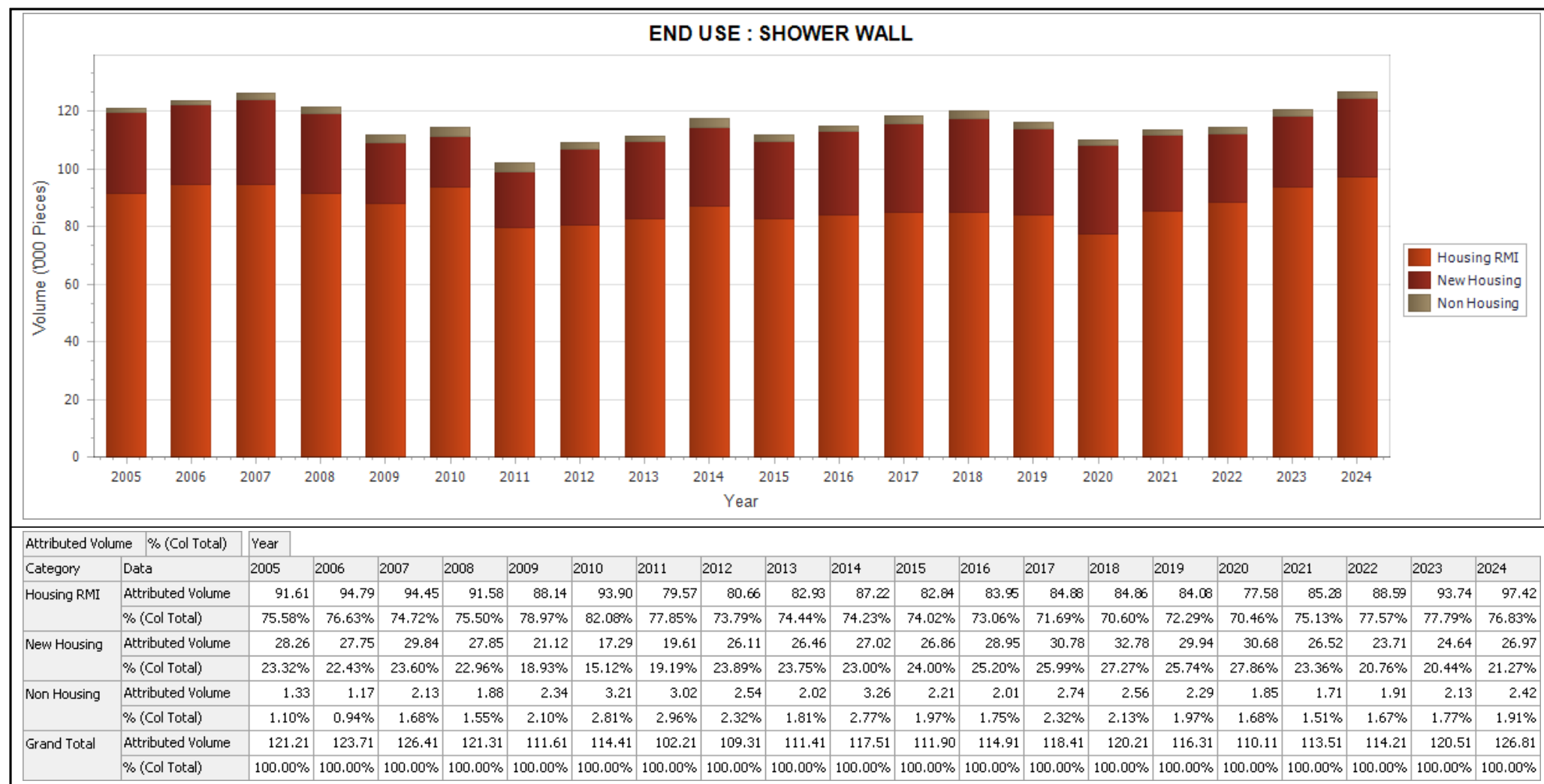
NO - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

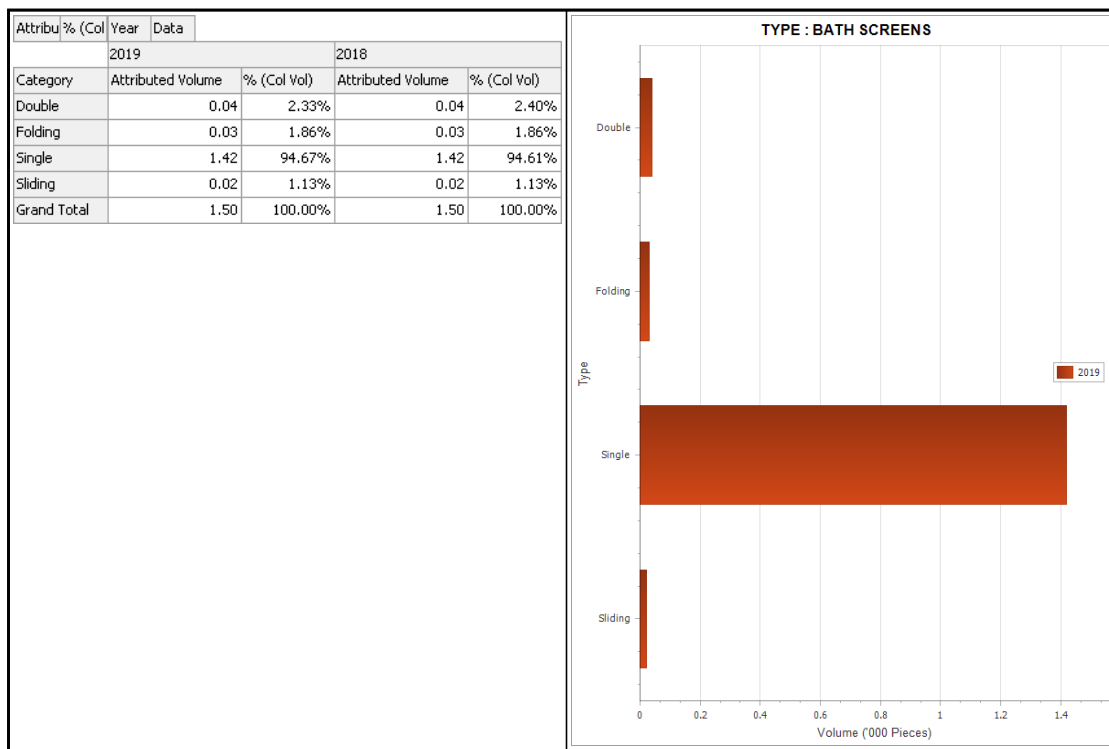
NO - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

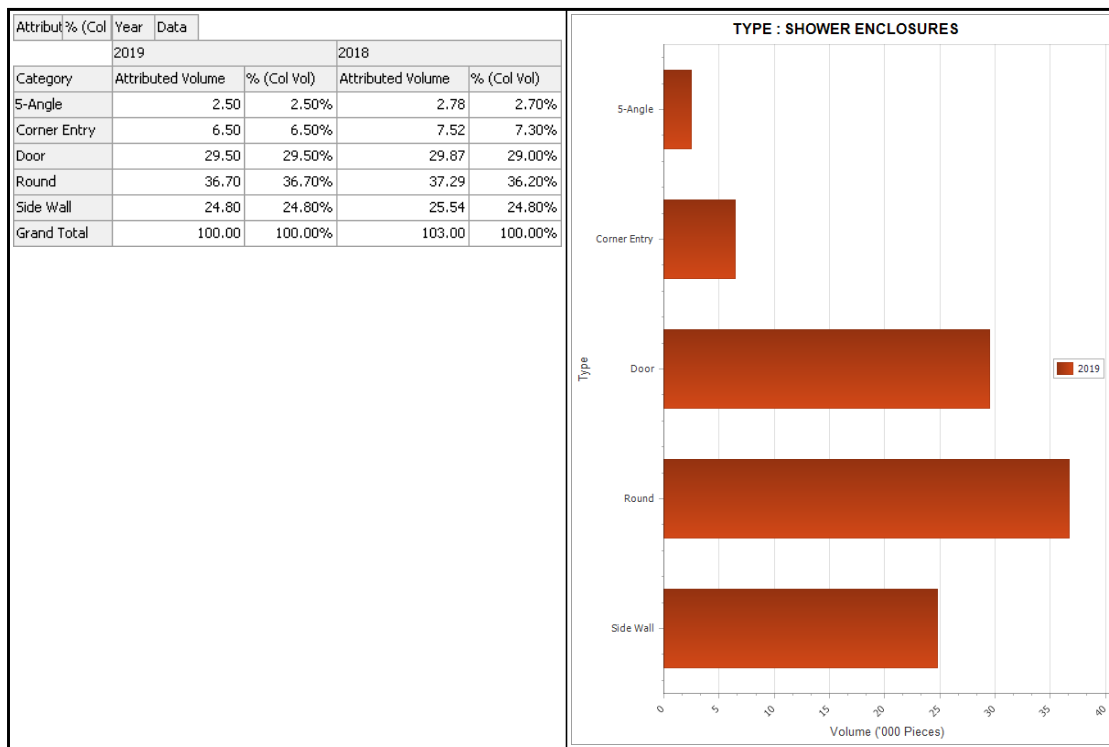
NO - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

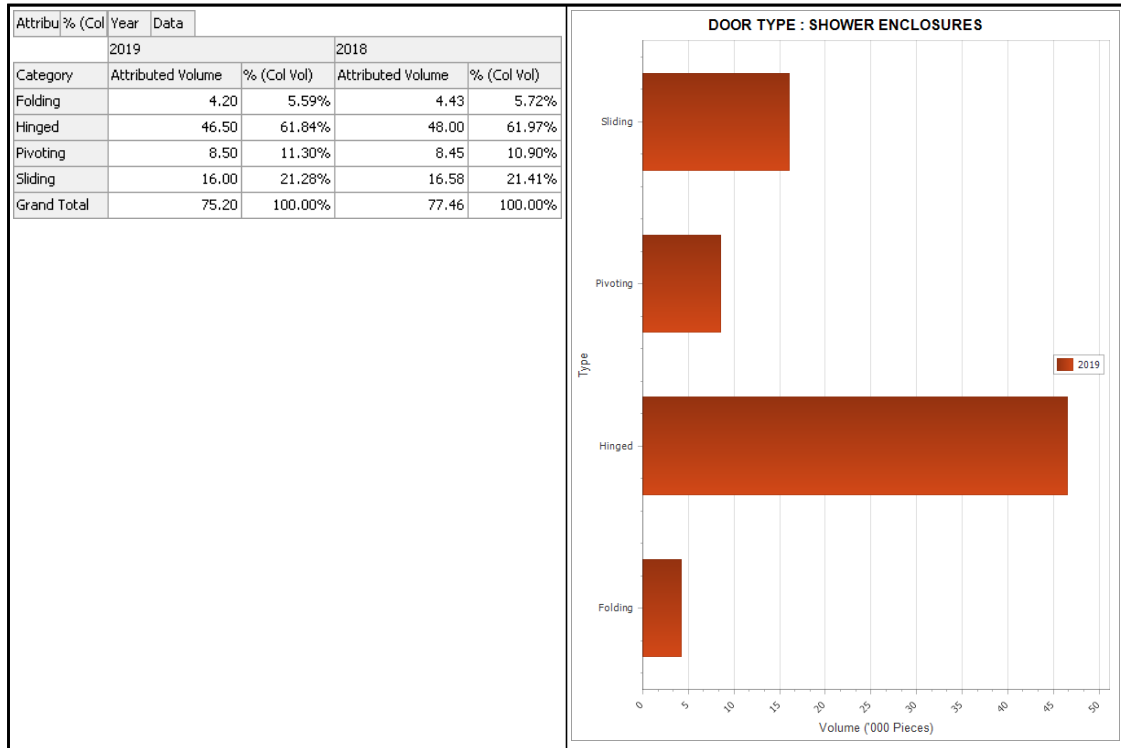
NO - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

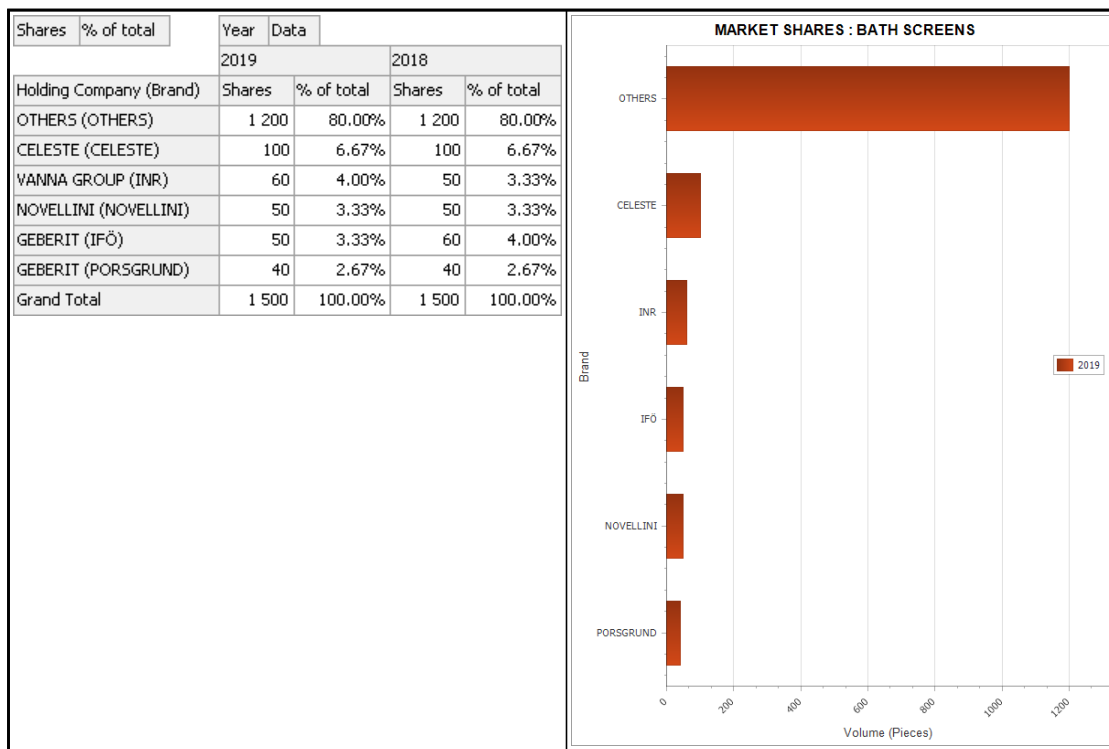
NO - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

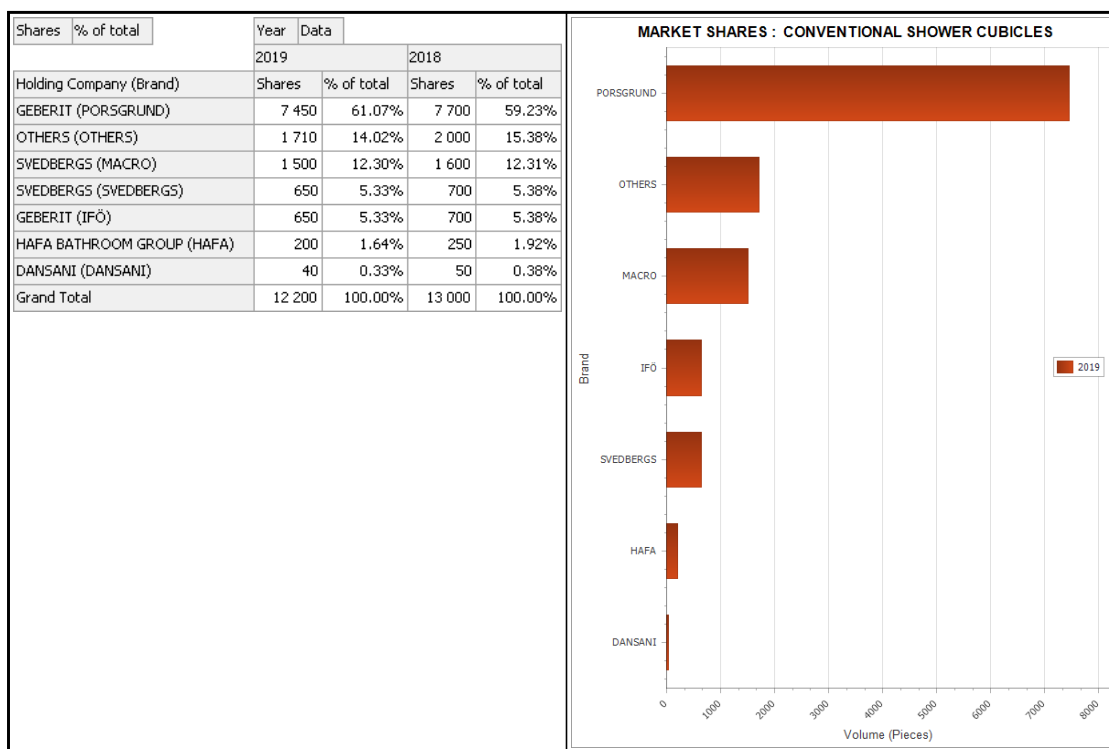
NO - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

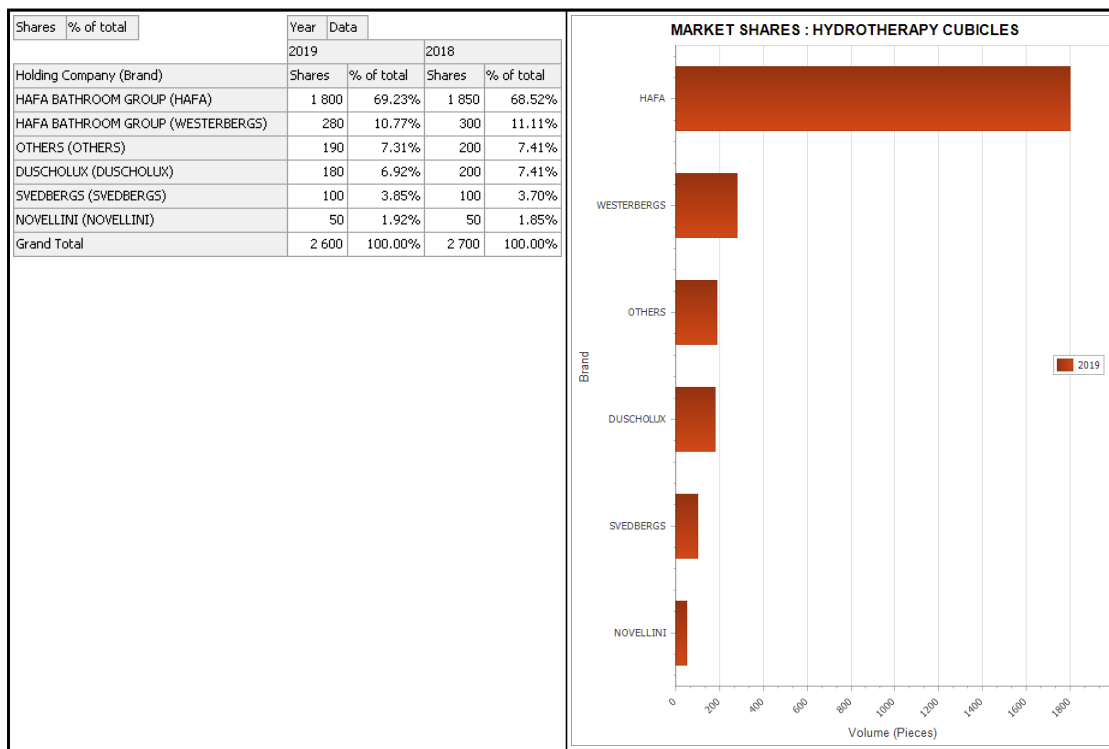
NO - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

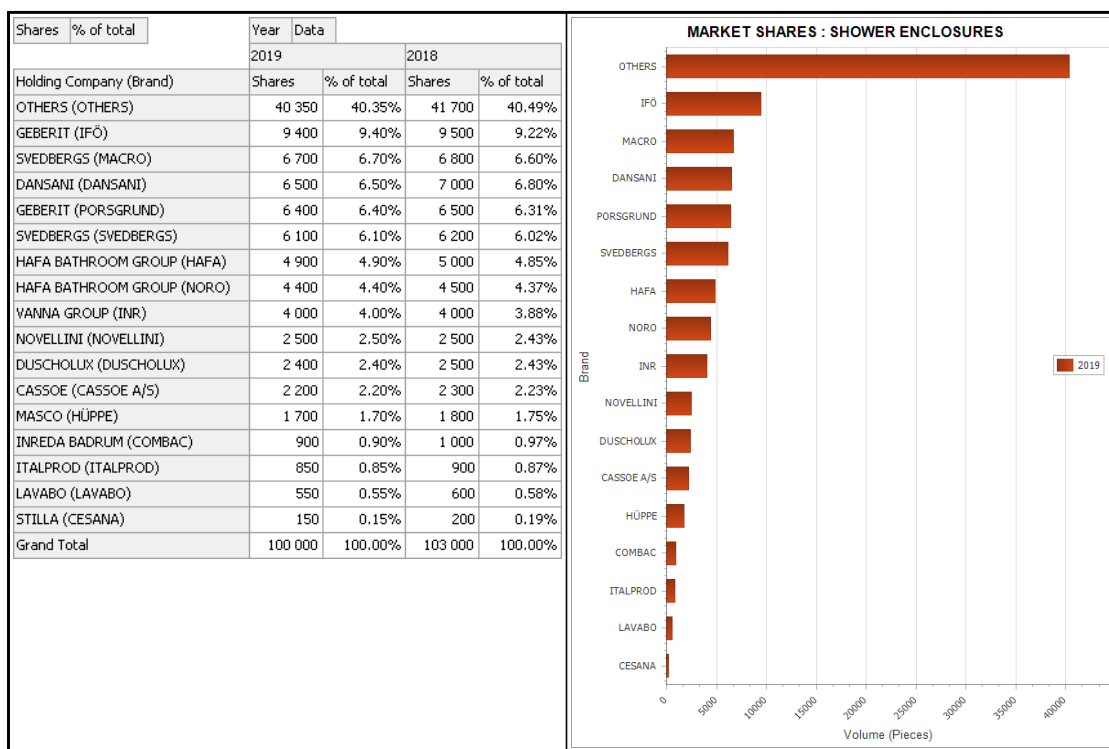
NO - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

NO - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1

Route to Market: Shower Wall
NO - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	55.9%
	Wholesalers / Merchants
	55.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.8%	1.2%	14.5%	12.3%	16.9%	15.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		26.8%		31.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.8%	14.6%	1.0%	3.2%	7.2%
Installers				
31.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	11.8%	7.0%	23.6%	24.2%	31.3%	0.0%	1.0%	0.0%	0.0%	0.5%	0.5%			
	Residential						Non-Residential								
	98.0%						2.0%								
New Build				Residential RMI				New Build				Non-Residential RMI			
25.7%				72.3%				1.5%				0.5%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
24.0%		1.7%		7.9%		64.4%		1.3%		0.2%		0.4%		0.1%	

4.6.2

Route to Market: Shower Wall
NO - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	55.7%
	Wholesalers / Merchants
	55.7%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.7%	1.3%	14.5%	12.0%	16.8%	15.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		26.5%		31.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.9%	14.5%	1.0%	3.3%	7.1%
Installers				
31.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.4%	11.9%	7.0%	23.2%	24.2%	31.4%
	Residential					
	98.1%					
New Build			Residential RMI			
21.3%			76.8%			
Project	Non-Project		Project	Non-Project		
20.7%	0.6%		13.0%	63.8%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.0%	0.0%	0.0%	0.5%	0.4%
Non-Residential					
1.9%					
New Build			Non-Residential RMI		
0.8%			1.1%		
Project	Non-Project		Project	Non-Project	
0.6%	0.2%		0.8%	0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

NO - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

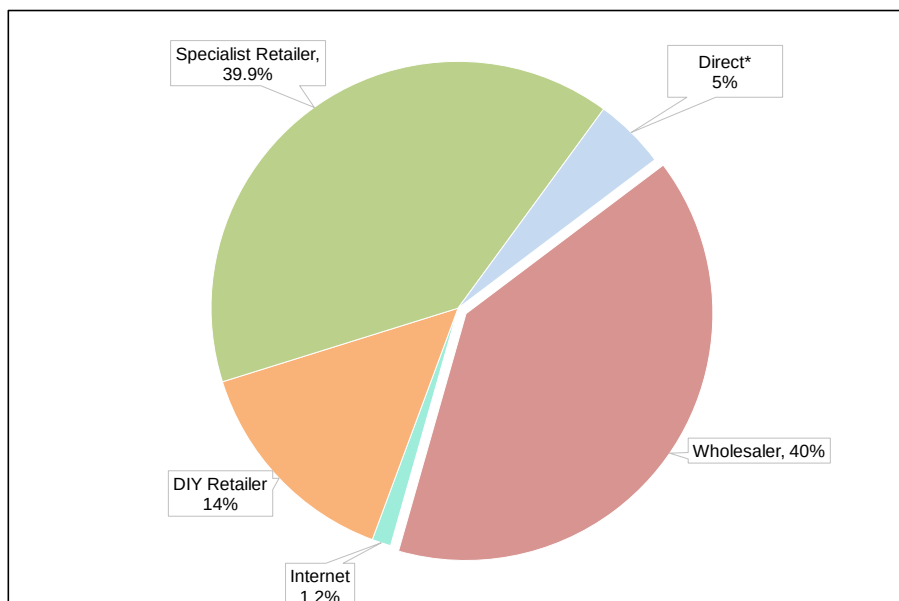
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
39.7%	1.2%	14.5%	39.9%	4.7%	31.9%	1.7%	66.1%	0.3%
100%					33.6%		66.4%	

4.6.4 Route to Market - Consolidated View : Shower Wall

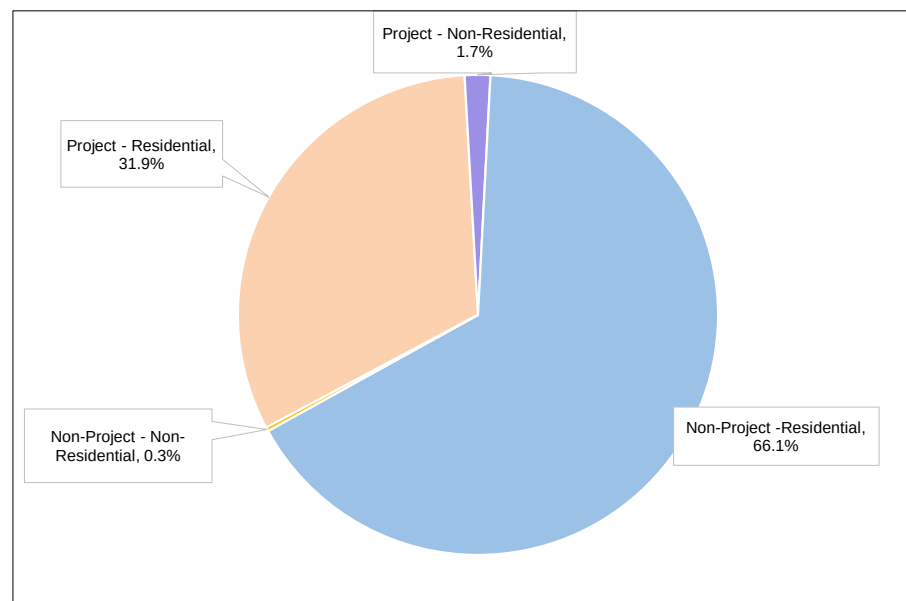
NO - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
40.1%	1.4%	14.9%	37.8%	5.8%	33.7%	1.4%	64.4%	0.5%
100%					35.1%		64.9%	

NO - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



NO - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



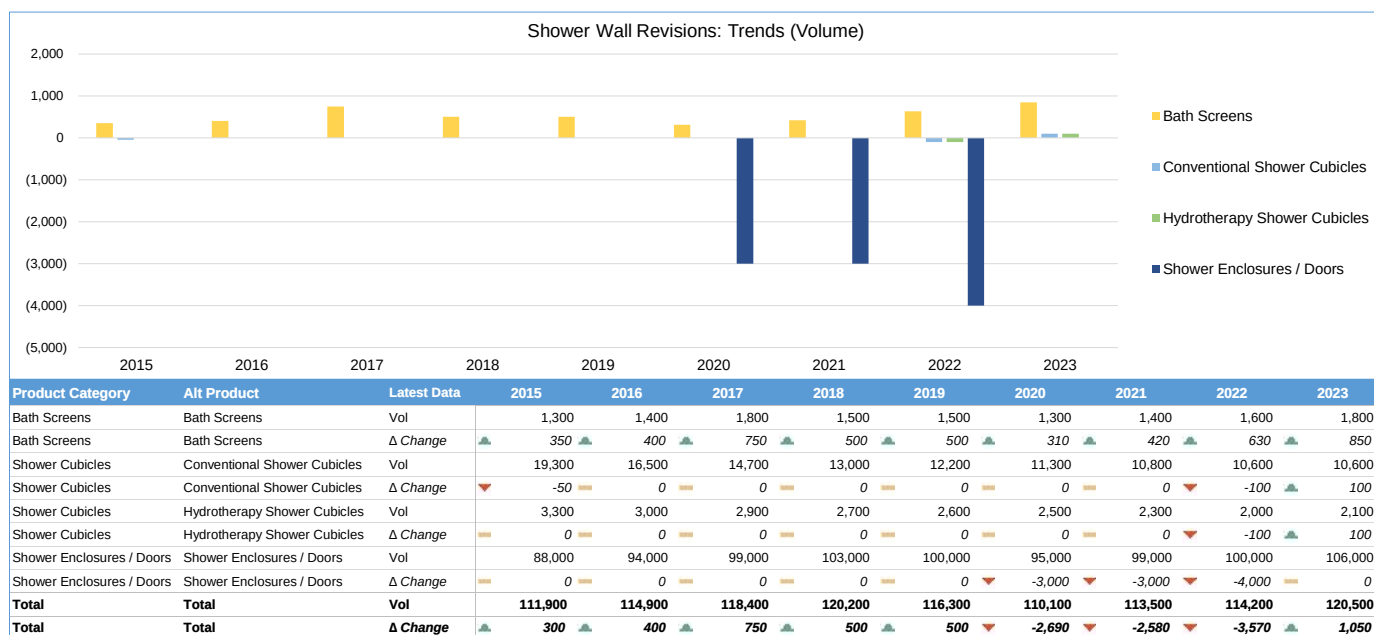
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Norwegian Shower Wall Market (July 2020)

NO - REVISIONS IN THE NORWEGIAN SHOWER WALL MARKET

Data Comparison: July 2019



The overall market size of bath screens has been adjusted upwards for the whole period, historical and forecast. This is due to further industry feedback showing that BRG underestimated the bath market and therefore the market for bath screens.

Minor revisions were made to trends of conventional shower cubicles.

NORWAY

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In recent years, the influence of brand association has gained more importance for the decision-making process and is currently having an extensive impact in the high-end product range but is also gaining importance in the middle range.

The countertop material of base units is predominantly ceramic, which has become more popular after initially losing share to cast marble (synthetic). Most of the market is mainly ceramic and synthetic, while the rest of the market is relatively evenly divided between MDF, marble, glass and wood. Corian washbasins (classed as synthetic) are mainly found in hotels, and their share has reportedly increased in recent years.

Washbasin-only models continue to dominate the base unit market, followed by monobloc countertops. Countertop basin base units have been promoted by designers and architects and fit well with the wooden building traditions of the Nordics but have had problems with damp – which has harmed sales in the private residential market. Countertop basin base unit sales are mainly going to the non-residential segment, including restaurants and hotels. In terms of base unit casing, most base units sold are made of MDF. Chipboard and solid wood are represented. The popularity of MDF can mainly be attributed to the lower price compared to solid wood and more durability compared to chipboard. The trend for soft closing draw base units is believed to be growing.

Mirrors have a cabinet or at least some form of lighting and are sold by bathroom furniture manufacturers. Basic universally usable mirrors, which are also commonly installed in the bathroom, are not included in this study. For housing installations, most units are mirror cabinets and generally the trend is the opposite in the non-housing segment. As that of other Nordic countries, the trend for mirror cabinets has largely been driven by Norwegian customers being much more focused on functionality, which is an important criterion when choosing furniture. However, the share of mirror-only units is believed to be increasing in the residential segment. The clear majority of mirror cabinets are made from solid wood/others.

The material type of separate cupboard units tends to be like that of base units, since these are often sold as part of the same set. MDF is the main material used in separate cupboard units. Many companies market their furniture as solid wood, but there is a substantial amount of chipboard used in furniture, which is difficult to distinguish. Wall hung cupboard units represent most separate cupboard units sold in this segment, as the relatively small size of Norwegian bathrooms makes these more desirable for customers.

In the past years, bathroom boxes have become popular on the Norwegian market. Bathroom boxes are typically imported from Sweden and contain a full bathroom with furniture, sinks, toilets, and shower/bath.

Recent Market Trends

The overall bathroom furniture market experienced a decline in sales in 2019 for the first time since 2015. The trend was mainly due to the negative developments in the new housing sector across all product segments.

The non-housing sector experienced a small increase in sales across all product segments. The market for mirror/mirror cabinets also benefited from the increase in the number of flats built or refurbished with smaller bathrooms, which require more functional and space saving solutions.

The growing popularity of the beforementioned bathroom boxes in 2019 influenced the market equally for each product segment in 2019. This trend is expected to continue over the forecast period, given the convenience of buying a full bathroom set.

Prices and Market Values

The average MSPs (in NOK) increased moderately in 2019, in line with inflation rates. Due to the depreciation of the Norwegian krone, the MSP in euros decline in 2019. The product mix remained stable, with the middle price segment being the bulk of the market for all product categories. Overall prices of bathroom furniture (measured in NOK) have been steadily increasing since 2014.

A further price increase in local currency is likely to happen in 2020, resulting from the fall in oil prices and consequent weakening of Norwegian Krona caused largely by the COVID-19 crisis. According to WORLDTOPEXPORTS, oil accounted for 55.6% of total Norwegian exports in 2019. The weak NOK is expected to increase the import prices for consumers goods, which will affect the consumer prices.

New Housing

The overall bathroom furniture market is getting increasingly mature and, therefore, any growth is becoming more and more dependent on changes in new housing output. The popularity of bathroom furniture has increased steadily in this end-use sector over the years, with the biggest changes being a consequence of the shift in the mix between new houses and apartments built in the 2000s. In apartments, where the available space is more limited than in houses, the total number of bathroom furniture products installed tends to be significantly lower than in new houses. The sales of bathroom furniture to new housing is also linked to the number of washbasins sold, where a large majority is sold as part of bathroom furniture packages, including a washbasin, but excluding taps and mixers. Nevertheless, the penetration rate of bathroom furniture within the new housing sector is relatively high, especially in new houses, where most washbasins are under countertops or washbasin only.

With a growing penetration rate of smaller base units, mirrors with lights and smaller wall hung separate cabinets in apartments, the bathroom furniture market declined in line with the decrease in new dwelling completions in 2019. The new housing end-use segment is set to lose importance over the forecast period. Apartments are expected to account for the largest share of sales, which should continue to benefit smaller base units and mirrors/mirror cabinets over separate cabinets. However, house completions are expected to have the highest growth rate.

Housing RMI

Housing RMI is the main driver of bathroom furniture sales in Norway. In such a mature market, a considerable share of sales consists of like-for-like replacements. Most homeowners opt to install at least a base unit and mirror cabinet, but they often include additional pieces of bathroom furniture, such as separate cabinets, as well. Therefore, growth in housing RMI demand can often be explained by factors such as an increase in full bathroom renovations, the growing popularity of washbasin countertops, upgrades, and a general increase in the number of bathroom furniture packages sold. The replacements of washbasin countertops and base units tend to be closely linked, as many base units are fitted underneath a washbasin. Because of concerns with fittings, it is thus often necessary to replace both items.

Sales of bathroom furniture within the housing RMI market kept increasing throughout 2019, at a faster pace than in 2018. Housing RMI demand is expected to decrease in 2020 before it starts to improve from 2021 onwards. The increase from 2021-2023 can be explained by the shift in demand from new build to existing housing. This was also the trend in previous crises. When moving into a second-hand house, homeowners are likely to remodel the bathroom and kitchen, which drives up the RMI sales.

Non-Housing

Sales to the non-housing segment are marginal and mainly consist of sales to the hospitality industry. The overall volume sales of bathroom furniture in this end-use sector increased slightly in 2019. BRG expects sales to decrease in 2020 and 2021, then experience an increase in 2022 that should continue towards the end of the forecast period. This is due to the effect COVID-19 crisis is expected to have on the market for both new non housing completions and non-housing RMI.

Supply Structure

Many domestic and other Nordic manufacturers dominate the Norwegian bathroom furniture market and, since bathroom furniture products are often sold as part of a complete range, many of the same manufacturers are present across the different product segments.

The market is led by the two domestic brands LINN BAD and FOSSBAD. TEMA TRADING AS, formerly owner of TEMA BAD, declared bankruptcy in 2013 and its operations have been taken over by BALLINGSLÖV INTERNATIONAL, selling under brands BALLINGSLÖV and DRØMMEKJØKKENET. Other important players are DANSANI, LAUFEN (ROCA), IFØ (GEBERIT) , HAFA, and SVEDBERGS. IKEA is also present in the market, and is for mirrors and mirror / medicine cabinets, and separate cabinets included in 'Others', together with a range of private label brands from the main wholesalers, DIY and specialist retailers, as well as manufacturers NORO, SCANBAD, DURAVIT, VIKINGBAD and BATHCO (distributed by KORSBAKKEN TRADING), among others. A large share of bathroom furniture in Norway is also supplied by kitchen furniture manufacturers such as DRØMMEKJØKKENET, SIGDAL, UNIFORM, VEDUM, JKE DESIGN and NOREMA. The Swedish suppliers BJÖRBO BADRUM, MILLER and ASPEN (IRN) are also present on the Norwegian bathroom furniture market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The overall bathroom and kitchen market are expected to be affected by the outbreak of the COVID-19 crisis. The crisis is expected to affect the developments of new dwelling and commercial construction, as many projects are being postponed, prolonged or cancelled. Housing RMI is also expected to be affected by the crisis due to the uncertainty in the market, causing some homeowners to delay renovating their homes.

After the peak in 2018, the bathroom furniture market should continue the downward trend from 2019 initiated by the declining construction sector. Demand from both non-housing and RMI are predicted to decline in 2020 due to the effect that the COVID-19 crisis has on the market. The new housing market is predicted an increase in 2020 due to a rising number of housing completions.

A decrease for both new housing and non-housing are predicted in 2021, the RMI market is expected increase significantly and even out the decrease. This expected increase is due to the beforementioned shift in consumer trends, towards second-hand houses.

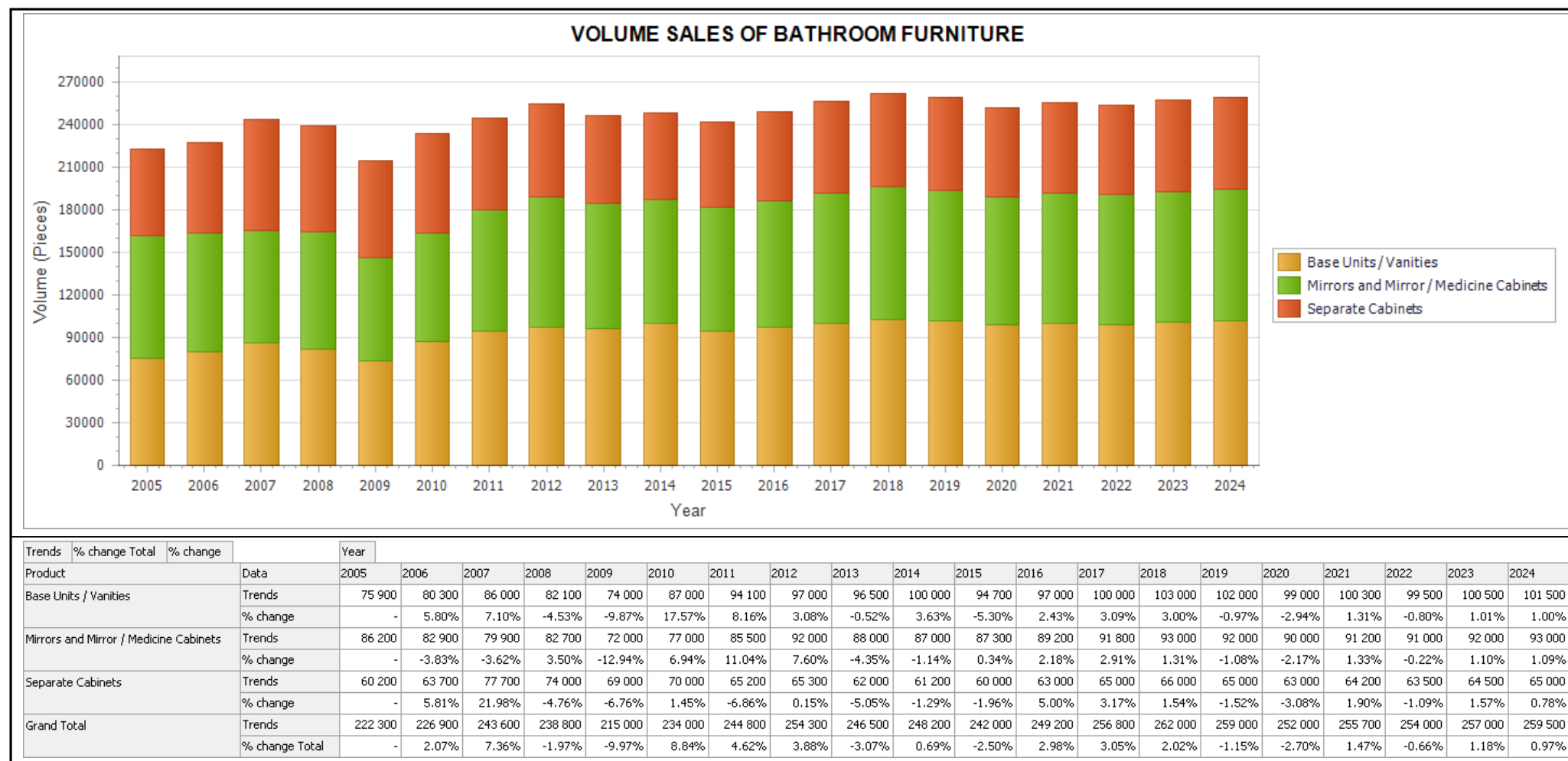
Relatively stable sales of bathroom furniture products are anticipated over the forecast period. They are expected to dip in 2022, before they start growing again from 2023, in line with new dwelling completions. Nevertheless, the housing RMI segment is expected to be the driver of developments as it is the most important segment. The functionality of bathroom furniture has also been improving in recent years, which should benefit the market and lead to a higher share of basins with furniture over the next couple of years. In line with the expected recovery of

washbasins in housing RMI and the growing popularity of bathroom furniture, demand is expected to grow steadily over the forecast period. The share of countertops fitted with base units is expected to continue to grow further over time.

The forecasts are sensitive to any changes in the construction output, interest rates and private consumption levels over the forecast period. The COVID-19 crisis is expected to be the main driver behind any sensitivity and changes in the market over the forecast period. Interest rates and private consumption affect housing RMI spending and demand, and any revisions in these input factors, therefore, may lead to changes in the forecasts. Finally, any changes in consumer behaviour related to the penetration rate of bathroom furniture in new housing, or the general popularity of bathroom furniture and countertops among homeowners, might cause an under/overestimation of sales over the forecast period.

5.2 Historical Trends & Forecasts : Bathroom Furniture

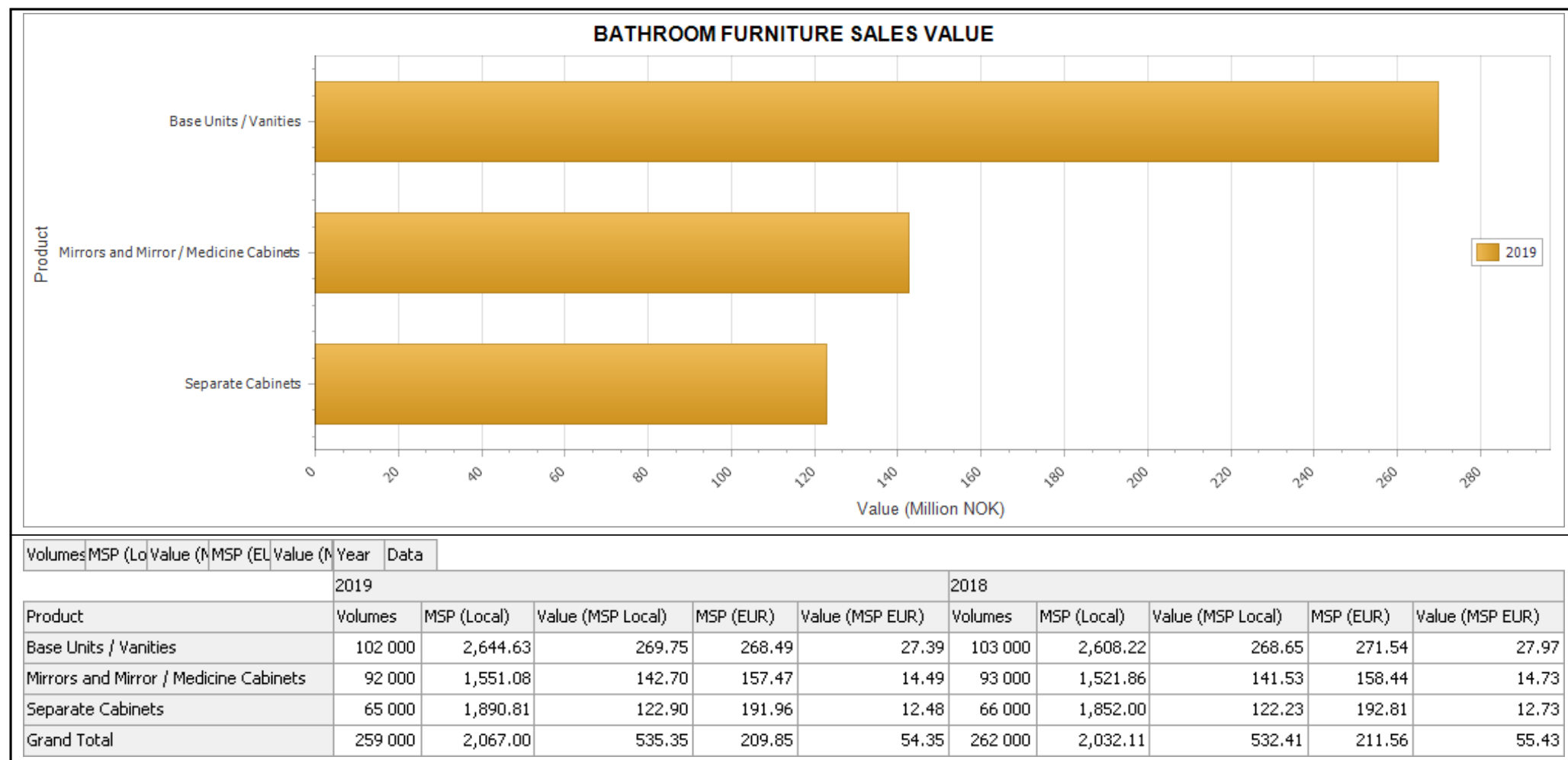
NO - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

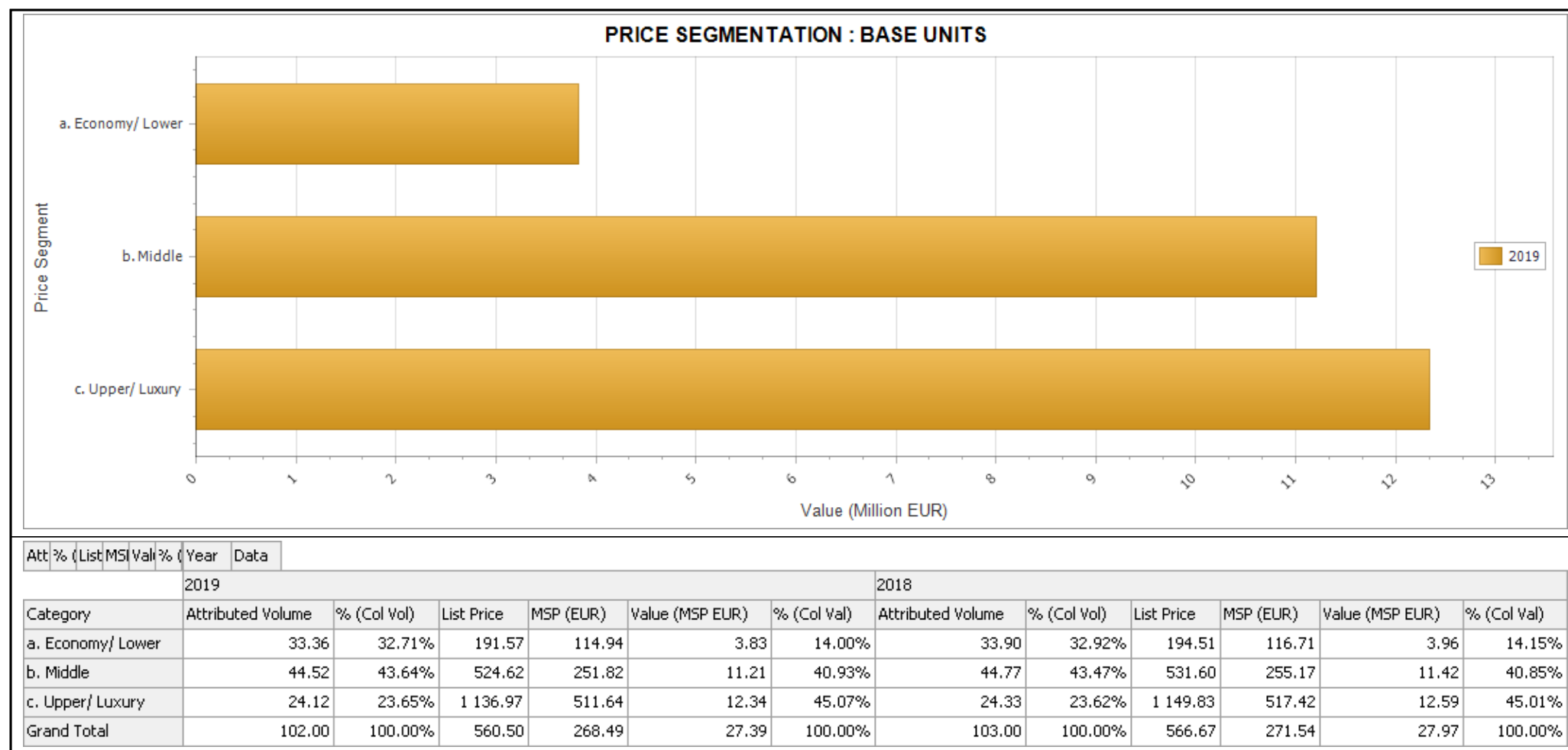
NO - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Local Prices Shown in NOK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

5.3.2 Price Segmentation : Base Units

NO - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

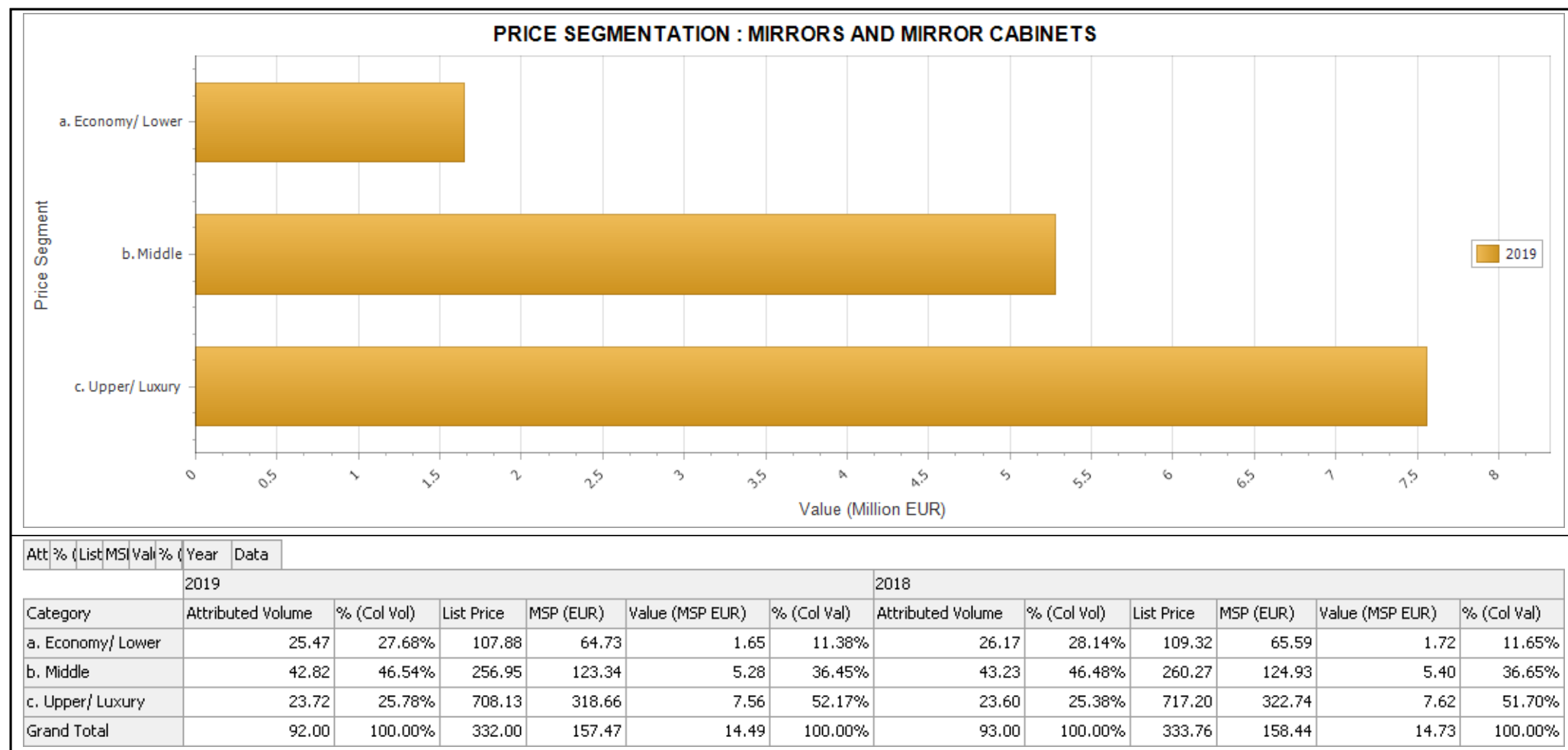


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

NO - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

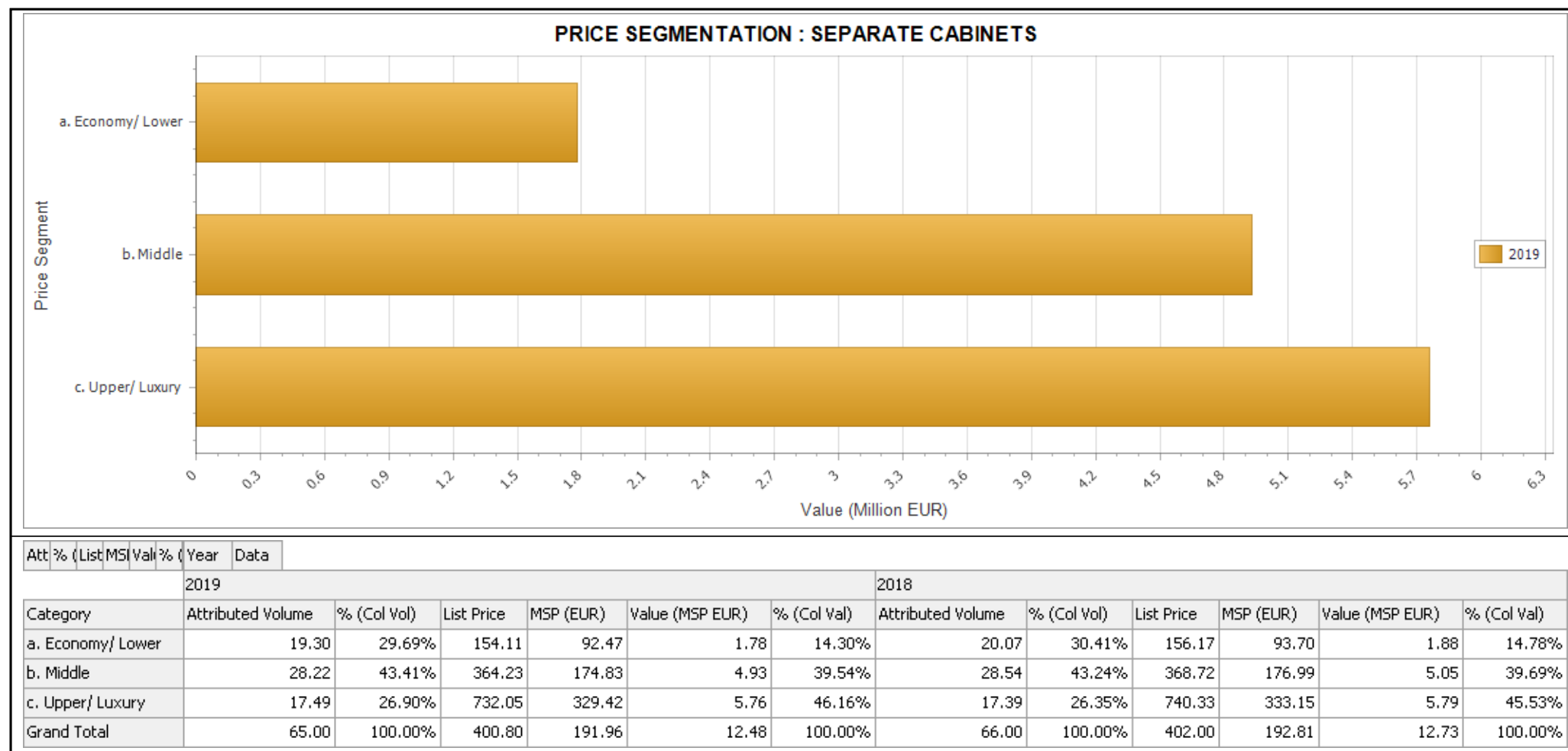


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

5.3.4 Price Segmentation : Separate Cabinets

NO - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

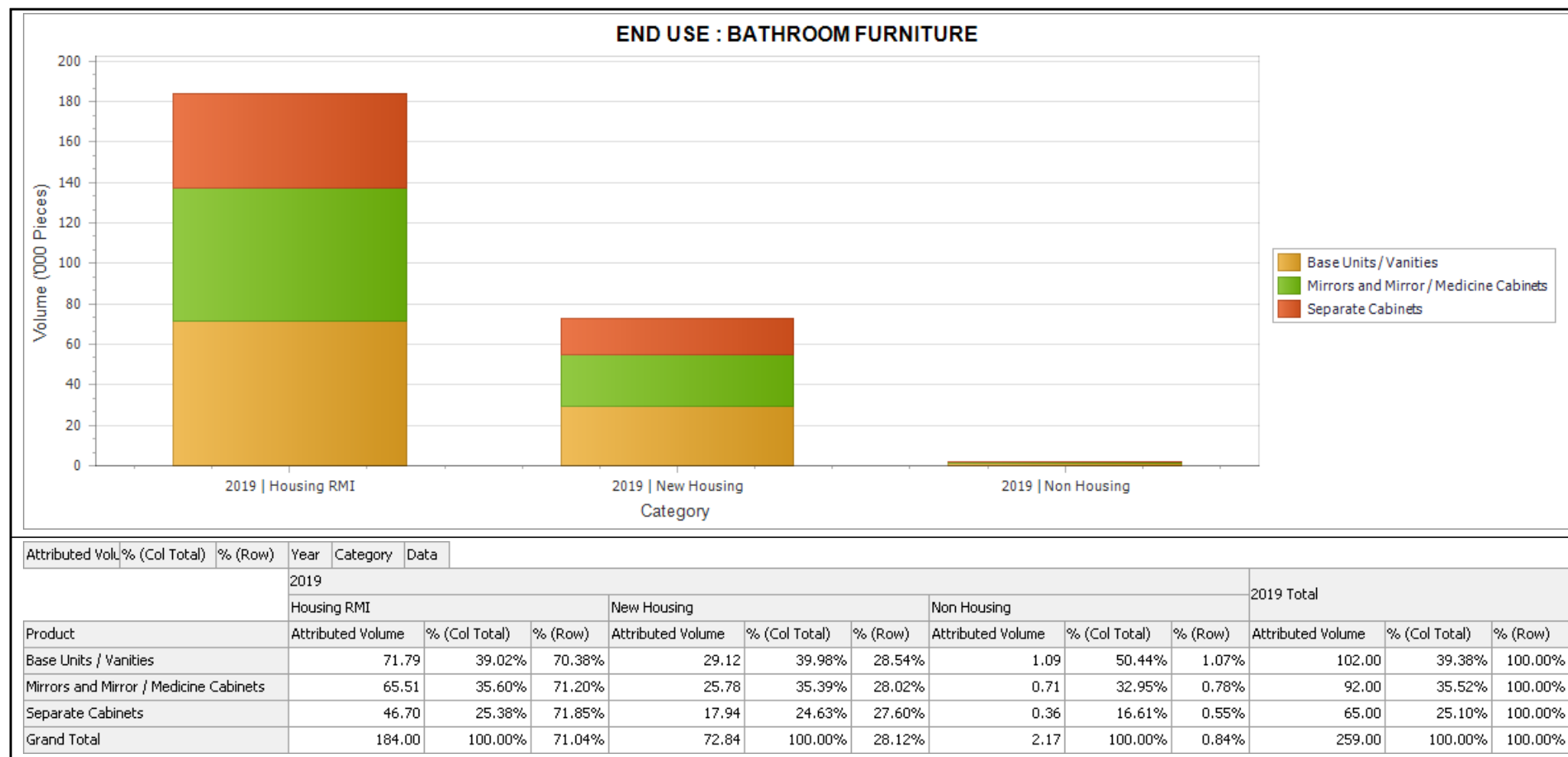


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

5.4.1 End Use : Base Year

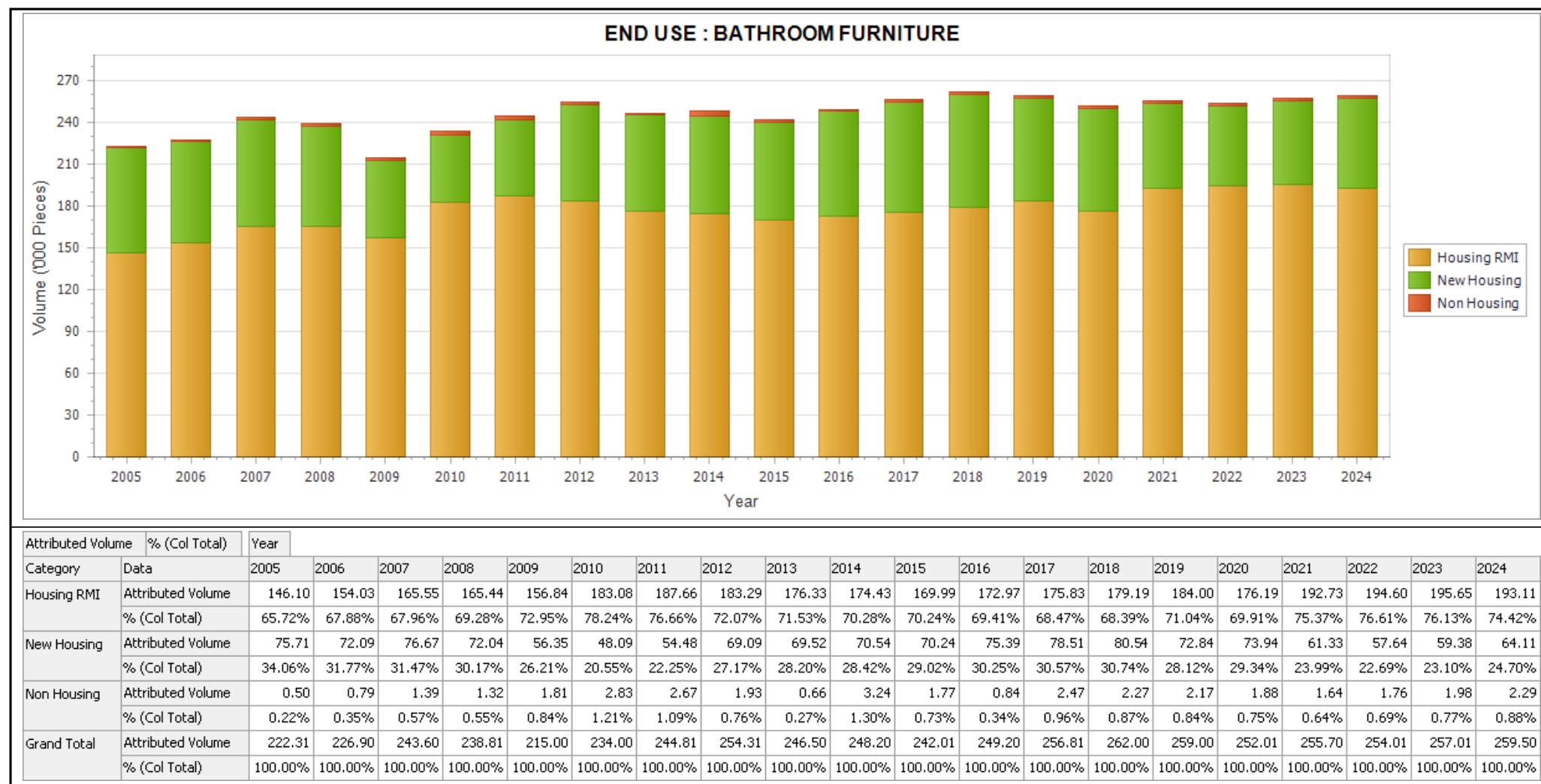
NO - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

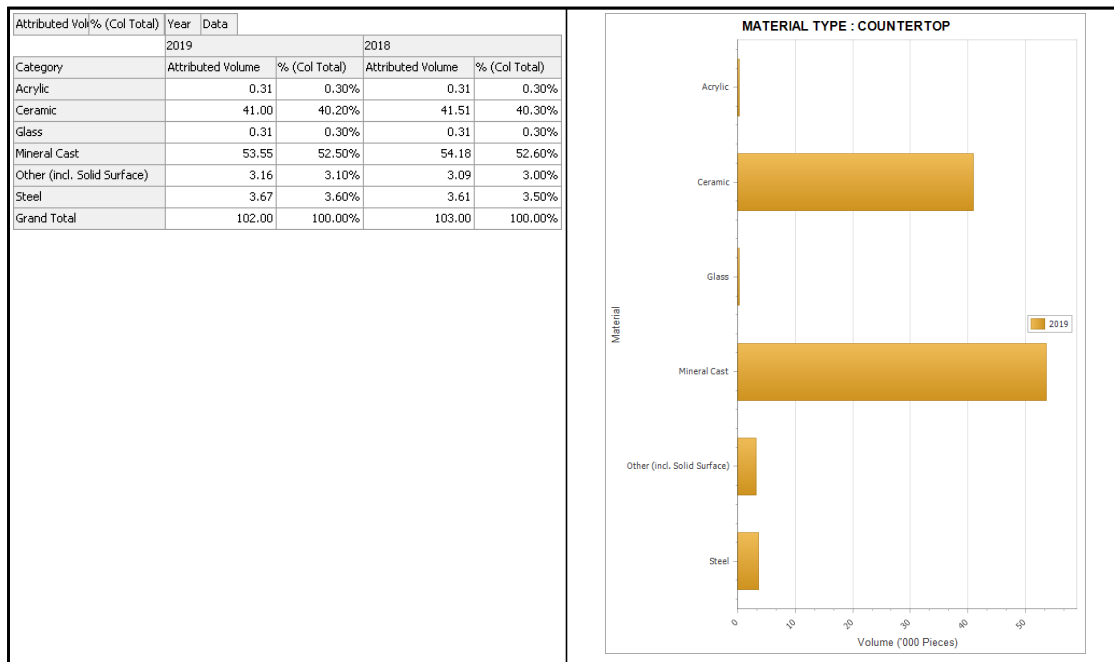
NO - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

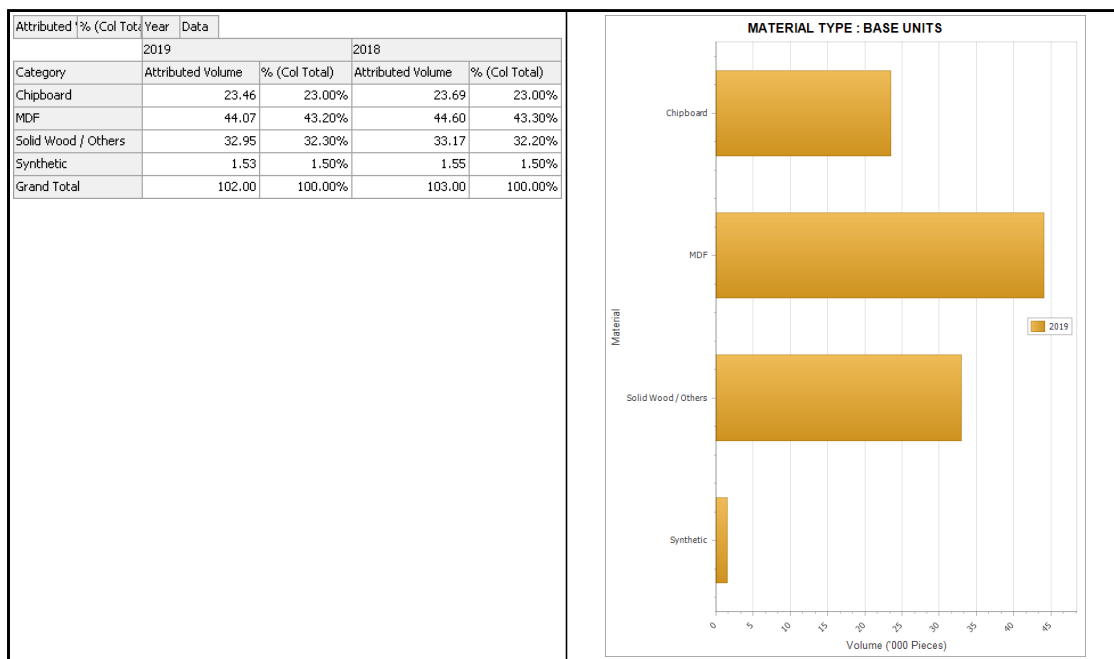
5.4.3 Sales by Type of Washbasin Material : Base Units

NO - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



5.4.4 Sales by Type of Material : Base Units

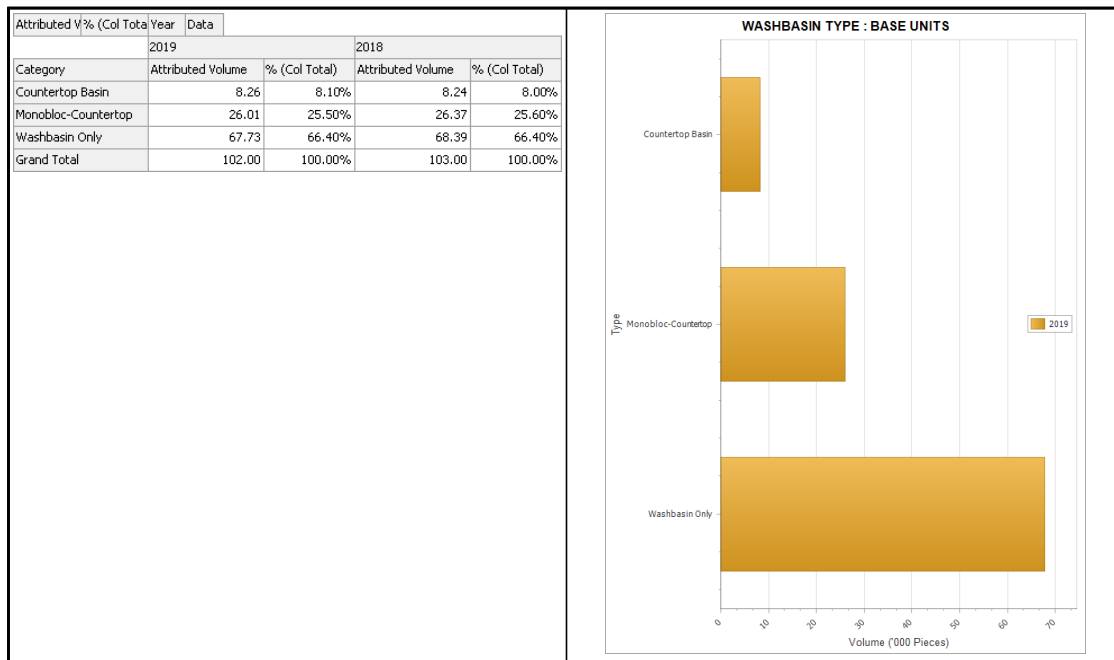
NO - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

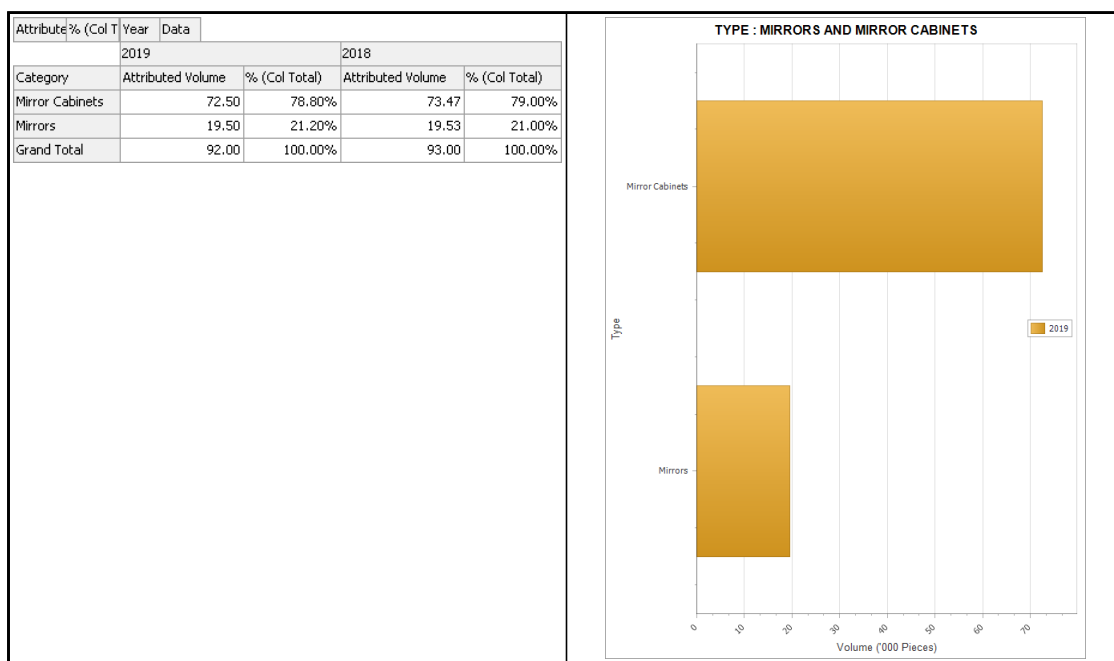
NO - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type : Mirror and Mirror Cabinets

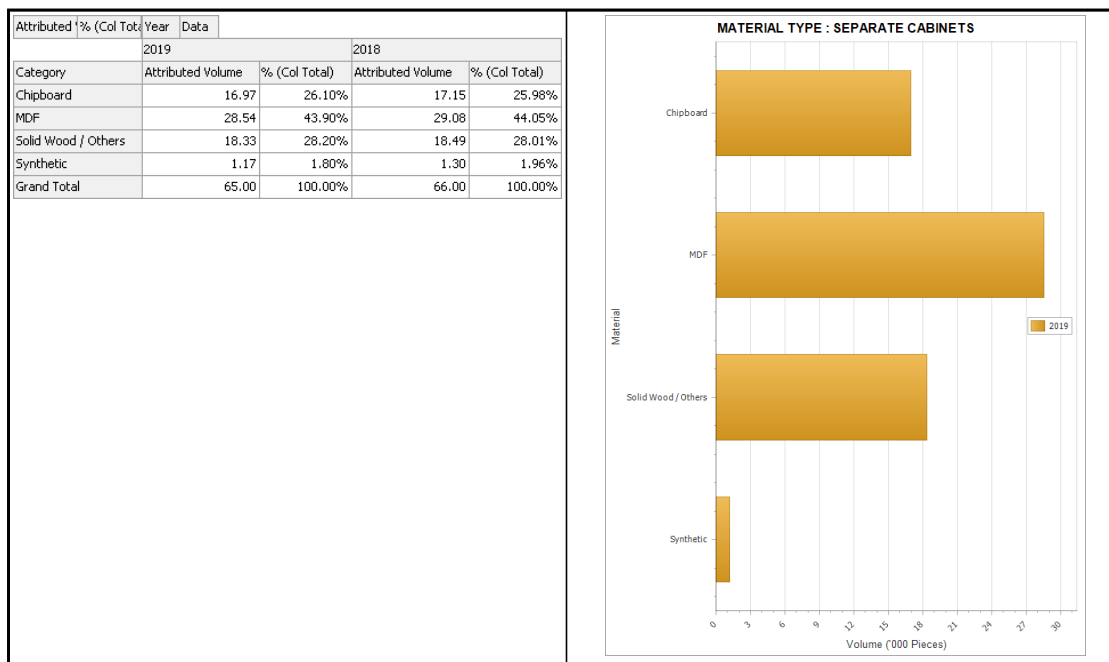
NO - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

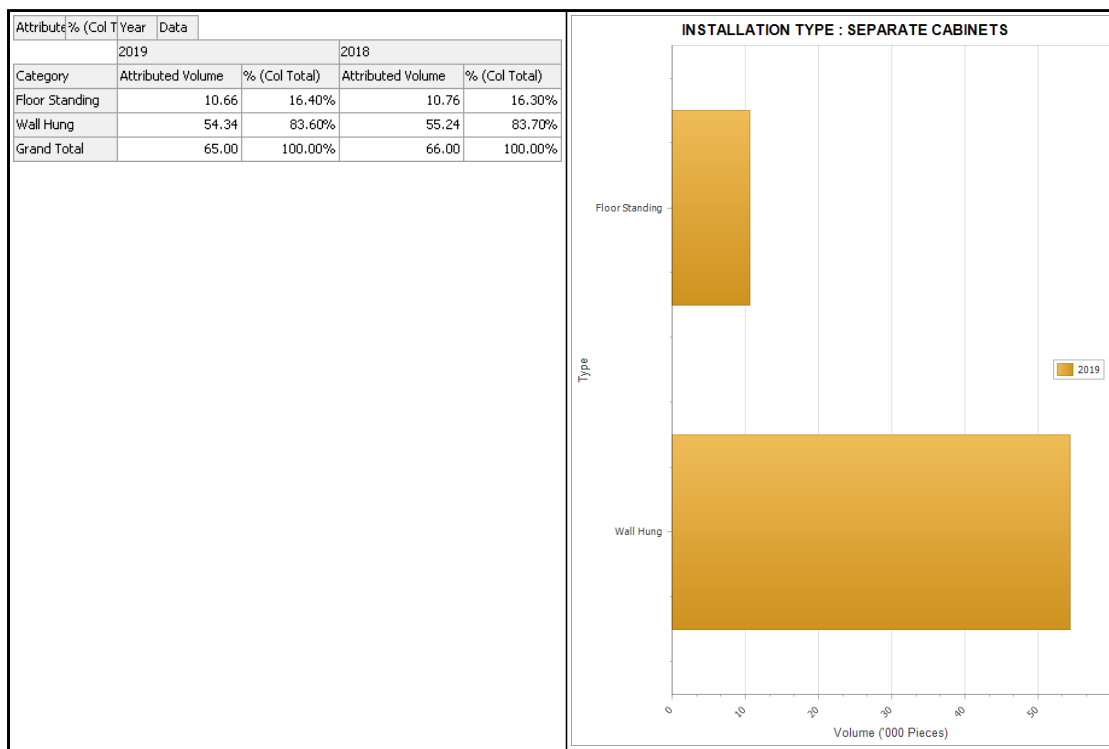
5.4.7 Sales by Type of Material : Separate Cabinets

NO - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



5.4.8 Sales by Type of Installation : Separate Cabinets

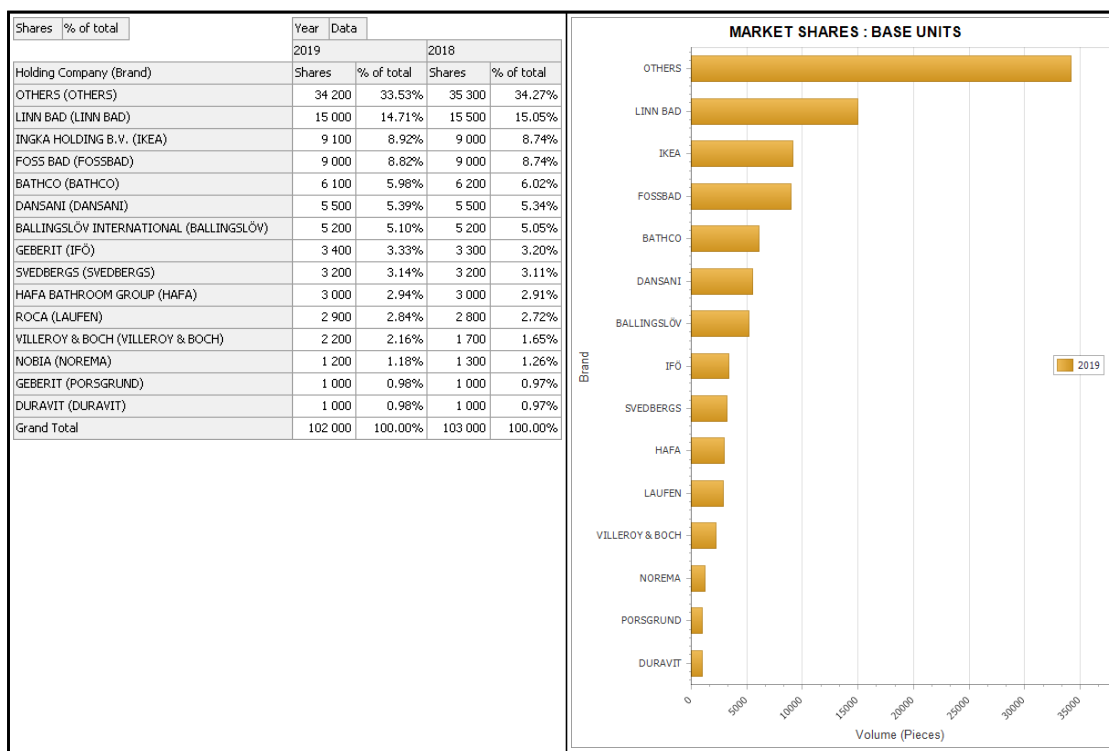
NO - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.5.1 Market Shares : Base Units

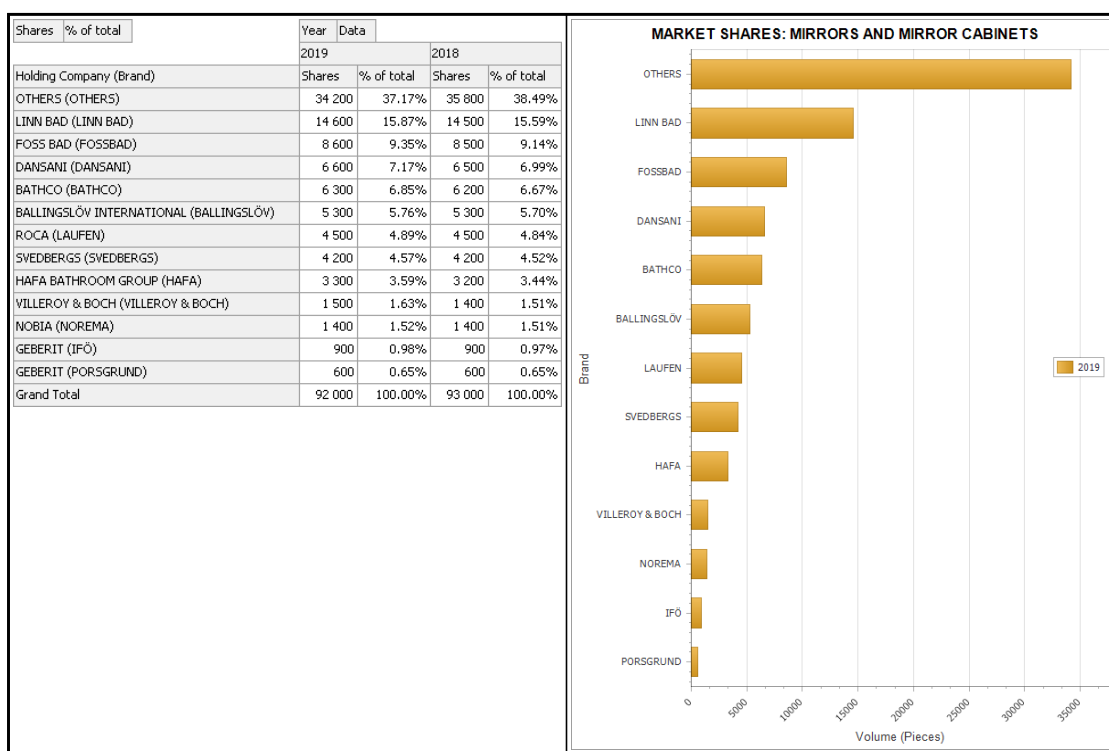
NO - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

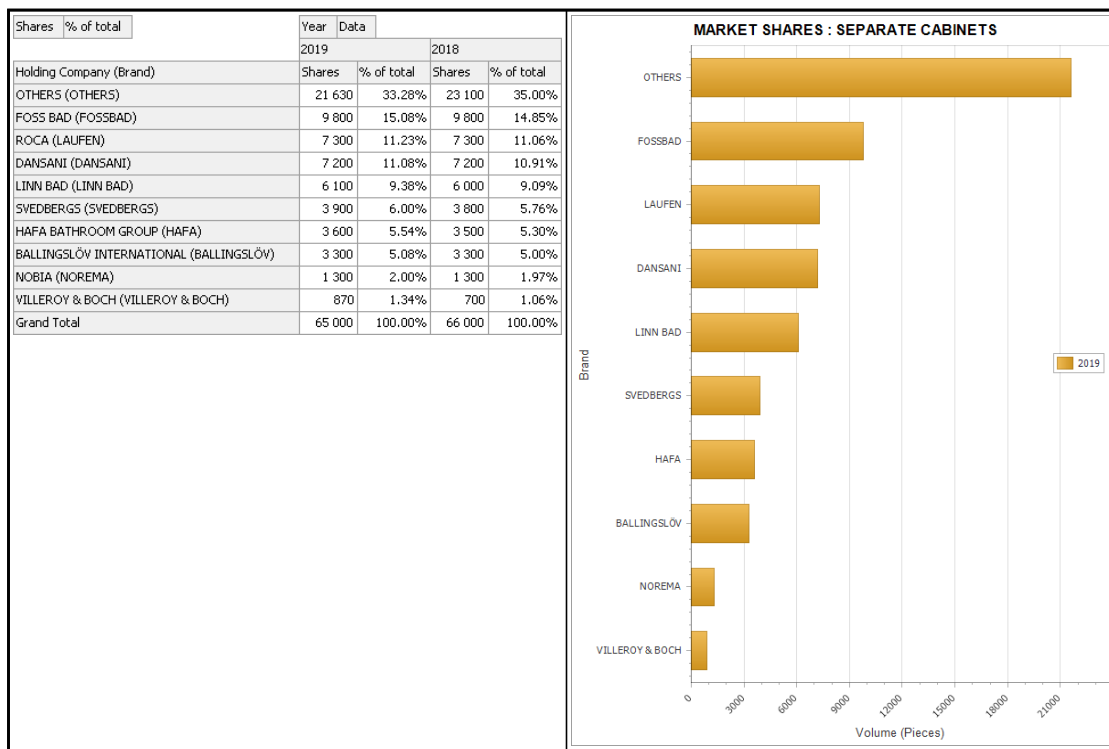
NO - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

NO - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Furniture
NO - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	28.4%
	Wholesalers / Merchants
	28.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.1%	3.4%	11.0%	8.9%	42.0%	4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.5%		19.9%		46.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
13.5%	10.0%	0.3%	3.2%	13.9%
Installers				
40.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	1.7%	8.2%	16.5%	32.0%	40.7%	0.0%	0.4%	0.0%	0.2%	0.1%	0.1%
	Residential						Non-Residential					
	99.2%						0.8%					

New Build				Residential RMI			
28.1%				71.0%			
Project		Non-Project		Project		Non-Project	
24.0%		4.1%		5.5%		65.5%	

New Build				Non-Residential RMI			
0.4%				0.4%			
Project		Non-Project		Project		Non-Project	
0.3%		0.1%		0.2%		0.2%	

5.6.2 Route to Market: Bathroom Furniture
NO - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	28.5%
	Wholesalers / Merchants
	28.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.0%	3.5%	11.2%	9.0%	42.0%	4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.5%		20.2%		46.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
13.0%	10.0%	0.2%	3.1%	13.9%
Installers				
40.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.3%	1.6%	8.2%	16.9%	32.0%	40.1%	0.0%	0.4%	0.1%	0.2%	0.1%	0.1%
	Residential						Non-Residential					
	99.1%						0.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	24.7%			74.4%			0.4%			0.5%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	20.0%	4.7%		6.0%	68.4%		0.3%	0.1%		0.3%	0.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

NO - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2019

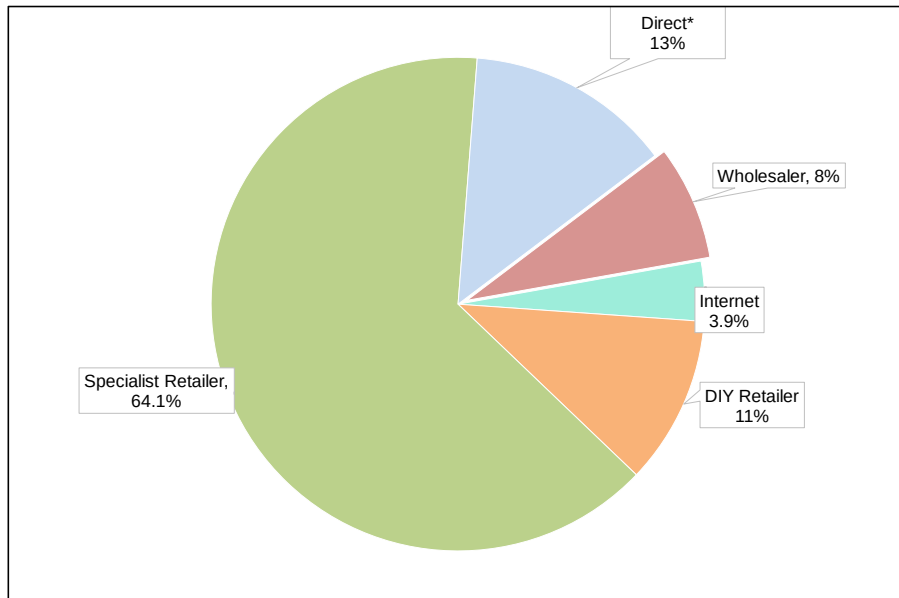
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
7.5%	3.9%	11.0%	64.1%	13.5%	29.5%	0.5%	69.7%	0.3%
100%					30.0%		70.0%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

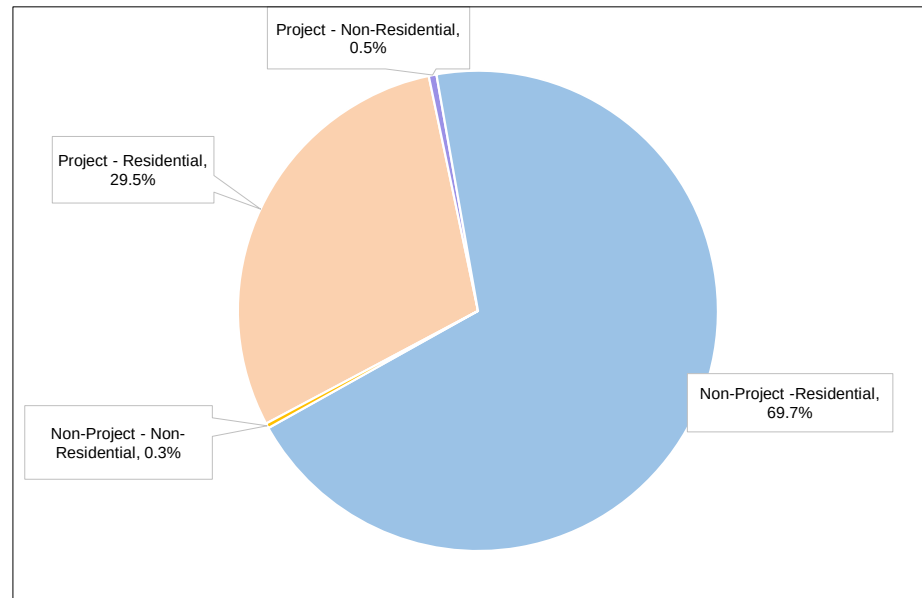
NO - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
8.0%	4.0%	11.2%	57.0%	19.8%	26.0%	0.6%	73.1%	0.3%
100%					26.6%		73.4%	

NO - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2019



NO - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2019



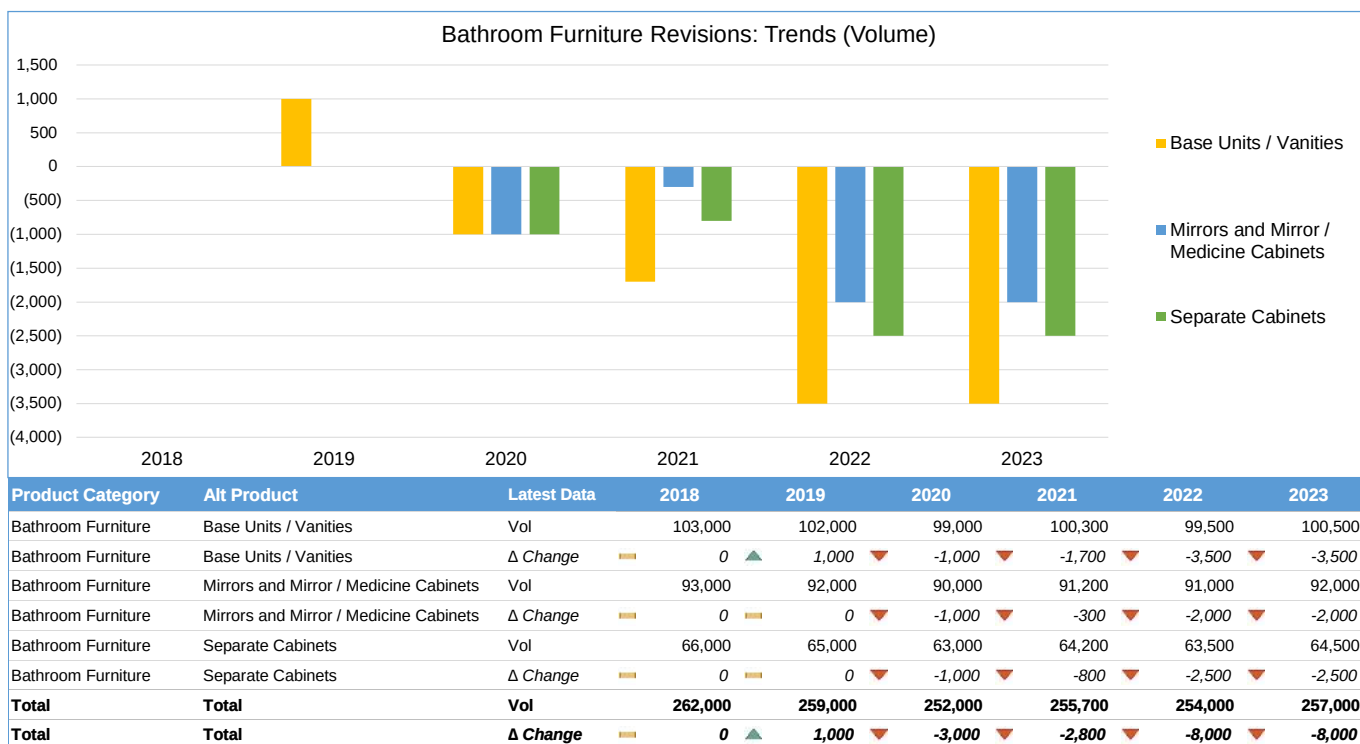
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Norwegian Bathroom Furniture Market (July 2020)

NO - REVISIONS IN THE NORWEGIAN BATHROOM FURNITURE MARKET

Data Comparison: July 2019



Only minor changes were made to trends of bathroom furniture products.